

6. INFORMATION ON OUR GROUP

6.1 BACKGROUND INFORMATION

6.1.1 Incorporation

Our Company was incorporated in Malaysia on 26 June 2023 under the Act as a private limited company under the name of HT Advance Tech R&D Sdn Bhd. On 30 May 2024, we changed our name to EcoSys (Malaysia) Sdn Bhd. On 1 December 2025, our Company was converted into a public limited company and adopted our present name.

Our Company is principally an investment holding company. Through our subsidiaries, we are principally involved in the provision of industrial solutions for pan-semiconductor industry, comprising the ultra-high purity fabrication of precision engineering components and sub-assembly modules; and R&D, customisation, assembly, installation, testing, commissioning and maintenance of abatement systems.

6.1.2 History

Our Group's history can be traced back to the acquisition of **EcoSys PLT** in 2005 by our Managing Director, Chan Chee Wei and his wife, Voon Sin Choo through HTM Technology Sdn Bhd from a third party. In 2006, we commenced the trading and servicing of the parts and modules of front-end semiconductor manufacturing equipment for foundries.

In 2009, **SIW Engineering** was acquired by Chan Chee Wei and Voon Sin Choo from third parties to venture into UHP segment where our customers comprised semiconductor equipment manufacturers. In the same year, EcoSys PLT became a distributor of Brooks Instrument for its mass flow controllers and gas panel refurbishment services.

In 2011, **BHT** was incorporated by EcoSys PLT (60.0%) and Flowtech Trading Co Ltd (40.0%) in Singapore to acquire the *EcoSys* product line of abatement systems from Applied Materials, Inc, namely CDO, Vector, Marathon and Guardian series and all the intellectual properties. This enabled us to diversify into the abatement segment. In 2012, BHT became a wholly-owned subsidiary of EcoSys PLT through the acquisition of the remaining 40.0% equity interests held by Flowtech Trading Co Ltd. Since then, we commenced the manufacturing of abatement systems at a rented premise in Singapore.

In 2012, **SIW Taiwan** was incorporated by SIW Engineering (60.0%) and Bao Hong Semi Technology Co Ltd (40.0%) to expand the geographical presence of our abatement system business in Taiwan. In 2013, SIW Taiwan became a wholly-owned subsidiary of SIW Engineering through the acquisition of the remaining 40.0% equity interest held by Bao Hong Semi Technology Co Ltd.

In 2014, **Kaisu** was incorporated by SIW Engineering in Shanghai, China to explore business opportunities for abatement systems in the Chinese market.

In 2015, we rebranded the *EcoSys* range of abatement systems under the current logo, marking a strategic shift towards strengthening our focus on the R&D of abatement systems.

In 2018, **Anhui Automation** was acquired by Chan Chee Wei through Wuhu Yihe Financial Consulting Co Ltd, an investment holding company which was then 99.0% held by him, from third parties. In the same year, Anhui Automation commenced manufacturing of abatement systems in China.

In 2019, **SIW Manufacturing** was incorporated by SIW Engineering to undertake the UHP segment in Malaysia. In 2020, we gradually relocated our operations to our rented premise in Bayan Lepas, Penang ("**Bayan Lepas Factory**").

6. INFORMATION ON OUR GROUP (Cont'd)

In 2022, we launched our "91 Series" of abatement systems, introduced the microwave plasma abatement technology and also implemented enhancements to our thermal, combustion and wet abatement systems.

During the year, SIW Manufacturing was granted Pioneer Status by MIDA for a period of 5 years from 1 December 2020 to 30 November 2025, which entitled it a 70.0% exemption from income tax on its statutory income derived from promoted activities relating to the production of waste gas abatement machines and integrated gas system, as well as related modules and components for the semiconductor industry. Nonetheless, it is not our Group's intention to pursue the extension of Pioneer status upon its expiry as certain requirements, such as meeting MIDA's prescribed thresholds of at least 40.0% for value-added contributions in purchase of raw materials (without sub-assembled and ancillary engineering works), may restrict our Group's sourcing flexibility for semi or fully assembled components. This in turn necessitates additional ancillary engineering works, resulting in additional time and operational costs.

In the same year, pursuant to the Acquisition of EcoSys PLT, SIW Manufacturing acquired EcoSys PLT from Chan Chee Wei and Voon Sin Choo which was previously held by HTM Technology Sdn Bhd.

In 2023, **Anhui Trading** was incorporated by Anhui Automation to procure materials and parts from Chinese suppliers.

In 2024, pursuant to the Investment in Anhui Automation, SIW Manufacturing acquired 30.0% equity interest in Anhui Automation from Eco Research, which was previously held by Wuhu Yihe Financial Consulting Co Ltd. Since then, **Anhui Group** became our associated companies. Please refer to Section 6.1.3 of this Prospectus for the Internal Restructuring.

In 2025, we relocated from Bayan Lepas Factory to our owned Simpang Ampat Factory measuring 24,613 sq. ft. to accommodate both UHP segment and the growing abatement segment.

Key milestones since the incorporation of our Group

A summary of our Group's key milestones since the commencement of business is set out below:

Year	Key Milestones
2009	Commenced UHP segment
2011	Acquired EcoSys product line of abatement systems, namely CDO, Vector, Marathon and Guardian series and all the intellectual properties
2012	- Established the geographical presence of our abatement systems in Taiwan - Secured Customer A for our UHP segment
2014	Established the geographical presence of our abatement systems in China
2015	- Realigned our focus on the R&D activities for our abatement systems - Rebranded and launched <i>EcoSys</i> abatement systems under current logo

6. INFORMATION ON OUR GROUP (Cont'd)

Year	Key Milestones
2022	- Launched new "91 Series" of abatement systems - Launched abatement systems with patented microwave plasma technology - SIW Manufacturing was granted Pioneer Status by MIDA vide a certificate dated 3 August 2022 for the period from 1 December 2020 until 30 November 2025
2024	Penetrated solar PV panel industry in Indian market with our abatement systems
2025	Commenced operations in Simpang Ampat Factory

6.1.3 Internal Restructuring

We have undertaken the following internal restructuring exercises during the Financial Period Under Review:

(a) Shareholders' reorganisation in SIW Manufacturing

On 10 August 2022, Chan Chee Wei and Voon Sin Choo acquired the entire equity interest in SIW Manufacturing comprising 1,500,000 ordinary shares from SIW Engineering for a total cash consideration of RM2,925,000 as part of the reorganisation of Chan Chee Wei and Voon Sin Choo's private investment.

(b) Acquisition of SIW Engineering

On 16 August 2022, SIW Manufacturing acquired the entire equity interest in SIW Engineering comprising 760,000 ordinary shares from Chan Chee Wei and Voon Sin Choo for a total cash consideration of SGD912,000 (equivalent to RM2,983,519), resulting in SIW Engineering becoming a wholly-owned subsidiary of SIW Manufacturing.

Vendors	Shareholdings in SIW Engineering		Purchase consideration
	No. of shares acquired	% of share capital	SGD
Chan Chee Wei	608,000	80.0	729,600
Voon Sin Choo	152,000	20.0	182,400
Total	760,000	100.0	912,000

The total cash consideration of SGD912,000 (equivalent to RM2,983,519) was arrived at on a willing-buyer willing-seller basis after taking into consideration the audited NA of SIW Engineering of USD808,233 (equivalent to RM3,366,290) as at 31 December 2021. The acquisition was completed on 16 August 2022.

(c) Acquisition of EcoSys PLT

On 8 September 2022, SIW Manufacturing acquired the entire equity interest in EcoSys PLT comprising 139,425 ordinary shares from Chan Chee Wei and Voon Sin Choo for a total cash consideration of SGD139,425 (equivalent to RM455,554), resulting in EcoSys PLT becoming a wholly-owned subsidiary of SIW Manufacturing while BHT becoming the indirect subsidiary of SIW Manufacturing.

6. INFORMATION ON OUR GROUP (Cont'd)

Vendors	Shareholdings in EcoSys PLT		Purchase consideration
	No. of shares acquired	% of share capital	SGD
Chan Chee Wei	111,540	80.0	111,540
Voon Sin Choo	27,885	20.0	27,885
Total	139,425	100.0	139,425

The total cash consideration of SGD139,425 (equivalent to RM455,554) was arrived at on a willing-buyer willing-seller basis based on the nominal value of SGD1 per ordinary share in EcoSys PLT. The consideration was not determined with reference to the audited NA of EcoSys PLT of USD3,933,266 (equivalent to RM16,382,053) as at 31 December 2021, as the acquisition was undertaken between related parties as part of the Internal Restructuring. The acquisition was completed on 8 September 2022.

(d) Shareholders' reorganisation in SIW Taiwan

On 9 December 2022, Chan Chee Wei and Voon Sin Choo acquired entire equity interest in SIW Taiwan comprising 600,000 ordinary shares from SIW Engineering for a total cash consideration of TWD2 as part of the reorganisation of Chan Chee Wei and Voon Sin Choo's private investment.

On 6 September 2024, GAT Asset, Chen-Tai and Wu Min Xu also acquired 80.0% equity interest comprising 480,000 ordinary shares in SIW Taiwan from Chan Chee Wei for a total cash consideration of TWD758,400 (equivalent to RM102,800).

(e) Investment in SIW Taiwan

On 6 September 2024, SIW Manufacturing acquired 20.0% equity interest in SIW Taiwan comprising 120,000 ordinary shares from Voon Sin Choo for a total cash consideration of TWD189,600 (equivalent to RM25,700).

Vendor	Shareholdings in SIW Taiwan		Purchase consideration
	No. of shares acquired	% of share capital	TWD
Voon Sin Choo	120,000	20.0	189,600

The cash consideration of TWD189,600 (equivalent to RM25,700) was arrived at on a willing-buyer willing-seller basis after taking into consideration the unaudited NA of SIW Taiwan of TWD949,647 (equivalent to RM133,045) as at 31 July 2024. The acquisition was completed on 22 October 2024. Since then, SIW Taiwan become our associated company. SIW Manufacturing had also on 2 January 2025 subscribed an additional 280,000 ordinary shares in SIW Taiwan for a cash consideration of RM378,319. Such subscription of shares does not result in changes in equity interest held in SIW Taiwan.

6. INFORMATION ON OUR GROUP (Cont'd)

A summary of the financial information of SIW Taiwan during the Financial Period Under Review are as follows:

(i) Statement of comprehensive income ⁽¹⁾

	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Revenue	2,745	4,828	2,568	4,260	1,673
GP	585	680	46	1,181	530
(LBT)/PBT	(311)	149	(76)	(304)	161
(LAT)/PAT	(311)	149	(76)	(304)	161

(ii) Statement of financial position ⁽¹⁾

	As at 31 December				As at 31 March
	2022	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Non-current assets	-	-	-	113	108
Current assets	1,634	3,200	1,264	2,829	2,456
TOTAL ASSETS	1,634	3,200	1,264	2,942	2,564
Total equity	(2,403)	(2,360)	(62)	1,463	1,552
Non-current liabilities	-	-	-	-	-
Current liabilities	4,037	5,560	1,326	1,479	1,012
Total liabilities	4,037	5,560	1,326	1,479	1,012
TOTAL EQUITY AND LIABILITIES	1,634	3,200	1,264	2,942	2,564

Sub-note:

- (1) Save for FYE 2024, FYE 2025 and FPE 2026, for which the Auditors and Reporting Accountants for our Listing conducted review on the post-acquisition financial results in accordance with ISA600 (Revised) Special Considerations - Audits of Group Financial Statements (Including the Work of Component Auditors) as part of the audit of the combined financial statements of EcoSys Group, all other financial information was extracted from audited financial statements of SIW Taiwan.

Our Group's Investment in SIW Taiwan enables us to maintain strategic presence in Taiwan's semiconductor industry that is synergistic with our Group's principal activities. This allows our Group to gain market access in Taiwan without the full operational burden of a wholly-owned subsidiary by leveraging on the other shareholder's local expertise to manage its day-to-day operations. As the manufacturer of *EcoSys* line of abatement systems and shareholder of SIW Taiwan, our Group's 20.0% equity interest also reinforces the customers' confidence of the quality and support of the *EcoSys* line of abatement systems marketed in Taiwan.

As at LPD, the shareholders of SIW Taiwan are SIW Manufacturing (20.0%), GAT Asset⁽¹⁾ (40.0%), Chen-Tai⁽²⁾ (15.0%), Future Investment⁽³⁾ (15.0%) and Wu Min Xu (10.0%).

6. INFORMATION ON OUR GROUP (Cont'd)**Notes:**

- (1) GAT Asset is a private limited company incorporated in Taiwan. The shareholders of GAT Asset as at LPD are Ting-Kuo, Chiang ("TKC") (9.2%), Chen Jin Dian (24.0%), Li Ling Hui (9.9%), Jiang Su Yu (6.0%), Future Investment (24.7%), Jin Tian Asset Management Co Ltd (金田资产管理股份有限公司) ("Jin Tian") (24.7%), Chen Hui Wen (0.8%) and Chen Yuan Jun (0.7%). As at LPD, the shareholders of Jin Tian are Chen Jin Dian (85.7%), Chen Yi Xuan (7.5%) and Chen Jie Xin (6.8%).
- (2) Chen-Tai is a private limited company incorporated in Taiwan. As at LPD, Chen-Tai is wholly owned by Huang Yi Jia.
- (3) Future Investment is a private limited company incorporated in Taiwan. The shareholders of Future Investment as at LPD are Jiang Su Yu (29.0%), Li Ling Hui (9.6%), TKC (42.2%), Jiang Qi Min (9.6%) and Jiang Chen Yu (9.6%).

The remaining shareholders of SIW Taiwan and/or their ultimate shareholders are not related parties or persons connected to Chan Chee Wei, our Group's Promoter.

As at LPD, Zhong Xiang Chang, being the representative of Chen-Tai, is the key business driver of SIW Taiwan. Zhong Xiang Chang is the spouse of Huang Yi Jia, who in turn is a sole shareholder of Chen-Tai. He is currently responsible for overseeing the day-to-day operations of SIW Taiwan, including operational management, business development and customer liaison.

(f) Acquisition of Kaisu

On 30 October 2022, SIW Engineering acquired 75.0% equity interest in Kaisu from Mame Electronics Ltd and Elite Glory Investment Ltd for a total cash consideration of USD7,500 (equivalent to RM33,085), resulting in Kaisu becoming a wholly-owned subsidiary of SIW Engineering.

Vendors	Equity interest in Kaisu acquired		Purchase consideration
	Subscribed capital contribution (USD)	% of registered capital	USD
Mame Electronics Ltd	4,500	45.0	4,500
Elite Glory Investment Ltd	3,000	30.0	3,000
Total	7,500	75.0	7,500

The purchase consideration of USD7,500 (equivalent to RM33,085) was arrived at on a willing-buyer willing-seller basis after taking into consideration the registered capital of Kaisu of USD10,000 (equivalent to RM47,280) as at 30 October 2022. The acquisition was completed on 30 October 2022.

6. INFORMATION ON OUR GROUP (Cont'd)**(g) Disposal of Kaisu**

On 22 May 2024, SIW Engineering disposed the entire equity interest in Kaisu to Anhui Automation for a cash consideration of RMB1,520,000 (equivalent to RM973,408), resulting in Kaisu becoming a wholly-owned subsidiary of Anhui Automation.

Vendor	Equity interest in Kaisu disposed		Disposal consideration
	Subscribed capital contribution (RMB)	% of registered capital	RMB
SIW Engineering	66,558	100.0	1,520,000
Total	66,558	100.0	1,520,000

The cash consideration of RMB1,520,000 (equivalent to RM973,408) was arrived at on a willing-buyer willing-seller basis after taking into consideration the net tangible assets of Kaisu of RMB1,519,450 (equivalent to RM987,035) as at 30 June 2024. The acquisition was completed on 22 May 2024.

(h) Investment in Anhui Automation

On 30 October 2024, SIW Manufacturing acquired 30.0% equity interest in Anhui Automation from Eco Research for a cash consideration of RMB9,750,000 (equivalent to RM5,910,000).

Vendor	Equity interest in Anhui Automation acquired		Purchase consideration
	Subscribed capital contribution (RMB)	% of registered capital	RMB
Eco Research	3,000,000	30.0	9,750,000

The purchase consideration of RMB9,750,000 (equivalent to RM5,910,000) was arrived at on a willing-buyer willing-seller basis after taking into consideration of the net tangible assets of Anhui Automation of RMB32,477,109 (equivalent to RM18,226,654) as at 30 September 2024. The acquisition was completed on 30 October 2024. Since then, Anhui Group became our associated companies.

A summary of the financial information of consolidated financial statements of Anhui Group during the Financial Period Under Review are as follows:

(i) Statements of comprehensive income ⁽⁴⁾

	(1) FYE 2022	(2) FYE 2023	(3) FYE 2024	(3) FYE 2025	(3) FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Revenue	41,214	42,601	54,964	⁽⁶⁾ 23,396	4,161
GP	3,161	⁽⁵⁾ 1,128	5,196	⁽⁶⁾ 7,263	1,927
(LBT)/PBT	3,717	⁽⁵⁾ 1,231	4,694	⁽⁶⁾ (4,180)	(238)
(LAT)/PAT	3,478	⁽⁵⁾ 1,231	3,611	⁽⁶⁾ (4,180)	(238)

6. INFORMATION ON OUR GROUP (Cont'd)(ii) Statements of financial position ⁽⁴⁾

	As at 31 December				As at 31 March
	(1) 2022	(2) 2023	(3) 2024	(3) 2025	(3) 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Non-current assets	2,415	6,627	5,518	5,093	4,937
Current assets	29,576	38,145	32,817	21,902	28,979
TOTAL ASSETS	31,991	44,772	38,335	26,995	33,916
Total equity	15,318	17,120	19,746	14,636	14,508
Non-current liabilities	-	-	-	988	2,929
Current liabilities	16,673	27,652	18,589	11,371	16,479
Total liabilities	16,673	27,652	18,589	12,359	19,408
TOTAL EQUITY AND LIABILITIES	31,991	44,772	38,335	26,995	33,916

Sub-notes:

- (1) Consist of Anhui Automation only.
- (2) Consist of Anhui Automation and Anhui Trading (subsequent to the acquisition of Anhui Trading on 15 March 2023) only.
- (3) Consist of Anhui Automation, Anhui Trading and Kaisu (subsequent to the acquisition of Kaisu on 22 May 2024).
- (4) Save for FYE 2024, FYE 2025 and FPE 2026, for which Auditors and Reporting Accountants for our Listing conducted review on the post-acquisition financial results in accordance with *ISA600 (Revised) Special Considerations - Audits of Group Financial Statements (Including the Work of Component Auditors)* as part of the audit of the combined financial statements of EcoSys Group, all other financial information was extracted from audited financial statements and management accounts of Anhui Group.
- (5) The decrease was mainly attributable to higher sales and marketing expenses incurred, primarily arising from sales commission and recruitment of sales personnel.
- (6) The decrease in revenue and loss-making position was mainly due to the downturn in China's solar industry, as well as the new management's business direction at Anhui Group involving the R&D of vacuum pumps for the semiconductor industry, which did not deliver the expected results amid a period of weaker market demand in abatement systems.

Our Group's Investment in Anhui Automation enables us to maintain our presence of abatement systems business in China while managing our Group's exposure to geopolitical and market risks due to our portfolio of multinational customers, including those that are headquartered in the US. This takes into consideration the developments of US-China trade war and sanctions on semiconductor and electronics manufacturers in China by the US.

6. INFORMATION ON OUR GROUP (Cont'd)

In relation thereto, our Group had entered into the following agreements with Anhui Automation in safeguarding our Group's interests in China markets through 30.0% equity interests in Anhui Group:

- (i) patent purchase and assignment agreement dated 1 January 2023 between SIW Engineering and Anhui Automation, as well as patent purchase and assignment agreement and trademark assignment agreement both dated 1 January 2023 between BHT and Anhui Automation, where both SIW Engineering and BHT had assigned all its rights, titles and interests in the intellectual properties registered in China to Anhui Automation. This is to facilitate Anhui Group's commercialisation of *EcoSys* line of abatement systems in China through the assignment of rights and interests of the China registered intellectual properties; and
- (ii) non-compete and collaboration agreement dated 27 November 2024 between SIW Manufacturing and Anhui Automation, where Anhui Automation is restricted from directly or indirectly supplying or selling abatement systems to customers outside of China. This is to safeguard our Group's interest and ownership in portfolio customers outside China, while our Group is able to benefit from the expansion in China's market through our equity interest in Anhui Group.

In the event of non-renewal of the non-compete and collaboration agreement subsequent to its expiry, there would be no restriction on us and Anhui Automation for selling abatement systems to customers outside of our respective authorised territories. The intellectual property rights sold would remain with Anhui Automation whereas any new technology developed by us subsequent thereto would not be shared with Anhui Automation. Our Group would be able to file patent registrations in China for any newly developed technology not co-developed with Anhui Automation. There is no continuing obligation in respect of the territorial restriction for patent registration.

As at LPD, the shareholders of Anhui Automation are SIW Manufacturing (30.0%), Wuhu Zhi Ce⁽¹⁾ (34.0%), Shanghai Jingnengtong⁽²⁾ (13.5%), Anhui XuanSheng⁽³⁾ (12.0%) and Forever Fame⁽⁴⁾ (10.5%).

Notes:

- (1) Wuhu Zhi Ce had vide a share sale agreement dated 29 September 2025 acquired 34.0% equity interest in Anhui Automation from Eco Research. The partners of Wuhu Zhi Ce are Yang Hai Jing (48.0%), Wu Yun Xia (48.0%) and Wuhu Shu Da Enterprise Management Co Ltd (芜湖枢达企业管理有限公司) ("**Wuhu Shuda**") (4.0%). The shareholders of Wuhu Shuda as at LPD are Yang Hai Jing (50.0%) and Wu Yun Xia (50.0%).
- (2) Shanghai Jingnengtong is a private limited company incorporated in China which is wholly owned by Jingrui Venture Capital (Hai Kou) Co Ltd (晶锐创投(海口)有限公司) ("**Jingrui**") as at LPD. The shareholders of Jingrui as at LPD are Wang Jing Ying (95.0%) and Wang Hui Ying (5.0%).
- (3) Anhui Xuansheng is a limited partnership formed in China. The partners of Anhui Xuansheng as at LPD are Xuancheng Xuanhuai Xuansheng Enterprise Management Consulting Co Ltd (宣城宣怀宣晟企业管理咨询有限责任公司) ("**Xuancheng Xuanhuai**") (81.3%), Yin Hu Ping (12.5%), Gu Yong (4.2%) and Qu Chang Ming (2.0%). As at LPD, Xuancheng Xuanhuai is wholly owned by Sun Xiao Dong.

6. INFORMATION ON OUR GROUP (Cont'd)

- (4) Forever Fame is a private limited company incorporated in Hong Kong which is wholly owned by Emam Group Holding Limited. As at LPD, Emam Group Holding Limited is wholly owned by Tan Eng Chuan.

The remaining shareholders of Anhui Automation are not related parties or persons connected to Chan Chee Wei, our Group's Promoter.

As at LPD, Wu Yun Xia, being a partner of Wuhu Zhi Ce and representative of Wuhu Zhi Ce in Anhui Automation, is the key business driver and legal representative of Anhui Automation following the acquisition by Wuhu Zhi Ce. She is currently responsible for overseeing the day-to-day operations of Anhui Automation and internal control review matters. Prior to the acquisition by Wuhu Zhi Ce, the previous legal representative was Sun Xiao Dong, who is also the representative of Anhui Xuansheng in Anhui Automation. As at LPD, both Wu Yun Xia and Sun Xiao Dong are directors of Anhui Automation.

(i) Pre-IPO investment

On 3 December 2024, Chan Chee Wei, our Promoter, Managing Director and substantial shareholder, and Voon Sin Choo had entered into a SSA with the Pre-IPO Investor, Solarvest, to dispose 30.0% equity interest in SIW Manufacturing to Solarvest for a total cash consideration of RM36.00 million. The acquisition was completed on 31 December 2024.

The purchase consideration of RM36.00 million was arrived at on a willing-buyer willing-seller basis after taking into consideration the profit guarantee by Chan Chee Wei and Voon Sin Choo that the actual cumulative PAT of SIW Manufacturing for FYE 2024 and FYE 2025 shall not be less than RM30.00 million together with a put option in the event the minimum PAT for the profit guarantee is not met. Solarvest had vide a letter dated 20 August 2025 revoked the put option, and in the event of Listing, to waive the profit guarantee.

Vendors	Shareholdings in SIW Manufacturing			
	Before the acquisition by Solarvest		After the acquisition by Solarvest	
	No. of shares	% of share capital	No. of shares	% of share capital
Chan Chee Wei	1,200,000	80.0	1,050,000	70.0
Voon Sin Choo	300,000	20.0	-	-
Solarvest	-	-	450,000	30.0
Total	1,500,000	100.0	1,500,000	100.0

The acquisition was completed on 31 December 2024. As at LPD, Solarvest holds 30.0% equity interest in SIW Manufacturing.

6. INFORMATION ON OUR GROUP (Cont'd)**6.1.4 Acquisition of SIW Manufacturing**

On 27 November 2025, we entered into a conditional SSA with Chan Chee Wei and Solarvest to acquire the entire equity interest in SIW Manufacturing comprising 1,500,000 ordinary shares for a purchase consideration of RM46,822,369 which was wholly satisfied by the issuance of 425,657,900 new Shares to Chan Chee Wei and Solarvest at an issue price of RM0.11 each.

Vendors	Shareholdings in SIW Manufacturing		Purchase consideration (RM)	No. of Shares issued
	No. of shares acquired	% of share capital		
Chan Chee Wei	1,050,000	70.0	32,775,658	297,960,530
Solarvest	450,000	30.0	14,046,711	127,697,370
	1,500,000	100.0	46,822,369	425,657,900

The Acquisition of SIW Manufacturing is conditional upon the approval of Bursa Securities being obtained for the Listing, which was obtained on 8 June 2026. The Acquisition of SIW Manufacturing was completed on 15 July 2026. Thereafter, SIW Manufacturing became our wholly-owned subsidiary. The purchase consideration of RM46,822,369 for the Acquisition of SIW Manufacturing was arrived at on a willing-buyer willing-seller basis after taking into consideration the audited NA of SIW Manufacturing of RM46.82 million as at 31 December 2024.

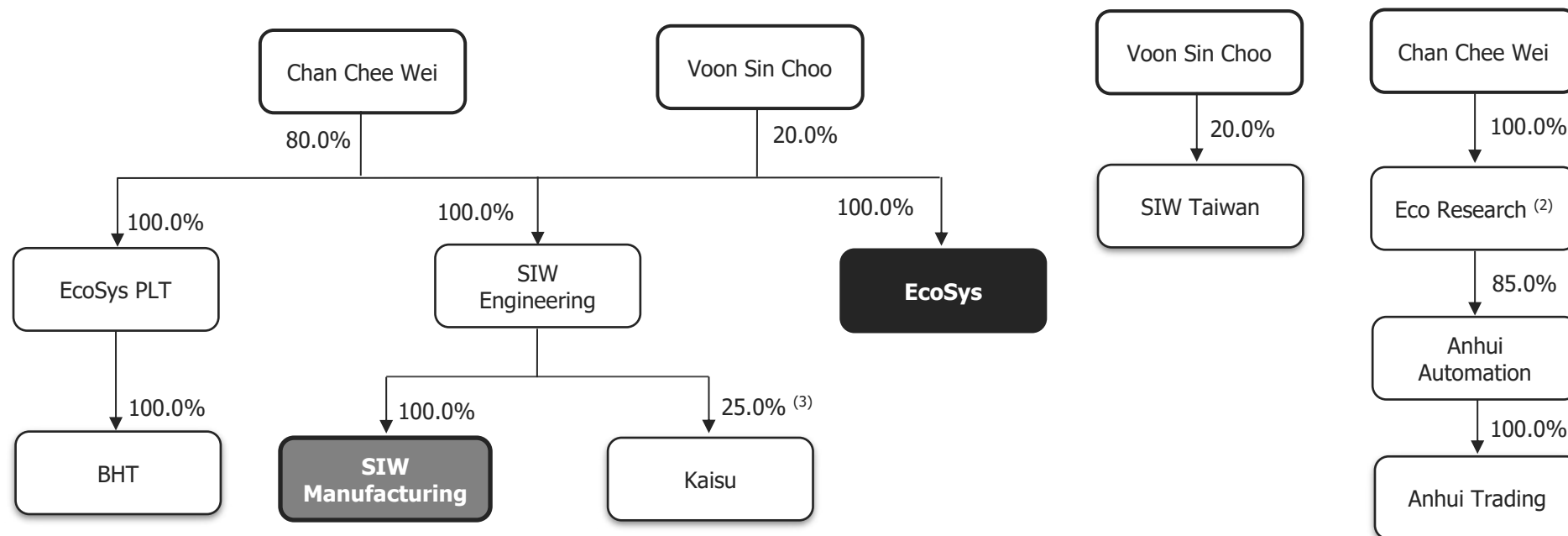
The new Shares issued under the Acquisition of SIW Manufacturing rank equally in all respects with our existing Shares including voting rights and will be entitled to all rights and dividends and/or other distributions, the entitlement date of which is subsequent to the date of issuance of the new Shares.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

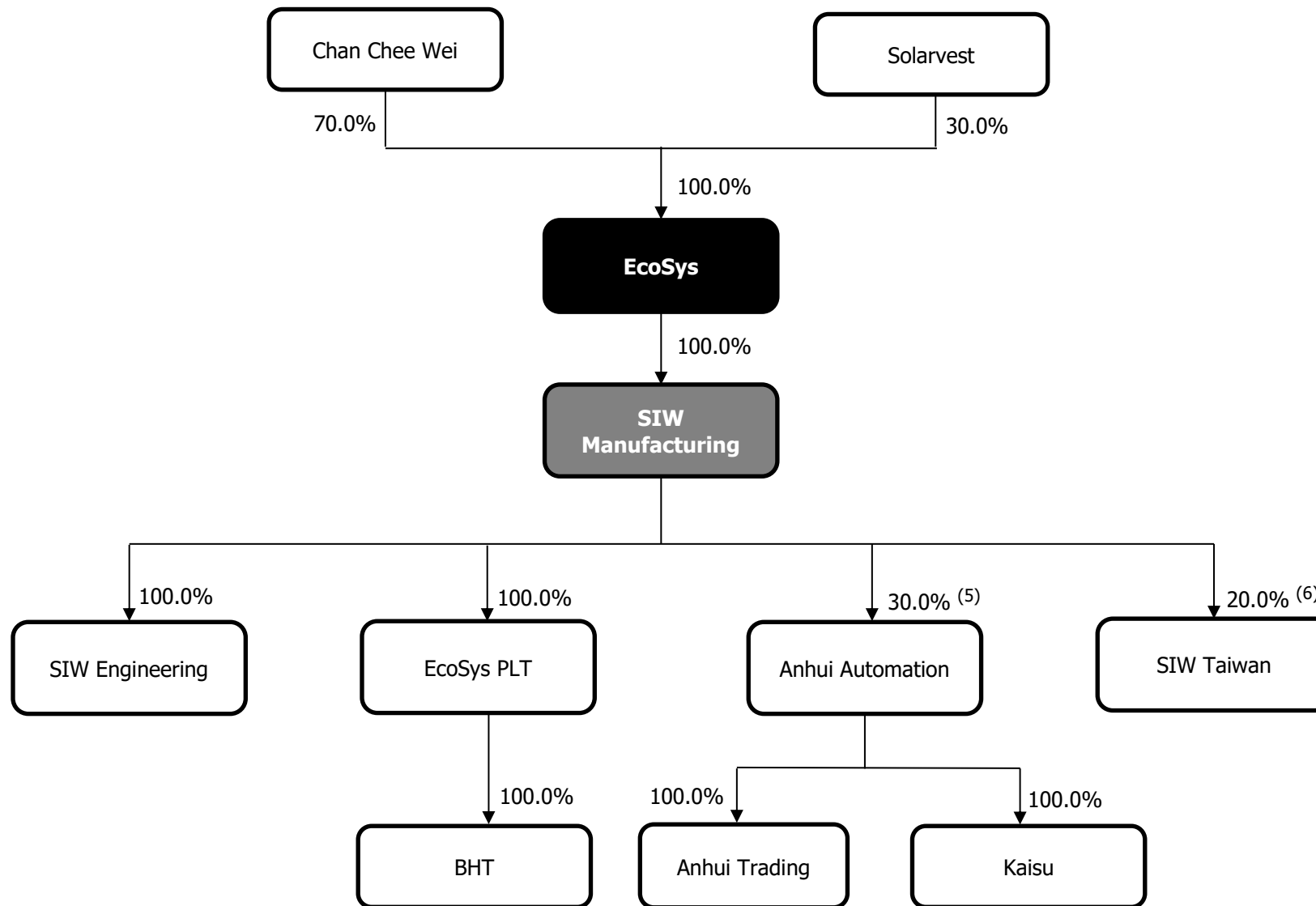
6.1.5 Group structure

(a) Before the Internal Restructuring ⁽¹⁾



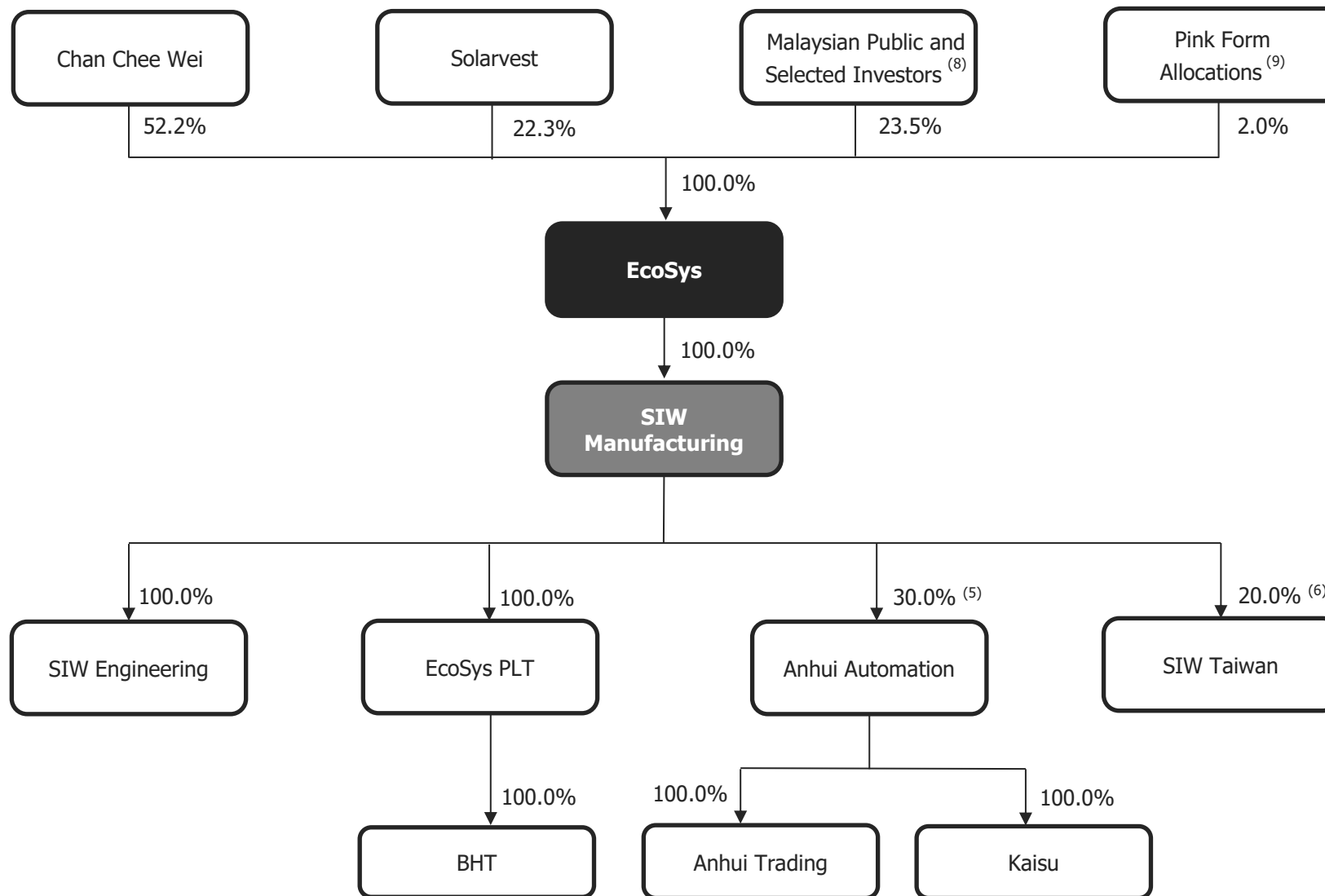
6. INFORMATION ON OUR GROUP (Cont'd)

(b) After the Internal Restructuring and Acquisition of SIW Manufacturing ⁽⁴⁾



6. INFORMATION ON OUR GROUP (Cont'd)

(c) After our IPO ⁽⁷⁾



6. INFORMATION ON OUR GROUP (Cont'd)**Notes:**

- (1) For illustration purpose, the diagram does not depict shareholders' reorganisation in SIW Manufacturing and shareholders' reorganisation in SIW Taiwan (as part of the Internal Restructuring) as these are shareholders' restructuring exercises amongst the shareholders in the respective entities.
- (2) Eco Research is a private investment company held by Chan Chee Wei and it is not part of our Group.
- (3) The remaining 75.0% equity interests were held by Mame Electronics Ltd (45.0%) and Elite Glory Investment Ltd (30.0%).
- (4) Based on the share capital of 425,658,000 Shares after completion of the Internal Restructuring and Acquisition of SIW Manufacturing but before our IPO.
- (5) The remaining 70.0% equity interests are held by Wuhu Zhi Ce (34.0%), Shanghai Jingnengtong (13.5%), Anhui Xuansheng (12.0%) and Forever Fame (10.5%).
- (6) The remaining 80.0% equity interests are held by GAT Asset (40.0%), Chen-Tai (15.0%), Future Investment (15.0%) and Wu Min Xu (10.0%).
- (7) Based on the enlarged share capital of 571,354,000 Shares after our IPO.
- (8) Including Bumiputera investors approved by MITI.
- (9) Assuming that all Eligible Persons will subscribe for the Pink Form Allocations.

6.2 OUR SUBSIDIARIES AND ASSOCIATED COMPANIES

As at LPD, details of our subsidiaries and associated companies are as follows:

Company	Date/ Place of incorporation	Principal place of business	Effective equity interest	Principal activities
Direct subsidiary				
SIW Manufacturing	15 February 2019 / Malaysia	Malaysia	100.0%	Ultra-high purity fabrication of precision engineering components and sub-assembly modules; and R&D, customisation, assembly, installation, testing, commissioning and maintenance of abatement systems
Indirect subsidiaries held through SIW Manufacturing				
SIW Engineering	23 March 2005 / Singapore	Singapore	100.0%	Assembly of semiconductor devices and precision engineering components and sub-assembly modules

6. INFORMATION ON OUR GROUP (Cont'd)

Company	Date/ Place of incorporation	Principal place of business	Effective equity interest	Principal activities
EcoSys PLT	23 March 2005 / Singapore	Singapore	100.0%	Trading of abatement systems
BHT	28 November 2011 / Singapore	Singapore	100.0%	Leasing of patents, trademarks and brand names
Associated companies				
Anhui Automation	18 May 2017 / China	China	30.0% ⁽¹⁾	Manufacturing of abatement systems and related modules and components for maintenance services
Anhui Trading	15 March 2023 / China	China	30.0% ⁽²⁾	Trading of parts, equipment and materials
Kaisu	18 February 2014 / China	China	30.0% ⁽²⁾	Dormant ⁽⁴⁾
SIW Taiwan	31 January 2012 / Taiwan	Taiwan	20.0% ⁽³⁾	Trading of semiconductor equipment, parts, components, and maintenance services

Notes:

- (1) The remaining 70.0% equity interests are held by Wuhu Zhi Ce (34.0%), Shanghai Jingnengtong (13.5%), Anhui Xuansheng (12.0%) and Forever Fame (10.5%).
- (2) A wholly-owned subsidiary of Anhui Automation, in which our Group has 30.0% effective equity interest in Anhui Automation.
- (3) The remaining 80.0% equity interests are held by GAT Asset (40.0%), Chen-Tai (15.0%), Future Investment (15.0%) and Wu Min Xu (10.0%).
- (4) Kaisu was previously incorporated to lease intellectual properties of abatement systems in China to a Chinese third party after being granted the rights by BHT to use the patents registered in China in 2015. During the FYE 2022, Kaisu had received a lump sum amount of royalty fee of RMB13.01 million (equivalent to RM8.49 million) from the Chinese third party in settlement of outstanding royalty payments that had not been made in accordance with the agreed payment schedule. The intellectual property leasing arrangement between Kaisu and the Chinese third party was subsequently terminated and no further royalty fees have been collected from the Chinese third party thereafter. Kaisu has been dormant since then. As at LPD, no definitive future plans have been established for Kaisu.

Details of the share capital of our subsidiaries and associated companies are set out in Section 14.2 of this Prospectus.

6. INFORMATION ON OUR GROUP (Cont'd)**6.3 MATERIAL CAPITAL EXPENDITURES AND DIVESTITURES****6.3.1 Material capital expenditures**

Save as disclosed below, there were no other material capital expenditures (including interests in other corporations) made by us for the Financial Period Under Review and up to the LPD:

Material capital expenditures	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026	1 April 2026 up to LPD
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
- Freehold land	-	-	3,360	-	-	-
- Building	-	-	6,398	-	-	-
- Plant and machinery	1,904	467	312	448	128	549
- Cleanroom	89	88	-	17	-	-
- Computer and software	137	45	39	74	-	32
- Office equipment	73	51	29	160	32	4
- Electrical installation and renovation	336	-	-	353	3	99
- Motor vehicles	144	274	-	334	-	-
- Right-of-use assets (factory warehouse, hostels and offices)	472	1,123	-	140	-	543
- Patent/trademark	599	-	-	197	9	8
Investment in associates	-	-	5,936	378	-	-
Total	3,754	2,048	16,074	2,101	172	1,235

In FYE 2022, we incurred capital expenditure of RM3.75 million mainly due to the following:

- Purchase of new plant and machinery amounted to RM1.90 million, mainly for the expansion of production capacity of the UHP segment at the Bayan Lepas Factory.
- Purchase of office equipment as well as electrical installation and renovation amounted to RM0.41 million for the Bayan Lepas Factory.
- Registration of patent/trademark amounted to RM0.60 million through one of our subsidiaries, BHT.
- Leasing of right-of-use assets amounted to RM0.47 million for factory warehouse, hostels and office in Bayan Lepas, Penang.
- Purchase of new computer and software as well as motor vehicles amounted to RM0.28 million for our business operations in Bayan Lepas, Penang.
- Maintenance of cleanroom amounted to RM0.09 million for the Bayan Lepas Factory.

In FYE 2023, we incurred capital expenditure of RM2.05 million mainly due to the following:

- Leasing of right-of-use assets amounted to RM1.12 million, comprising our Bayan Lepas Factory (RM0.57 million) and Singapore Office (RM0.55 million).

6. INFORMATION ON OUR GROUP (Cont'd)

- (b) Purchase of new plant and machinery amounted to RM0.47 million for the Bayan Lepas Factory.
- (c) Purchase of new computer and software, office equipment as well as motor vehicles amounted to RM0.37 million for our business operations in Bayan Lepas, Penang.
- (d) Maintenance of cleanroom amounted to RM0.09 million for our Bayan Lepas Factory.

In FYE 2024, we incurred capital expenditure of RM16.07 million mainly due to the following:

- (a) Acquisition of land and building amounted to RM9.76 million for our Simpang Ampat Factory.
- (b) Investment in Anhui Automation of RM5.91 million and Investment in SIW Taiwan amounted of RM0.03 million to maintain our strategic presence in China and Taiwan as detailed in Sections 6.1.3 (e) and (h) of this Prospectus.
- (c) Purchase of new plant and machinery amounted to RM0.31 million for our Simpang Ampat Factory.

In FYE 2025, we incurred capital expenditure of RM2.10 million mainly due to the following:

- (a) Purchase of plant and machinery amounted to RM0.45 million for our Simpang Ampat Factory.
- (b) Set up of our cleanroom as well as the electrical installation and renovation amounted to a total of RM0.37 million in our Simpang Ampat Factory.
- (c) Purchase of computer and software as well as office equipment amounted to RM 0.23 million for office use in our Simpang Ampat Factory.
- (d) Additional investment in SIW Taiwan amounted to RM0.38 million.
- (e) Purchase of motor vehicles amounted to RM0.33 million for our business operations in Singapore.
- (f) Registration of patent/trademark amounted to RM0.20 million through our subsidiaries, SIW Engineering, EcoSys PLT and BHT.
- (g) Leasing of right-of-use assets amounted to RM0.14 million for hostels in Simpang Ampat, Penang.

There is also reclassification of capital work-in-progress in respect of the building, plant and machinery, cleanroom, computer and software, office equipment and electrical installation and renovation amounted to RM5.24 million, following the readiness of these assets upon our relocation to Simpang Ampat Factory.

In FPE 2026, we incurred capital expenditure of RM0.17 million mainly due to the following:

- (a) Purchase of new plant and machinery amounted to RM0.13 million for our Simpang Ampat Factory.
- (b) Purchase of office equipment as well as electrical installation and renovation amounted to 0.04 million.

6. INFORMATION ON OUR GROUP (Cont'd)

(c) Registration of patent amounted to RM0.01 million through our subsidiary, BHT.

From 1 April 2026 up to the LPD, we incurred capital expenditure of RM1.24 million mainly due to the following:

- (a) Purchase of new plant and machinery, computer and software, office equipment as well as electrical installation and renovation amounted to RM0.68 million for our Simpang Ampat Factory.
- (b) Right-of-use assets amounted to RM0.54 million arising from the renewal of the lease of our office in Singapore.
- (c) Registration of patent amounted to RM0.01 million through our subsidiary, BHT.

The above material capital expenditures were mainly financed by a combination of bank borrowings and internally generated funds.

6.3.2 Material divestitures

Save as disclosed below, there were no other material divestitures made by us for the Financial Period Under Review and up to the LPD:

	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026	1 April 2026 up to LPD
Material divestitures	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
- Plant and machinery	53	-	-	-	-	70
- Motor vehicles	386	-	-	141	-	-
- Patent/Trademark	-	2,494	-	-	-	-
Total	439	2,494	-	141	-	70

In FYE 2022, we divested motor vehicles and plant and machinery amounted to RM0.44 million.

In FYE 2023, we divested intangible assets of patent/trademark registered in China amounted to RM2.49 million to Anhui Automation.

In FYE 2025, we divested motor vehicles amounted to RM0.14 million.

From 1 April 2026 up to LPD, we divested plant and machinery amounted to RM0.07 million.

During FYE 2024 and FPE 2026, there were no material divestitures made by us.

6.3.3 Material plans to construct, expand or improve our facilities

Save for the proceeds from our Public Issue to be used for the expansion of abatement segment, enhancement of operational capabilities and expansion of geographical coverage as set out in Sections 4.9.1 (i), (iii) and (iv) of this Prospectus, our Group does not have any other immediate plans to construct, expand and improve our facilities as at the LPD.

6. INFORMATION ON OUR GROUP (Cont'd)

6.4 PUBLIC TAKE-OVERS

During the last financial year and the current financial year/period up to LPD, there were:

- (a) No public take-over offers by third parties in respect of our Shares; and
- (b) No public take-over offers by our Company in respect of other companies' shares.

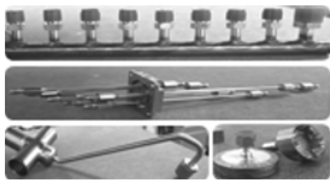
(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

6.5 BUSINESS OVERVIEW

6.5.1 Description of our business

Our Group's business model can be illustrated as follows:

Principal business activities	Industrial solutions for the pan-semiconductor industry	
Business segments	UHP Segment	Abatement Segment
Description of business activities	Fabrication of precision engineering components and sub-assembly modules	R&D, customisation, assembly, installation, testing, commissioning and maintenance of abatement systems
Products	 Precision engineering components and sub-assembly modules	 Abatement systems
Application	- Semiconductor manufacturing equipment - Solar PV panels manufacturing equipment	- Front-end semiconductor manufacturing equipment - Semiconductor manufacturing - Solar PV panels manufacturing equipment - Industrial gas supply systems
Revenue contribution in FYE 2025	RM62.98 million (57.8%)	RM45.97 million (42.2%)
Principal markets and revenue contribution in FYE 2025	- India (RM38.22 million or 35.1%) - Singapore (RM36.09 million or 33.1%) - Malaysia (RM29.65 million or 27.2%)	

Through our subsidiaries, our Group is principally involved in the provision of industrial solutions for the pan-semiconductor industry comprising the:

(i) UHP segment

We carry out the fabrication of precision engineering components and sub-assembly modules in cleanroom and non-cleanroom environments. These components serve as critical functions in semiconductor manufacturing equipment.

Precision engineering components fabricated in cleanroom environments are produced under stringent environmental controls that prevent dust, contamination and airborne particles. These components are critical for use in front-end semiconductor manufacturing processes, such as wafer fabrication, which are performed in cleanrooms to safeguard wafer integrity and maximise wafer yield. In contrast, precision engineering components fabricated in non-cleanroom environments are utilised in non-cleanroom semiconductor manufacturing processes, including semiconductor assembly, testing and downstream product manufacturing.

6. INFORMATION ON OUR GROUP (Cont'd)

We also fabricate facility manifolds and gas panels as part of our sub-assembly module offerings, which are built and tested in accordance with customer specifications for integration into semiconductor manufacturing equipment.

(ii) Abatement segment

Abatement systems mitigate the impact of volatile organic compounds, hazardous chemicals as well as other pollutants on the environment and human health. These systems are crucial in enabling manufacturers to comply with regulations pertaining to emissions. The significance of abatement technologies has increased considerably in response to the international commitment to achieve "Net Zero by 2050".

Our abatement systems are specialised industrial processing equipment designed to capture, treat and neutralise harmful gases emitted during manufacturing processes that emit harmful gases. Our abatement systems enable customers to mitigate both Scope 1 and Scope 2 emissions by contributing to the overall greenhouse gas balance and improving energy efficiency, thereby indirectly reducing their annual carbon emissions.

We mainly serve the global pan-semiconductor industry, where our customers are involved in various segments of the pan-semiconductor industry value chain. Our customers include front-end semiconductor equipment manufacturers, IDMs and foundries as well as manufacturers of solar PV panels and industrial gas supply systems. Our customers are MNCs operating across Asia and US.

Our head office is strategically located in Malaysia which has an established semiconductor and solar industries comprising MNCs across the semiconductor and solar PV value chain.

6.5.1.1 UHP segment

Under our UHP segment, we fabricate components and modules that form part of ultra-high purity fluid processing solutions across the pan-semiconductor industry, the categories of which are as follows:

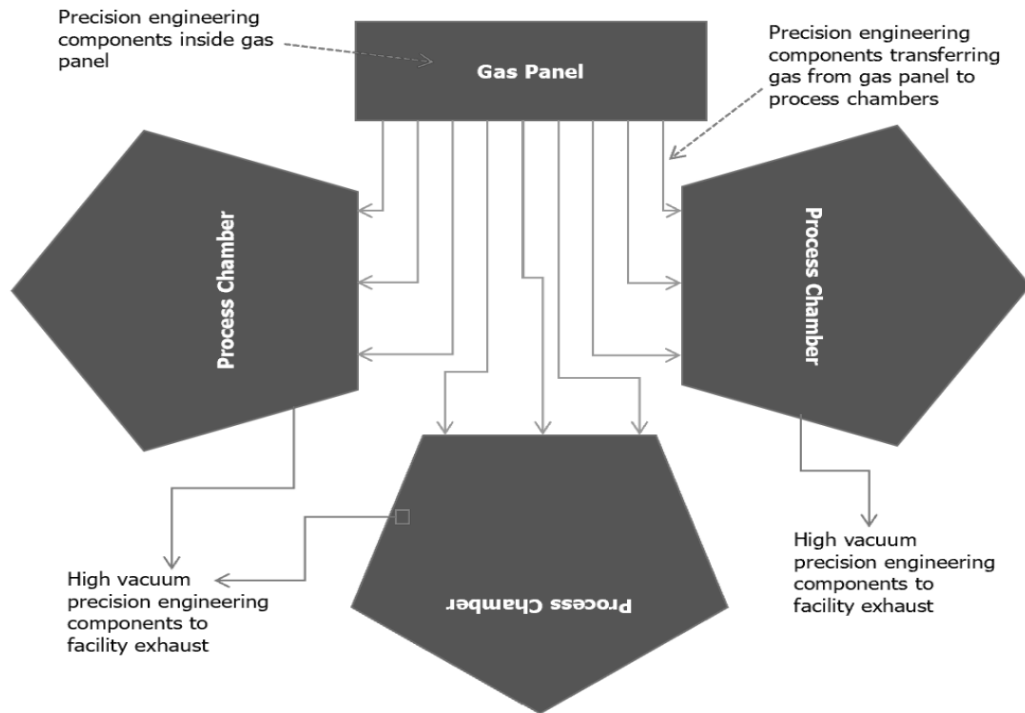
- (i) precision engineering components comprising metal part, plastic part and weldments for ultra-high fluid processing solutions; and
- (ii) sub-assembly modules comprising weldments and manifolds.

Semiconductor manufacturing equipment requires ultra-high purity and near-zero-leak weldments and manifolds for process gas inlets, intermediate distribution, and interconnect lines between main gas manifolds (gas panels) and process chambers. In addition, high-purity weldments and manifolds are essential for the distribution of cooling water, clean dry air (CDA), high vacuum (hivac) exhaust and outgas lines.

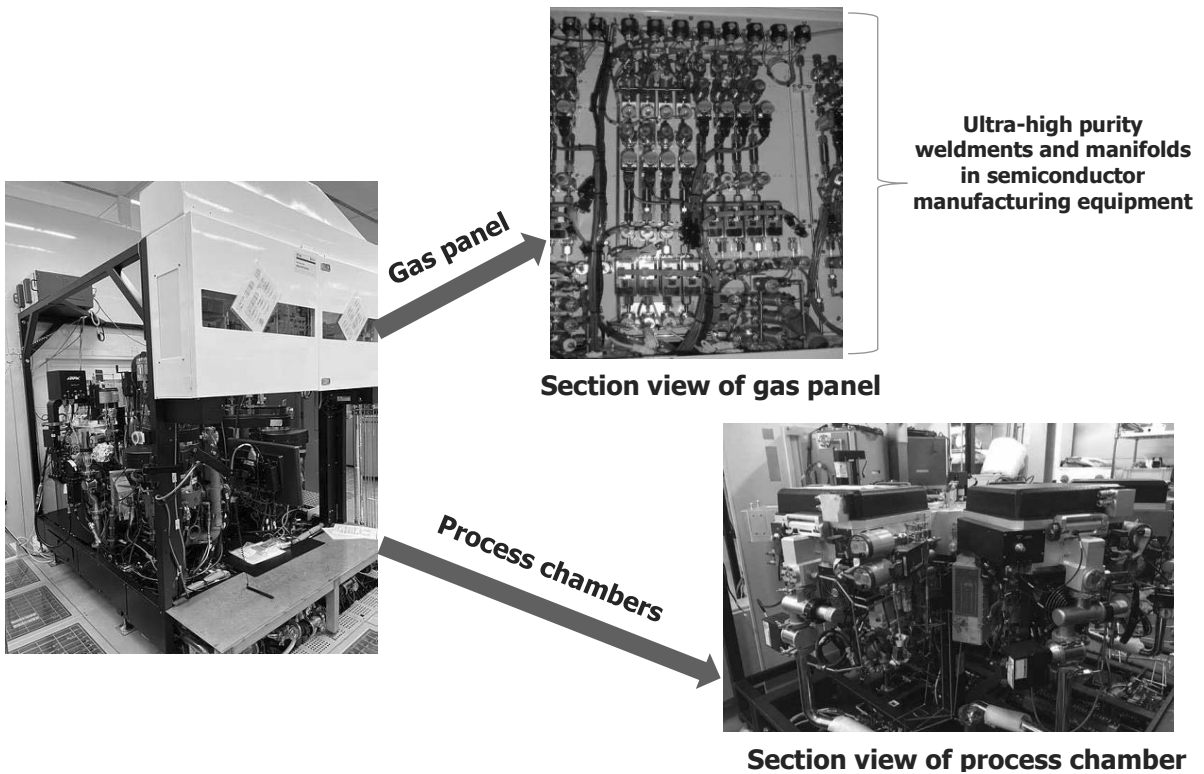
The process of manufacturing semiconductors requires liquid and gaseous fluids such as pure water, liquid cooling media, acids such as HF, hydrochloric acid and sulphuric acid as well as soda lye or solvents. These fluids are used to facilitate heating and cooling, storage and transportation of fluids, processing of products, mixing of fluids from several sources, as well as the collection and storage of finished products. These fluids are typically delivered from gas panels to process chambers in the semiconductor manufacturing processes through a bulk fluid systems comprising a complex network of pipes that handle large volumes necessary for the continuous operations of semiconductor manufacturing facilities.

6. INFORMATION ON OUR GROUP (Cont'd)

These network of pipes are known as ultra-high purity fluid processing solutions. An illustration of the flow of these gases from the gas panels to process chambers is set out below:

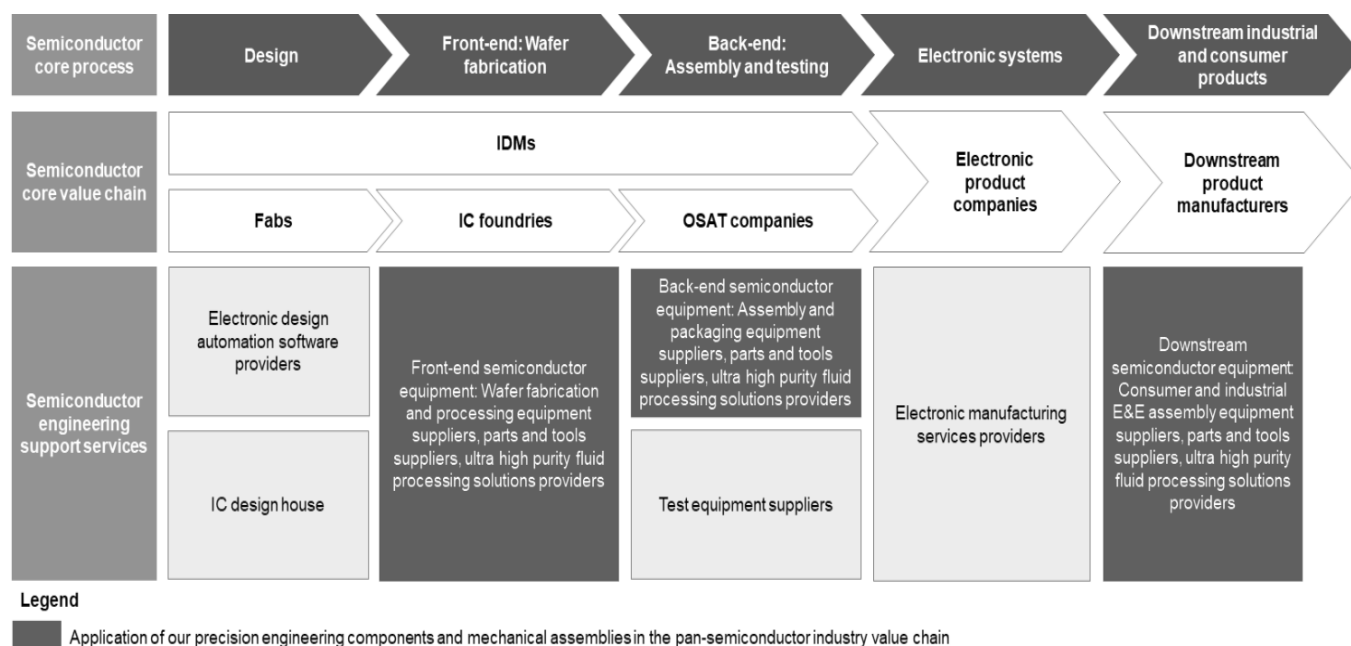


An illustration of the delivery of fluids from gas panels to process chambers in the semiconductor manufacturing processes through a bulk fluid system is set out below:



6. INFORMATION ON OUR GROUP (Cont'd)

The application of our precision engineering components and sub-assembly modules in the processes of the pan-semiconductor industry value chain can be illustrated as follows:



(a) Precision engineering components comprising metal part, plastic part and weldments for ultra-high fluid processing solutions

We fabricate metal and plastic parts and perform welding for components used in the assembly of ultra-high purity fluid processing solutions. The main components of these solutions include weldments and manifolds designed for:

- (i) Process gases: used in gas panels;
- (ii) Process gas distribution: serving as mixers, intermediate supply lines, and interconnect piping between gas panels and process chambers; and
- (iii) Utility systems: including cooling water, clean dry air, high vacuum (HiVac) exhaust, and outgas lines.

The fabrication of metal parts and plastic parts as well as the welding process can be carried out in a cleanroom environment and non-cleanroom environment at our Simpang Ampat Factory, depending on the application of the fabricated part, as well as requirements and specifications of our customers.

We have an ISO Class 5 cleanroom environment in our Simpang Ampat Factory. Our cleanroom is a controlled environment designed to meet stringent requirement where provisions are made to minimise particulate contamination and regulate environmental parameters such as temperature, humidity and pressure. This facility is dedicated for the fabrication of precision engineering components incorporated into ultra-high purity fluid processing solutions during the manufacturing of semiconductors and solar PV panels or the manufacturing of equipment, tools and parts that are used in IC and solar panel manufacturing processes. Once completed, the fabricated metal and plastic parts are either delivered to our customers or used as intermediate parts for our sub-assembly modules.

6. INFORMATION ON OUR GROUP (Cont'd)



Our ISO Class 5 cleanroom in our Simpang Ampat Factory

The precision engineering components that we produce based on the requirements and specifications of our customers are intermediate engineered metal and plastic parts. We use CNC machining processes to produce these precision engineering metal and plastic parts with close tolerance finishes in a precise and consistent manner. Our CNC machining processes are carried out in non-cleanroom environments.

Our precision machining capabilities through CNC machining are as follows:



(i) CNC milling

In the CNC milling process, a stationary metal or plastic workpiece is machined using a computer-controlled rotating cutting tool that removes material in a highly precise and repeatable manner. This process is well-suited for fabricating complex geometries, including flat planes, slots, and deep cavities, while maintaining strict dimensional tolerances and excellent surface finishes as specified in customer drawings.



(ii) CNC lathe

In the CNC lathe process, the workpiece is securely clamped and rotated at controlled speeds by the main spindle, while cutting tools mounted on movable slides operate along multiple axes to remove material. This process allows precise turning, contouring, and threading operations, producing components that meet exact dimensional and surface finish requirements defined in customer specifications.

6. INFORMATION ON OUR GROUP (Cont'd)**(iii) CNC wire cutting**

In the CNC wire cutting process, metal components are shaped using a continuously moving, electrically charged wire that erodes material through controlled electrical discharge. Each cutting path is digitally defined and managed through our MRP-integrated manufacturing drawings to maintain tight tolerances and consistency. This process is ideal for producing complex geometries, precise slots, and fine details that demand high dimensional accuracy and surface finish.

**(iv) CNC tube cutting**

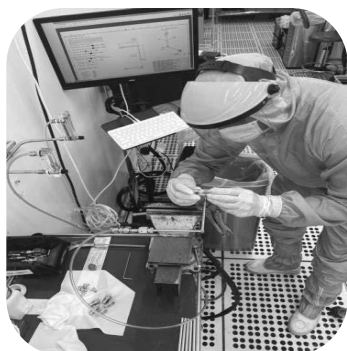
In the CNC tube cutting process, tubes are precisely cut to predetermined lengths based on pre-calculated values defined in our manufacturing drawings within the MRP system. The calculated dimensions incorporate allowances for weld shrinkage, ensuring that the completed assemblies conform accurately to the dimensional specifications of our customers' designs and drawings.

**(v) CNC tube bending**

In the CNC tube bending process, tubes are bent to precise angles and radius as defined in the manufacturing drawings within our MRP system. The bending operations are fully automated, with programmed control over rotation and feed length to achieve uniform accuracy across production batches. Compensation for material springback and elongation is incorporated into the bend data to ensure the finished assemblies conform to customer-specified dimensional tolerances.

6. INFORMATION ON OUR GROUP (Cont'd)

We undertake welding processes in our cleanroom to produce precision engineering metal parts for ultra-high purity fluid processing solutions. These welding processes include:



(i) Tack welding

Tack welding serves as a critical preparatory step to align and secure components and tubing according to customer design specifications prior to final welding. Each tack weld is carefully applied to maintain tight fit-up gaps, ensuring correct orientation and dimensional accuracy. This precision is essential to enable the subsequent welding process to produce a leak-tight, structurally sound joint in compliance with customer requirements.



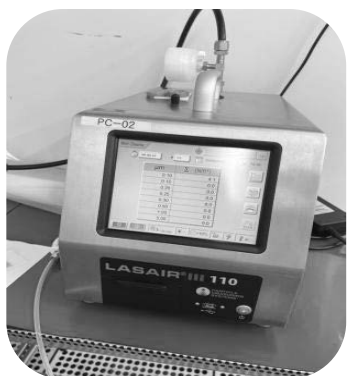
(ii) Orbital welding

Orbital welding is an automated process where a welding torch travels 360 degrees around a stationary tube or pipe, producing uniform and repeatable welds. Proper alignment of the weld joint is critical to achieving leak-tight integrity and good visual finish. Equally important is the control of purging gas pressure, which ensures weld purity and compliance with customer specifications. To maintain consistent weld quality, tungsten electrodes are precision-ground to specified geometry and replaced regularly to sustain optimal arc stability.



(iii) Helium leak detection

Helium leak testing plays a vital role in verifying the integrity of welded joints, especially for components used in high-purity gas and chemical delivery systems. The process employs helium as a tracer gas and detects leaks using a high-sensitivity mass spectrometer. As many of the gases conveyed through these weldments are corrosive, flammable, or toxic, leak testing is critical to ensuring system safety, reliability, and compliance with customer and industry standards.



(iv) Particle counting

Particle counters are used in cleanrooms to measure and classify airborne particles, ensuring that the environment remains within required cleanliness standards and meets certification criteria. In our operations, particle counting serves 2 key purposes: first, for continuous monitoring to ensure our cleanroom maintains ISO Class 5 conditions; and second, to verify that the ultra-high purity weldments produced are free from particulate contamination, thereby meeting the stringent cleanliness requirements of our customers.

6. INFORMATION ON OUR GROUP (Cont'd)

We also perform tack welding and orbital welding for certain weldments, particularly those involving manual welding for cooling water and high vacuum (HiVac) lines, in a controlled and air-conditioned environment. Although this area is not classified as an ISO Class 5 cleanroom, it is maintained under strict environmental controls to ensure weld quality, dimensional accuracy, and cleanliness appropriate to the application requirements.

Some of the metal and plastic parts that we fabricate and weld in non-cleanroom environment at our Simpang Ampat Factory for ultra-high purity fluid processing solutions include:



Metal parts

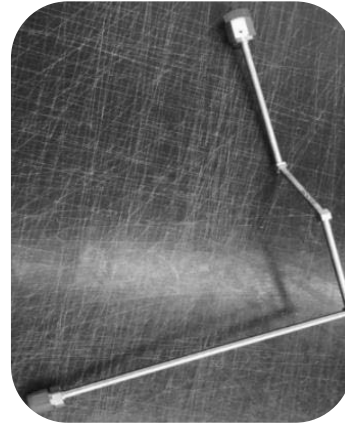
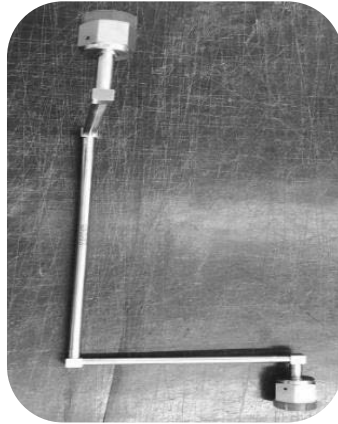


Plastic parts

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

Some of the precision engineering components that we fabricate in our ISO 5 cleanroom at our Simpang Ampat Factory include:

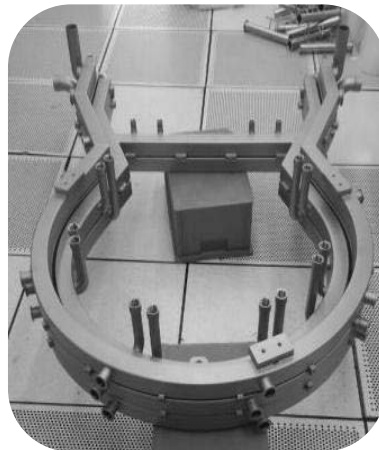


Precision engineering components

(b) Sub-assembly modules

We also produce sub-assembly modules to meet the requirements and specifications of our customers in the pan-semiconductor industry. These modules are built and tested according to customer specifications and form part of our total solution offering, enabling customers to install them directly into their systems without the need for further component assembly or testing. This not only reduces our customers' assembly and testing time but also enhances overall production efficiency and reliability.

Some of the sub-assembly modules fabricated by us are as follows:



Facility manifolds



Gas panels

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.1.2 Abatement segment

The pan-semiconductor industry value chain is complex in nature and involves several processes whereby harmful gases are emitted, particularly:

- In front-end semiconductor manufacturing, specialised semiconductor design and manufacturing facilities that are known as IDMs, specialised semiconductor manufacturing facilities that are known as fabs and IC foundries print nanometer-scale ICs from the chip design into silicon wafers. The fabrication process is intricate and requires highly specialised equipment as well as liquid and gaseous chemicals to achieve the needed precision at miniature scale. In particular, the etching and chemical vapor deposition cleaning steps in the fabrication process utilise harmful gases for plasma etching intricate patterns required for ICs, cleaning processing chambers and temperature control; and
- In downstream product manufacturing, downstream product manufacturers assemble industrial and consumer products such as solar PV panels. The manufacturing of solar PV panels generates greenhouse gas emissions, primarily during the energy-intensive production of materials such as polysilicon, which is an ultra-pure silicon required for solar cells.

The front-end semiconductor manufacturing and downstream product manufacturing processes release harmful gases that can lead to environmental and health risks, among which include:

- acidic gases such as hydrogen fluoride, HCl, sulfuric acid and nitric acid;
- toxic gases such as phosphine, arsine, silane and ozone;
- organic compounds that can contribute to air pollution;
- particulate matter such as fine dust and particles; and
- greenhouse gases such as carbon tetrafluoride, sulphur hexafluoride and nitrogen trifluoride.

As a result of this, the pan-semiconductor industry adopts abatement systems to control the emission of hazardous gases, reduce environmental impact and comply with environmental regulations. Abatement is required to prevent adverse chemical reactions within production processes and to comply with strict regulatory emissions controls in the countries where our customers and end-users of our abatement systems operate.

We own *EcoSys* brand and all the intellectual properties for our abatement systems. The range of abatement systems are CDO, Vector, Marathon and Guardian. Since 2015, we began R&D to enhance the abatement systems under CDO, Vector, Marathon and Guardian series as well as incorporate new technologies to develop new abatement systems under this series. Our R&D capabilities have led to the development of new abatement system models. As at LPD, we own 48 patents, 36 trademarks and 3 wordmarks that are material to us and have been registered to protect the proprietary technologies and branding of our abatement systems.

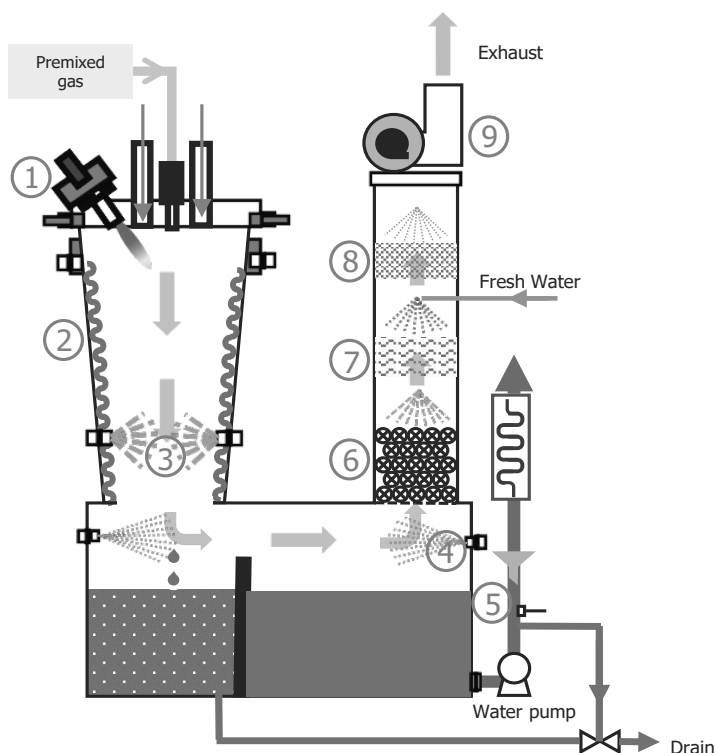
Our abatement systems are specialised industrial equipment that capture, treat and neutralise toxic, flammable and odorous gases as well as greenhouse gases emitted from manufacturing processes before they are released into the environment. The abatement systems are used to manage exhaust gases and other process by-products extracted by dry pumps.

6. INFORMATION ON OUR GROUP (Cont'd)

As each gas has to be treated differently to abate it, there are various methods to treat each gas and ensure that its toxicity, flammability levels and other harmful effects are reduced. Abatement systems utilise various methods to "scrub" gases in order to achieve detoxification, among which include:

- Dry scrubbing, such as thermal oxidation, combustible, plasma and catalytic oxidation;
- Wet scrubbing; and
- A combination of more than 1 the abovementioned methods.

For illustration purpose, the principles in the operations of our dry-wet scrubbing abatement system are as follows:



1. Fuels such as methane, hydrogen and liquid petroleum gas (LPG) or non-fuel utilising plasma ions are used to produce strong and stable pilot flame that heats up premixed and contaminated gases that enter the abatement system through ducts.
2. Waterwalls prevent byproduct deposition on the inner chamber wall and also functions to cool down the high-temperature decomposed gases.
3. The first stage scrubbing takes place in the waterwalls. A pump supplies water is sprayed through nozzles to scrub and capture coarse particles and water-soluble gases in droplets which descends into a settling tank.
4. As the droplets descend into the settling tank, mist is sprayed to capture ultrafine particles.
5. Water from the first stage scrubbing gathers in the settling tank and can be filtered and recirculated back to the first stage scrubbing to save the use of fresh water. Contaminated water is then drained and replaced with fresh water once it reaches specific parameters such as pH and conductivity instead of continuously being drained from the system. This saves water usage in our abatement systems.

6. INFORMATION ON OUR GROUP (Cont'd)

6. In the second stage scrubbing to capture particles and water-soluble gases, contaminated gases pass through packed bed scrubbers. Packed bed scrubbers comprise layers of packing material (made of plastic, metal or ceramics) inside the scrubber chamber which provide surface area for gas-liquid contact. The surface area of the packed bed devices provides a large area for the water to flow over and come into contact with the contaminated gases. The water coats the packed bed scrubbers and establishes a thin film for the pollutants to be absorbed, resulting in contaminated droplets.
7. In the final stage scrubbing process, the contaminated droplets go through another layer of packed bed scrubbers that has a larger water contact surface.
8. In the final stage scrubbing, the contaminated droplets enter a drying zone where water droplets are removed from the scrubbed gas before the gas is discharged.

Please refer to Section 6.5.4 of this Prospectus on the technologies used in our abatement systems.

We have an inhouse R&D department that carries out R&D for new product development and enhancements on our existing abatement systems. Our R&D efforts focus on enhancing:

- specifications and functionality of our abatement systems;
- communications within the abatement system to ensure they work in the desired timing and sequence;
- protocols to facilitate interface and communications between modules in the abatement system as well as between modules in the abatement system and external devices and systems;
- scalability to allow ease of expansion or addition of modules to the abatement systems at a later stage;
- programming and graphical HMI design, as well as real-time monitoring through centralised monitoring systems;
- collection and analysis of performance data and statistics of the abatement system; and
- integration of abatement system with other systems or network.

The quality and technology of the equipment and systems used in our abatement systems are important as they effectively define the limits of the abatement process as well as compliance to environmental regulations. We work closely with customers to understand their technical and operating requirements, as well as current and future product development roadmaps and requirements. This understanding allows us to propose abatement systems that meet the requirements of our customers.

From time to time, we also customise abatement systems based on the operating requirements of our customers. This includes customisation based on operating requirements and site requirements whereby the types of gases to be scrubbed determine the abatement system technology to be used; and facility or site conditions such as the availability of utilities, ceiling height and floor load weight influence the physical dimensions of the abatement system. Our technical and production team is responsible for installing, testing and commissioning each abatement system in the production equipment or production lines of customers prior to handover.

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.1.3 Abatement systems

Some of the models under Marathon, CDO, Vector and Guardian are set out below:

Series	Marathon Series: Integrated Abatement System	CDO Series: Thermal-Wet Abatement System
		
Model	Marathon M91, Marathon M91U, Marathon M91A, Marathon M91AU, Marathon M91P and Marathon M91PU	CDO C91
Description	M91 uses combustion-wet abatement technology which integrates thermal oxidation with scrubbing to treat a wide range of process gases. M91A and M91P are microwave plasma-wet abatement systems which incorporate our patented microwave plasma technology. Our patented plasma technology decomposes gases by transforming them into a plasma state using microwave frequency, thereby reducing the need for high fuel or power consumption. M91U, M91AU and M91PU are microwave plasma-wet abatement systems with uninterrupted operating mode. They have an electrical panel that controls 2 radiators and can be increase by a single control. This configures as a full redundant system as they can back up each other.	CDO C91 uses thermal abatement technology. The high gas treatment capacity of the CDO C91 system improves its performance while consuming less power and achieving higher operating temperature. This allows for more efficient decomposition of harmful process gases, supporting high-throughput tools and complex chemistries with consistent reliability.
Application	• Front-end semiconductor manufacturing • Downstream product manufacturing	• Front-end semiconductor manufacturing
Quality standards	• SEMI Standard compliant • CE compliant	• SEMI Standard compliant • CE compliant

6. INFORMATION ON OUR GROUP (Cont'd)

Series	Vector Series: Precision Wet Scrubber Systems for Acidic Gas Treatment	Guardian Series: Combustion Abatement System
		
Models	Vector V91 and Vector V91L	Guardian G91L, Guardian GS4 and Guardian GS8
Description	Vector V91 uses wet scrubber technology designed for efficient treatment of acidic and water-soluble exhaust gases such as chlorine, hydrogen fluoride, HCl and nitric acid. Vector V91L also uses wet scrubber technology and equipped with precise pressure control, making it ideal for raw wafer fabrication and epitaxy processes.	Guardian G91L, Guardian GS4 and Guardian GS8 use combustion technology for high-reliability gas decomposition with minimal maintenance requirements.
Application	Front-end semiconductor manufacturing	Front-end semiconductor manufacturing
Quality standards	• SEMI Standard compliant • CE compliant	• SEMI Standard compliant • CE compliant

6.5.1.4 Modules and components of abatement systems

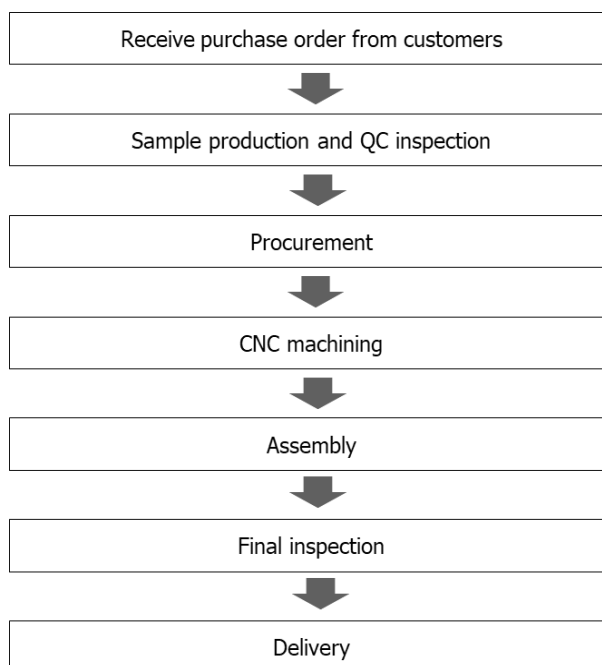
We also supply and produce modules and components of abatement systems, which are used as replacement parts for our abatement systems. These modules and components comprise electronic parts, mechanical parts and metal parts.

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.2 Business processes and facilities

6.5.2.1 Business processes

6.5.2.1.1 UHP segment



(a) Receive purchase orders from customers

Upon receiving purchase orders from our customers, we will liaise with them to understand their requirements and specifications. Our technical and production team will develop a production schedule, taking into account our inventory of raw materials, lead time for additional raw materials (if required) and production capacity for mass production.

(b) Sample production and QC inspection

Our customers will typically provide us with design drawings detailing the shape and dimensions of precision engineering components and sub-assembly modules they require. Based on these design drawings and dimension specifications, our technical and production team will program the CNC processes that need to be carried out using Computer-Aided Manufacturing (CAM) software.

We will firstly fabricate samples of the precision engineering components (commonly known as "first articles") and perform QC inspection whereby we visually inspect the first articles and take down detailed dimension measurement data. These samples and QC data will be submitted to our customers for approval. Upon receiving their approval, we will proceed to mass production.

(c) Procurement

Based on our production planning and inventory levels, we will source for materials that we require, among which include metal parts and plastic parts from suppliers. We carry out incoming QC inspection on the materials that we receive to ensure that the quantity and quality match the purchase order. In the event any materials do not meet the order specifications, these materials will be returned to the suppliers. These materials will be stored prior to production.

6. INFORMATION ON OUR GROUP (Cont'd)

(d) CNC machining

The CNC machining processes that we carry out in Simpang Ampat Factory include the milling, bending and cutting of metal parts to fabricate intermediate precision engineering components based to the design and specifications of our customers.

We perform QC inspections in-house after every CNC machining process carried out in our Simpang Ampat Factory to ensure that these fabricated precision engineering components meet the design specifications and quality standards. Our QC inspections include visual inspection as well as machine inspection methods. The fabricated precision engineering components are then stored prior to packing and delivery to our customers.

(e) Assembly

The fabricated precision engineering components from the CNC machining processes will be sub-assembled based on the design and technical requirements of these customers.

This assembly process involves tack welding and orbital welding for metal parts, which may be carried out either in our cleanroom or non-cleanroom environment, depending on the final application of the fabricated precision engineering components and requirements of our customers. Fabricated precision engineering components that undergo tack welding and orbital welding processes in our cleanroom further undergo helium leak detection and particle counting inspection.

The assembled fabricated precision engineering components will then move to final inspection, if we are not required to further assemble them into sub-assembly modules.

In the event we are engaged to produce sub-assembly modules, we will utilise the assembled fabricated precision engineering components and integrate them with other relevant components and parts, including panels and harnesses, into semi-assembled and fully assembled mechanical products based on customers' requirements.

(f) Final inspection

The final inspection of assembled fabricated precision engineering components involves visual and machine inspections to ensure specifications such as dimensions and finishing meet the requirements of our customers.

The final inspection of sub-assembly modules involves functionality testing of electrical and control functions using PLCs and HMIs to ensure functionality of electrical and electronic processes, and proper installation of components, parts and wiring.

In the event any fault is detected during the final inspection, we will check to determine if there are any:

- (i) loose connections/wirings;
- (ii) incorrectly placed components; and
- (iii) faulty components or parts,

and rectify the issue accordingly. Once the issue has been rectified, we will repeat the final inspection of the affected precision engineering components or sub-assembly module.

6. INFORMATION ON OUR GROUP (Cont'd)

(g) Delivery

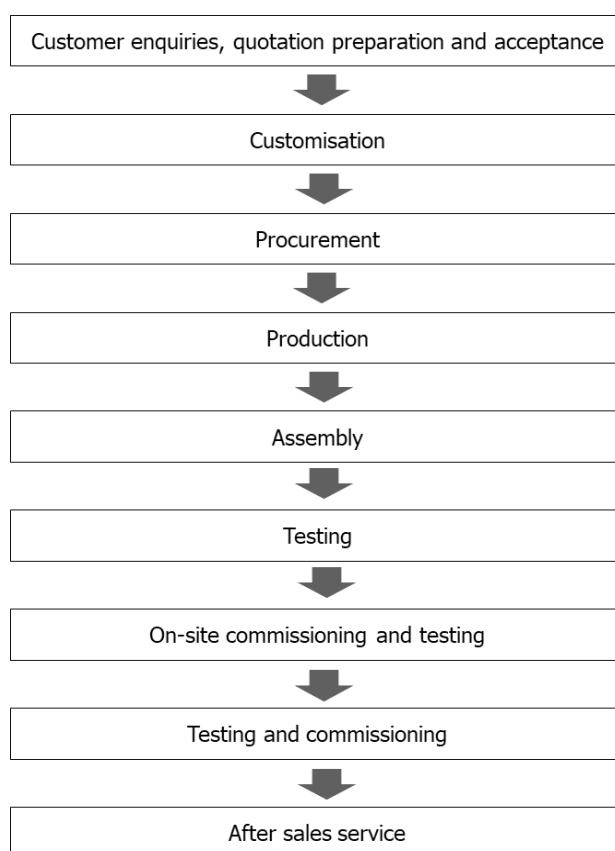
Assembled fabricated precision engineering components as well as sub-assembly modules will be packed and stored prior to delivery to our customers. We generally do not extend warranty for the fabricated components and sub-assembly modules upon delivery to our customers. Nonetheless, we carry out inspection of our finished products and ensure that the assembled products match with our customers' requirements before being packed and delivered.

In the event our customers face any issues upon delivery, we will request that the affected sub-assembly modules and/or components are returned to us for rework and/or replacement. We will then carry out a root-cause analysis to identify the issue and rectify it accordingly. Thereafter, we will repeat the final inspection prior to delivering the sub-assembly modules and/or components to our customers.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.2.1.2 Abatement segment



(a) Customer enquiries, quotation preparation and acceptance

Our sales and marketing team maintains close engagement with customers to understand their needs and operational requirements while keeping them informed of our latest product developments and technological enhancements. When customers introduce new process equipment or require abatement system replacements or upgrades, they typically approach us for a proposal.

The proposal process begins with confirming the types and flow rates of process gases that need to be treated. Based on this information, our team determines the appropriate abatement configuration (whether dry, wet, or integrated systems) to best suit the customer's application. We then discuss the customer's preferences for combustion, plasma, or thermal technologies, taking into account their specific process characteristics and facility setup.

Following several rounds of technical and commercial discussions, we finalise the system configuration, along with a comprehensive proposal and quotation detailing the specifications, performance, pricing, and commercial terms. Once the customer accepts our proposal, a purchase order is issued, specifying the quantity, delivery schedule, and installation location for the abatement systems.

(b) Customisation

Depending on the series and model of our abatement systems, the configuration of customers' front-end and downstream semiconductor equipment, spatial constraints, as well as specific technical and operational requirements, we may be required to customise our abatement systems. Such customisation ensures seamless integration with customers'

6. INFORMATION ON OUR GROUP (Cont'd)

process equipment and optimal performance under their unique production conditions. Our Group does not obtain SEMI standard certification for the non-standard products including CDO C91, Guardian G91, and Vector V91L which are frequently customised to meet specific customer requirements. Nonetheless, there has been no restriction in selling customised abatement systems that are not SEMI standard certified in the industry as these are customised based on customers' requirements.

Our abatement systems can be configured with a wide range of options, including the number and size of inlets, heated or non-heated inlets, pre-wet and inlet cleaning mechanisms, standard or high-temperature secondary scrubbing, exhaust drying, particle control, chemical dosing systems, and exhaust suction enhancement features. Each configuration is carefully reviewed and finalised in close consultation with the customer to ensure alignment with their process requirements, safety standards and performance targets.

Following technical confirmation and the finalisation of commercial terms with our customer's procurement team, the manufacturing process begins immediately to meet the required delivery timeline.

(c) Procurement

Upon receipt of a customer purchase order, our operations team finalises the BOM and releases it to the purchasing department; in parallel, our technical and production team initiates production scheduling.

We source through an approved vendor list that designates primary and secondary qualified suppliers for each part/category to ensure quality assurance, delivery reliability, and cost competitiveness. Supplier selection and allocation will follow our dual-sourcing policy, with decisions based on quality, lead time, capacity, and total cost. Qualification typically includes capability assessment, sample/first-article approval, and periodic performance reviews.

Purchasing activities are organised into standard off-the-shelf components, sheet metal fabrication, cabinets, electrical panels and wiring harnesses. Machining and weldments are performed primarily in-house for precision and traceability; when internal capacity is constrained, we outsource to qualified suppliers under our specifications and quality controls. Vendor performance is monitored via KPIs (i.e. on-time delivery and non-conformance rates), with incoming inspection applied based on part criticality. All procurement operations are coordinated from our Simpang Ampat Factory and integrated with our MRP system for end-to-end traceability.

(d) Production

At our Simpang Ampat Factory, the production process typically begins with the fabrication of various weldments, led by our technical and production team, which specialises in high-integrity welding for semiconductor applications. Production is organised into several dedicated teams based on sub-assembly functions, namely mechanical, pneumatic and electrical. Each sub-assembly module is fabricated and verified individually before progressing to final assembly.

This structured production flow allows us to maintain precision, efficiency, and full traceability across all manufacturing stages, ensuring each abatement system meets the high reliability standards required by semiconductor manufacturing environments.

6. INFORMATION ON OUR GROUP (Cont'd)

(e) Assembly

We conduct incoming inspections on all modules and components delivered to our Simpang Ampat Factory. These inspections include:

- (i) Verification that delivered items match the purchase order and delivery order;
- (ii) Visual inspection to ensure there are no defects or damages; and
- (iii) Form, fit, and function testing, which assesses:
 - Form: the dimensional accuracy of modules received;
 - Fit: the ability of modules to interface or connect with other system components; and
 - Function: the ability of each module to perform its intended process or operation.

Final system assembly will then be carried out by our technical and production team at Simpang Ampat Factory. This involves:

- (i) Manual integration of modules, components, cabinets, electrical panels, harnesses, and devices into a complete abatement system unit; and
- (ii) Configuration and installation of control and communication systems to ensure that the unit functions according to technical and performance specifications.

The typical assembly time for 1 unit of abatement system ranges from 7 to 10 working days, depending on design complexity, production volume and manpower allocation.

(f) Testing

Each completed abatement system undergoes a comprehensive QC testing process to verify its functionality, safety, and performance under simulated operating conditions. Abatement systems that do not meet the testing parameters are disassembled for root cause analysis, with corrective actions implemented before retesting to ensure full compliance with specifications.

The QC process includes functional performance verification, safety interlock checks, control sequence validation, and system endurance testing. Our system endurance test is conducted using an automated PLC-controlled testing platform developed in-house. This testing platform simulates real-world operational sequences and process conditions to evaluate the abatement system's long-term reliability, control logic and response accuracy.

The automated testing platform significantly improves efficiency and consistency by minimising human error and shortening the testing cycle. What previously required 2 personnel over 2 days can now be completed by 1 person in approximately 4 hours through automated execution and data logging. All testing data are recorded and traceable through our internal system for performance verification and quality audit purposes.

We are also planning to deploy the automated testing platform at customer sites. Once implemented, this will allow our product management teams to perform system-level verification tests after each preventive maintenance cycle, ensuring the abatement system continues to perform at optimal efficiency and meets post-service performance specifications.

Upon successful completion of all QC and endurance tests, abatement systems are cleaned, packed, and labelled for delivery to the customer's premises, ready for installation and commissioning.

6. INFORMATION ON OUR GROUP (Cont'd)

(g) On-site commissioning and testing

We are responsible for the on-site commissioning and testing of our abatement systems at customer premises to ensure proper integration, functionality, and performance under actual operating conditions. This process verifies that our abatement systems interface correctly with our customer's process equipment and facility infrastructure, and that they achieve the specified performance standards.

During installation, our team assists customers in positioning the abatement system and coordinates with their contractors for the connection of all required facility interfaces including electrical and control cables, process gas inlets, deionised water, process cooling water, drains, nitrogen, clean-dry air, and exhaust lines. Once the system is fully connected, we proceed with commissioning, which involves re-performing all major component and process tests as well as verifying communication and control signal integrity between the abatement system and our customer's main process equipment.

The typical on-site commissioning duration ranges from 2 to 5 working days, depending on system configuration and site readiness.

Throughout this support phase, our technical and production team will remain available to assist with any tuning, troubleshooting, or parameter adjustments to ensure optimal performance and customer satisfaction. Upon completion of commissioning and acceptance, the abatement system is formally handed over to the customer for full operation.

(h) After sales service

We provide comprehensive after-sales service to ensure the long-term reliability and performance of our abatement systems after installation and commissioning. Our support includes preventive maintenance, on-call technical assistance, spare parts management, and performance verification testing, helping customers maintain continuous and stable operations.

After commissioning, we provide on-call technical support to new customers for approximately 3 to 6 months after handover, ensuring they gain familiarity with our abatement systems and a positive operational experience during the initial usage period.

We typically offer a warranty period of up to 12 months commencing from the delivery of our abatement systems, during which our Group is liable for product liability claims of up to 1 year arising from defects in parts and modules of our abatement systems and workmanship. During this period, our Group will repair or replace applicable modules, components, or parts arising from manufacturing defects. The warranty is provided on a back-to-back basis with our suppliers, ensuring consistent quality and accountability throughout the supply chain. Beyond the warranty period, our service teams perform maintenance services on ad-hoc basis. Each maintenance cycle includes inspection, cleaning, calibration, and functional verification to ensure the abatement system continues to meet its design performance.

Through these initiatives, we aim to strengthen customer satisfaction, maximise system uptime, and build long-term trust with our global client base.

6. INFORMATION ON OUR GROUP (Cont'd)**6.5.2.2 Key machinery and equipment**

Key machine and equipment	Function	No. of units	Age range (years)	NBV as at 31 March 2026 (RM'000)
Air compressor	Machinery used to supply compressed air to machinery and equipment	1	5	* -
Welding machines	Machinery used to generate heat to melt and join metals	22	3 to 11	387
CNC cutting machines	Computer controlled machinery used to cut materials such as metals into a desired dimension, shape and finish	4	1 to 11	324
CNC machine centres	Computer-controlled machinery that can perform multiple machining operations such as milling and drilling on a single platform	4	3 to 11	139
CNC milling machines	Computer-controlled machinery that uses a rotating cutting tool to remove material from a solid block of metal, plastic or wood to create precise parts and products	4	4 to 10	36
CNC lathe machines	Computer-controlled machinery that cuts materials such as metals and plastics by spinning it around a central spindle and a fixed cutting tool	2	4 to 9	16
CNC bending machines	Computer-controlled machinery that bends metals into desired geometric and cross-sectional shapes	2	4 to 11	98
Total				1,000

Note:

* The asset has been fully depreciated.

6.5.3 QA and QC

As at LPD, SIW Manufacturing, has been certified compliant to the following quality standards for our UHP segment:

Certification	Validity period	Certification scope	Certification body
ISO 9001:2015 (Quality management system)	17 April 2026 to 17 May 2029	Design, manufacture, installation, commissioning and maintenance of abatement systems; ultra-high purity weld solution for high-integrity piping systems	Transpacific Certifications Limited

6. INFORMATION ON OUR GROUP (Cont'd)

Certification	Validity period	Certification scope	Certification body
ISO 14001:2015 (<i>Environmental management system</i>)	17 April 2026 to 17 May 2029	Design, manufacture, installation, commissioning and maintenance of abatement systems; ultra-high purity weld solution for high-integrity piping systems	Transpacific Certifications Limited
ISO 45001:2018 (<i>Occupational health and safety management system</i>)	17 April 2026 to 17 May 2029	Design, manufacture, installation, commissioning and maintenance of abatement systems; ultra-high purity weld solution for high-integrity piping systems	Transpacific Certifications Limited

Our cleanroom at Simpang Ampat Factory is certified compliant to the following standard:

Certification	Validity period	Certification scope	Certification body
ISO 14644-1:2015	26 May 2026 to 26 May 2027	ISO Class 5 Cleanroom: Production area, deionised water tank and transfer room	VOV (M) Sdn Bhd

In addition, most of our abatement systems, such as the Guardian G91L, Marathon M91, Marathon M91A and Vector V91 series abatement systems which are sold to customers as standard products have been certified SEMI Standard compliant which is widely accepted and predominantly required by our pan-semiconductor customers. Nonetheless, there has been no restriction in selling customised abatement systems such as CDO C91, Guardian G91, and Vector V91L that are not SEMI standard certified in the industry as these are customised based on customers' requirements. In addition, these customised abatement systems are modified and developed based on the existing patented technologies and are marketed under our Group's registered trademarks.

Notwithstanding that, these customised abatement systems are subject to internal design reviews, QC procedures and customer acceptance testing prior to the delivery. Such customisations are engineered in accordance with customers' operational suitability and technical requirements which are mutually agreed with the customers. Accordingly, our Group has not experienced any material adverse implications arising from the sales of customised abatement systems that are not SEMI standard certified.

The SEMI Standard is a set of technical agreements for semiconductor design and manufacturing established by SEMI. The SEMI Standard facilitates interoperability and efficiency, enhance quality and reliability and facilitate technology transfer within the various industry players that are involved in the semiconductor and electronics manufacturing industry. These standards cover key areas such as equipment automation, communication and safety. Further, the abatement systems are also certified CE compliant, indicating that they comply with European Union health, safety and environmental protection standards.

6. INFORMATION ON OUR GROUP (Cont'd)

We carry out various inspections and tests as part of our QC process, among which include:

Stage	Description
Incoming fabricated materials and parts	• We inspect and measure sample pieces of materials, components and modules to ensure that the dimensions are accurate and in accordance to the technical drawings; and • Materials, components and modules that do not have the correct dimensions or are out of specification are rejected and returned to the supplier for replacement.
Work-in-progress	• Our technical and production team will inspect the electrical wiring of assemblies based on the electrical wiring drawing to ensure it meets technical specifications; • We will inspect the mechanical parts of the assembly based on technical specification and engineering drawings; and • We further perform a simulation test to ensure the assembly can operate.
Finished goods	• Our technical and production team will assemble the final abatement system at our Simpang Ampat Factory to test run and ensure its operability; • We will test these parts to ensure its functionality prior to delivery to our customers' premises; • Upon shipment to customers' premises, we will assemble and test run the abatement system for a predefined period during the testing and commissioning phase; and • Once the customer is satisfied with the performance of the abatement system, we will prepare the necessary handover documentation as well as operating and maintenance manuals for our customers.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.4 Technologies

We offer a range of abatement systems engineered with our 4 primary technologies to meet diverse operational requirements. Our abatement systems utilise combustion, thermal, microwave plasma and wet scrubbing technologies (either individually or in combination) to effectively decompose, remove or neutralise effluent gases and by-products generated during pan-semiconductor manufacturing processes.

(i) Combustion

Combustion abatement utilises fuels such as methane, hydrogen or liquefied petroleum gas to produce a strong and stable pilot flame that decomposes or oxidises effluent gases into safer substances such as carbon dioxide, nitrogen and water vapour. This method is suitable for treating most types of effluent gases. By finetuning the air-fuel ratio, the combustion abatement system can also achieve a high DRE even for perfluorinated compounds, which are typically more difficult to break down.

(ii) Thermal

Thermal abatement utilises electric heating coils to raise the reactor temperature, allowing the effluent gases passing through to be heated to the level where molecular bonds are broken, leading to decomposition. This technology is particularly suitable for sites without fuel supply and for gases that have a lower decomposition temperature (typically below 900°C). It offers a clean, fuel-free solution with precise temperature control and stable performance.

(iii) Microwave Plasma

Microwave plasma abatement is our patented technology, which harnesses the high energy of microwave radiation to ionise effluent gases and achieve efficient decomposition and destruction at the molecular level. This technology is especially effective for stable and high bond-energy gases such as PFCs and NF_3 , delivering extremely high DRE while reducing the need for fuel and minimising greenhouse gas emissions.

(iv) Wet

Wet abatement employs a liquid scrubbing process to absorb and neutralise soluble or reactive gases. As the effluent gases pass through the scrubbing solution, chemical reactions occur that convert contaminants into harmless by-products. This method is ideal for acidic, basic, or water-soluble gases such as HF, HCl, and NH_3 , and is often integrated as a final polishing stage to remove any residual soluble or particulate compounds from upstream processes.

In practice, our abatement systems are often designed as integrated abatement systems, where 2 or more technologies are combined within a single unit to treat the complex and mixed effluent gas streams commonly generated in semiconductor manufacturing processes. The most common configurations include Combustion–Wet, Thermal–Wet, and Plasma–Wet systems. These integrated abatement systems deliver superior destruction and removal efficiency, stable long-term operation, and full compliance with stringent international environmental and safety standards, while providing customers with energy-efficient, low-maintenance, and space-saving solutions that meet the demanding requirements of modern manufacturing environments.

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.5 Principal markets

(a) Analysis of revenue by business segments

The breakdown of our Group's revenue by business segments for the Financial Period Under Review and FPE 2025 are as follows:

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
UHP segment	78,022	74.3	50,202	68.0	61,557	69.3	62,976	57.8	18,420	58.4	12,889	57.1
Abatement segment												
• Abatement systems	21,024	20.0	19,456	26.4	23,510	26.5	43,129	39.6	12,743	40.4	8,473	37.6
• Modules and components	5,934	5.7	4,126	5.6	3,747	4.2	2,839	2.6	394	1.2	1,192	5.3
	26,958	25.7	23,582	32.0	27,257	30.7	45,968	42.2	13,137	41.6	9,665	42.9
Total	104,980	100.0	73,784	100.0	88,814	100.0	108,944	100.0	31,557	100.0	22,554	100.0

(b) Analysis of revenue by geographical locations

Our Group's operations are headquartered in Malaysia. For the Financial Period Under Review and FPE 2025, our sales were derived from Malaysia and overseas markets as follows:

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Malaysia	32,937	31.4	20,054	27.2	24,385	27.5	29,646	27.2	9,567	30.3	6,513	28.9
Overseas												
• Singapore	59,229	56.4	36,082	48.9	47,176	53.1	36,088	33.1	9,981	31.6	7,005	31.1
• India	-	-	-	-	6,321	7.1	38,216	35.1	11,339	36.0	6,696	29.7
• US	2,328	2.2	4,418	6.0	5,431	6.1	3,916	3.6	565	1.8	1,266	5.6
• Taiwan	3,493	3.3	3,673	5.0	4,758	5.4	724	0.7	72	0.2	126	0.6

6. INFORMATION ON OUR GROUP (Cont'd)

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
• China	5,430	5.2	6,949	9.4	495	0.6	144	0.1	10	(1)-	11	(1)-
• Others ⁽²⁾	1,563	1.5	2,608	3.5	248	0.2	210	0.2	23	0.1	937	4.1
	72,043	68.6	53,730	72.8	64,429	72.5	79,298	72.8	21,990	69.7	16,041	71.1
Total	104,980	100.0	73,784	100.0	88,814	100.0	108,944	100.0	31,557	100.0	22,554	100.0

Notes:

(1) Represents less than 0.1%.

(2) Consists of among others, Japan, South Korea and Netherlands.

The geographical segmentation of our Group's revenue is determined based on geographical location of the customers, regardless of the products delivery location as specified by the customers.

6.5.6 Significant products/services introduced

There are no other significant products/services introduced by our Group as at LPD.

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.7 Competitive strengths

We believe our success and potential for future growth are attributable to our competitive strengths set out below.

6.5.7.1 We have proprietary abatement systems that are certified SEMI and CE compliant due to our R&D activities

We own *EcoSys* brand and all the intellectual properties, namely patents and trademarks, for CDO, Vector, Marathon and Guardian range of abatement systems. Our abatement systems comply with various industry standards in meeting the stringent quality standards of our customers in the pan-semiconductor industry. Most of our proprietary abatement systems designed by our R&D team have been certified SEMI and CE compliant, and such certifications signify our design compliance and operational suitability in meeting the stringent operating requirements for semiconductor manufacturing activities. This positions us favourably to continue marketing our abatement systems to customers in the pan-semiconductor industry.

Over the years, our R&D, production, field service and PLC programming capabilities as well as manufacturing facility have been strengthened and refined in line with advancements in the pan-semiconductor industry, tighter environmental regulations and rising ESG awareness. We leverage on our R&D activities to expand the product range by enhancing existing models and developing new models of abatement system.

Our R&D process incorporates industry trend analysis, including global sustainability goals such as Net Zero by 2050 and emerging environmental standards like PM2.5 reduction, as well as customer feedback and technical requirements gathered from existing users and equipment manufacturers. Based on the information gathered, our R&D team designs and assembles abatement systems which are then certified in accordance with international standards such as SEMI and CE.

As at LPD, our R&D team comprises 13 experienced employees that enable us to carry out R&D and develop new models of abatement systems. Our commitment of innovation is reflected in our registration of 48 patents, 36 trademarks and 3 wordmarks that are material to our Group in protecting the proprietary technologies and branding of our abatement systems.

6.5.7.2 We have ISO certified ultra-high purity fabrication capabilities and ISO Class 5 cleanroom for UHP segment

Since 2006, we have developed technical capabilities in the UHP segment. We have capabilities in the fabrication of precision engineering components and sub-assembly modules in both cleanroom and non-cleanroom environments.

The ultra-high purity fabrication of precision engineering components and sub-assembly modules in our Simpang Ampat Factory is carried out by our technical and production team with skills in welding and CNC machining. We are certified compliant to ISO 9001:2015, ISO 14001:2015 and ISO 45001:2018 for the scope of design, manufacture, installation, commissioning and maintenance of abatement systems; and ultra-high purity weld solution. This enables us to serve customers in the pan-semiconductor industry who mainly source our fabrication services for components in ultra-high purity fluid processing solutions.

In addition, we have an ISO Class 5 cleanroom at our Simpang Ampat Factory where we undertake various fabrication process including tack welding, orbital welding, helium leak detection and particle counting. Our ISO Class 5 cleanroom allows a maximum of 3,520 particles per cubic meter that are 0.5 micrometers or larger and limits the number of smaller particles, such as 100,000 particles of 0.1 micrometers in size.

6. INFORMATION ON OUR GROUP (Cont'd)

The features of our ISO Class 5 cleanroom allow us to undertake fabrication of precision engineering components and sub-assembly modules, where even minute particles can cause product defects or contamination during semiconductor manufacturing process. Leveraging on our cleanroom and ultrasonic cleaning and drying line, we are able to clean and vacuum pack precision engineering components and sub-assembly modules that are fabricated for customers in the pan-semiconductor industry.

6.5.7.3 We have established business relationships with MNC customers

Our customers mainly operate in the pan-semiconductor industry and include front-end semiconductor equipment manufacturers, IDMs, foundries, solar PV panel manufacturers and industrial gas supply system manufacturers. Our customer base spans both local and international markets, with several MNC customers headquartered in Asia and the US. This diversified customer portfolio reduces reliance on any single market and enhances the stability and resilience of our business.

During the Financial Period Under Review, we had a total of 35, 33, 32, 29 and 16 MNC customers respectively. Since securing these MNC customers, we have obtained repeat orders and maintained good business relationships with them. Among which, this is evidenced through our 14 years of relationship with Customer A.

Our continued ability to secure and retain MNC customers underscores our industry reputation, track record and commitment to delivering high-quality services that meet the stringent standards of the pan-semiconductor industry. It also demonstrates our capability to support customers across the value chain, in particular the front-end semiconductor manufacturing companies (IC foundries and OSAT companies) and downstream product manufacturers (solar PV panels manufacturers) through our UHP segment and abatement segment.

6.5.7.4 We have an experienced and technically strong key senior management team

Our Group is led by our Managing Director and key senior management team which possess in-depth industry knowledge and experience in the semiconductor industry. Our Managing Director, Chan Chee Wei has approximately 28 years of experience in the pan-semiconductor industry. He is responsible for our Group's overall business strategies and direction including developing strategies that contribute to the growth of our business.

He is supported by an experienced key senior management team comprising:

Name	Designation	Years of relevant working experience
Ooi Eng Ghee	CFO	28
Prakash A/L Manogaran	COO	35
Lim Siew Chern	Office Manager	36
Aaron Marrsel Anthony A/L Victor	Sales Manager	8
Wang ShenHao	Operations Manager	18

Our key senior management team possesses extensive industry experience and functional expertise throughout their years of experience in respective fields. They also take an active and hands-on role in leading their respective departments to support the growth of our Group. Their hands-on involvement demonstrates their commitment to our growth as we continue to expand.

6. INFORMATION ON OUR GROUP (Cont'd)**6.5.8 Seasonality**

Global semiconductor sales grew from 2019 to 2022, declined in 2023 due to industry-wide inventory correction and lower fab utilisation rates, and rebounded in 2024 and 2025 due to the growth of IC sales, stabilised capital expenditure, expanded wafer fabrication capacity as well as strong demand across several key application areas, particularly data centre infrastructure and artificial intelligence-related systems. Please refer to Section 7 for further information on the historical growth trend of the global semiconductor industry.

The revenue of our Group's UHP segment declined by RM27.82 million or 35.7% from RM78.02 million in FYE 2022 to RM50.20 million in FYE 2023, mainly due to reduced order volumes from key customers following bulk purchases made in FYE 2022 amid supply chain disruptions. Subsequently, the revenue of our Group's UHP segment increased by RM11.36 million or 22.6% to RM61.56 million in FYE 2024, driven by higher customer orders supported by the overall growth in the pan-semiconductor industry. In FYE 2025, the revenue of our Group's UHP segment increased by RM1.42 million or 2.3% to RM62.98 million as semiconductor equipment manufacturers continued to benefit from the overall growth in the pan-semiconductor industry.

Accordingly, we do not experience any seasonality in our business. However, our Group's operations are subject to the cyclical nature of the global semiconductor and electronics industry, attributable to variations in the supply and demand for semiconductors and economic cycles.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.9 Types, sources and availability of inputs

Our purchases of the materials and supplies for the Financial Period Under Review are as follows:

Materials and supplies	Audited ⁽²⁾									
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Fitting connectors	40,490	52.9	23,923	58.4	35,951	50.8	29,439	49.4	13,162	58.6
Electronic parts	3,730	4.9	3,795	9.3	7,923	11.2	10,632	17.8	3,891	17.3
Tubing	14,039	18.3	1,068	2.6	5,702	8.1	3,672	6.2	1,258	5.6
Mechanical parts	6,714	8.8	6,034	14.7	11,061	15.6	7,659	12.9	906	4.0
Precision parts	6,077	7.9	1,388	3.4	2,240	3.2	3,066	5.1	1,365	6.1
Pneumatic parts	1,281	1.7	1,269	3.1	2,398	3.4	2,798	4.7	1,292	5.7
Metal parts	2,088	2.7	1,729	4.2	2,964	4.2	1,743	2.9	424	1.9
Others ⁽¹⁾	2,116	2.8	1,769	4.3	2,578	3.5	562	1.0	178	0.8
Total	76,535	100.0	40,975	100.0	70,817	100.0	59,571	100.0	22,476	100.0

6. INFORMATION ON OUR GROUP (Cont'd)**Notes:**

- (1) Others include plastic parts, consumables, gas, hoses, pumps, screws, stickers and waterways.
- (2) Our Group's local and foreign purchases based on the geographical location of suppliers are as follows:

	Local purchases	Foreign purchases
	(%)	(%)
FYE 2022	1.0	99.0
FYE 2023	6.5	93.5
FYE 2024	10.7	89.3
FYE 2025	11.6	88.4
FPE 2026	11.3	88.7

The materials and supplies we use are generally widely available and sourced from local and foreign suppliers. Depending on the commercial arrangements with our suppliers, local purchases may be transacted either in local or foreign currencies.

During the Financial Period Under Review and up to the LPD, we have not experienced any material shortages in sourcing these materials and supplies for our operations. In addition, we have not experienced any major fluctuations in the prices of materials and supplies that have materially affected our financial position.

For the purchase of materials and supplies, we generally take into account suppliers' lead times to prevent potential major disruptions to our delivery time. We generally purchase materials and supplies on purchase order basis. We keep inventories of materials and supplies for both our UHP and abatement segments. All selected suppliers are evaluated in terms of financial strength, production capabilities, ability to deliver products that meet our quality requirements, and ability to deliver in a timely manner. We also carry out periodical audits and assessments on our current and potential suppliers.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.10 Sales and marketing

Our Group's overall sales and marketing activities are spearheaded by Aaron Marrsel Anthony A/L Victor, our Group's Sales Manager. We actively engage in the following sales and marketing strategies:

(i) Foreign sales representatives

We engage sales representatives to promote our abatement systems in the countries where our sales representatives operate. To strengthen our distributorship channels, we have appointed SIW Taiwan, being our associated company, and EcoSys Abatement LLC as non-exclusive distributors to promote our abatement systems in Taiwan and US respectively.

From time to time, we also receive referrals and leads for business opportunities and potential customers from Zuvay Technologies Pvt Ltd ("**Zuvay**") and Radiant Applied Co Ltd ("**Radiant Applied**") that operate in India and Taiwan respectively. Zuvay is principally involved in the provision of solar energy and renewable energy solutions as well as supply of solar manufacturing equipment while Radiant Applied is principally involved in the trading of machineries, environmental protection equipment and semiconductor equipment.

EcoSys PLT had on 14 July 2023 entered into a sales representative agreement with Zuvay where Zuvay has been appointed as a non-exclusive sales representative to promote *EcoSys* abatement systems and solicit orders from prospective customers on a commission basis for a period of 3 years. As at LPD, Zuvay remains as our sales representative, and we are in the midst of renewing the sales representative agreement with Zuvay. On the other hand, Radiant Applied has been appointed vide a sales commission agreement dated 2 January 2023 to solicit orders from a prospective customer on a non-exclusive basis for an one-off commission. Notwithstanding the absence of a formal sales representative agreement with Radiant Applied as at LPD, our Group engaged and may enter into agreement with Radiant Applied on a non-exclusive, case-by-case basis for customer introduction and order solicitation where opportunities arise.

(ii) Customer user group meeting

We engage with our customers in user group meetings typically on a periodic basis. During these meetings, our customers will share their production plans as well as R&D plans with our Group, enabling us to gain insights into their future requirements and to provide or propose appropriate operational and technical support.

(iii) Industry networking

We actively participate in networking events held among the pan-semiconductor industry players. Such industry networking events are a platform for us to initiate contact and develop rapport with other industry players and potential customers. Participation in networking events and social gatherings held among industry players open us to new opportunities that can contribute to widening our customer base and discover new suppliers. These events also present us with opportunities to introduce our Group and our abatement systems, develop sales leads and contacts through referrals and introduction.

6. INFORMATION ON OUR GROUP (Cont'd)

(iv) Participation in trade fairs and exhibitions

We participate in industry-related trade exhibitions and events as it can further contribute to enhancing our Group's profile and market awareness in the industry. These trade exhibitions and conferences attract a large and wide range of audiences who exchange knowledge on the latest technologies and product developments. Our participation in industry-related trade exhibitions and events also allows us to remain abreast on new technologies, relevant market trends and technical information as well as expand our business network. We are also able to enhance brand awareness in these events as we are able to showcase our solutions.

(v) Digital media

Our corporate website, www.ecosysgrp.com is a platform to introduce and disseminate information on our Group and our solutions to potential and existing customers. Our corporate website provides viewers with immediate searchable information on our Group. We also utilise social media platforms to connect with potential and existing customers.

6.5.11 Major approvals, licences and permits

Please refer to **Appendix I** of this Prospectus for further details of our major approvals, licences and permits.

6.5.12 Intellectual property rights

As at LPD, we own 48 patents, 36 trademarks and 3 wordmarks that are material to us and have been registered to protect the proprietary technologies and branding of our abatement systems in various countries.

To facilitate our business operations and distributorship channels, we also entered into the following agreements to assign the ownership or to grant the rights of use of the intellectual properties:

(i) Anhui Automation

As part of our Internal Restructuring, our indirect subsidiaries, BHT and SIW Engineering had each entered into patent purchase and assignment agreement and/or trademark assignment agreement with our associated company, Anhui Automation where BHT and SIW Engineering assigned and transferred all their rights, titles and interests in the intellectual properties registered in China to Anhui Automation. Please refer to Section 6.8 of this Prospectus for further information in relation to the abovementioned agreements.

(ii) EcoSys Abatement LLC and SIW Taiwan

We also entered into distributorship agreements with our non-exclusive distributors in different geographical regions, namely EcoSys Abatement LLC (for the US) and SIW Taiwan (for Taiwan), who are then authorised to use our trademark when distributing our abatement systems. Please refer to Section 6.5.10 of this Prospectus for further information on our distributorship.

Please refer to **Appendix II** of this Prospectus for our Group's patents, trademarks or intellectual property rights.

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.13 Dependency on contracts, intellectual property rights, licences or processes

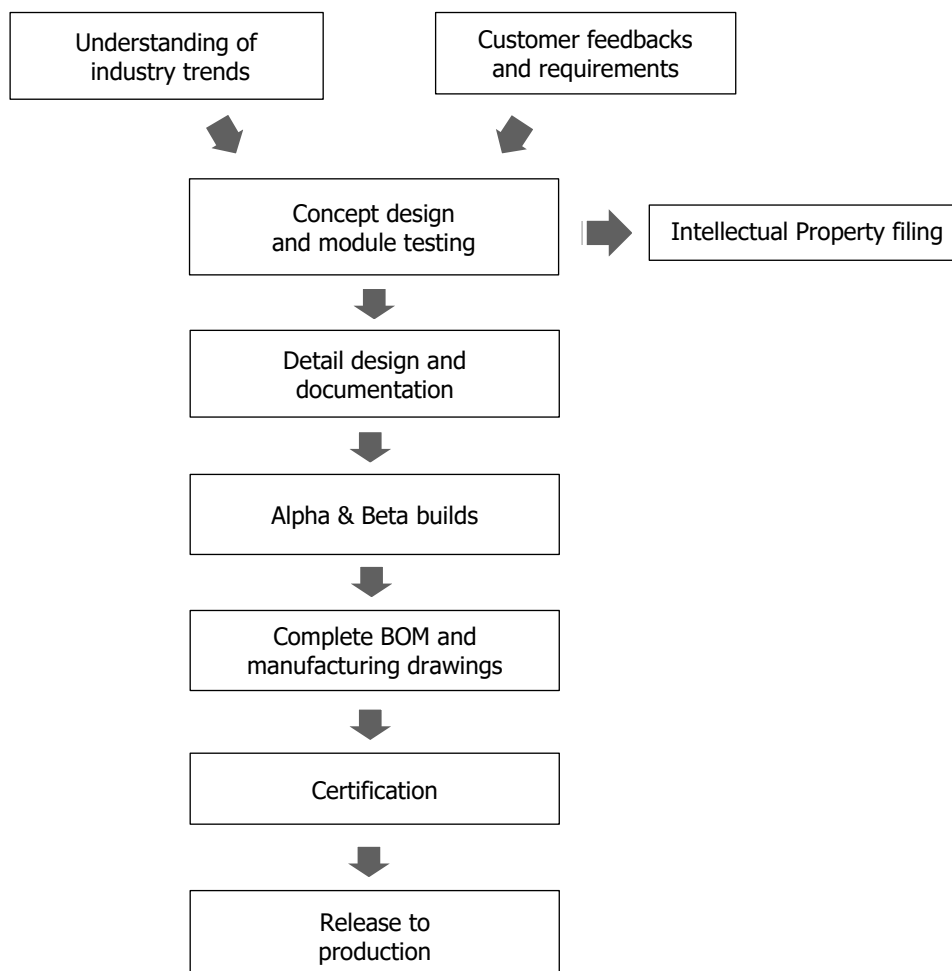
Save for the major approvals, licences and permits as set out in **Appendix I** of this Prospectus and the registered intellectual property rights as set out in **Appendix II** of this Prospectus, we are not materially dependent on any other licences, intellectual property rights, contracts or processes that could materially affect our business as at LPD.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.14 Research and development

We have an R&D workflow which allows us to efficiently translate industry needs and customer requirements into reliable, compliant and high-performance abatement systems ready for global deployment, as set out below:



(i) Understanding of industry trends, customer feedbacks and requirements

Our R&D philosophy emphasises innovation, sustainability and compliance with global environmental and industry standards. We focus on developing advanced abatement technologies that support our customers' sustainability goals, particularly in alignment with global initiatives such as Net Zero by 2050. Through continuous innovation and collaboration, our R&D team enhances system performance, reliability and safety while meeting the evolving needs of the semiconductor and related industries.

Our abatement R&D process integrates both industry insights and customer feedback to deliver innovative, high-performance solutions. The process begins with industry trend analysis, including global sustainability goals such as Net Zero by 2050 and emerging environmental standards like PM2.5 reduction, as well as customer feedback and technical requirements gathered from existing users and equipment manufacturers.

6. INFORMATION ON OUR GROUP (Cont'd)**(ii) Concept design and module testing**

Based on these inputs, our R&D team initiates concept design and module testing to validate feasibility, functionality and performance. When a new or novel concept is developed, we proceed with intellectual property filing to secure our technological ownership.

(iii) Detailed design and documentation

Next, we carry out detailed design and documentation, encompassing mechanical, electrical and control system aspects.

(iv) Alpha and Beta builds

The designs are evaluated through Alpha and Beta builds, which involve system-level testing to confirm performance, safety, and integration reliability under simulated operational conditions.

(v) Complete BOM and manufacturing drawings

Once validated, the design data including the BOM and manufacturing drawings are finalised.

(vi) Certification

The completed systems then undergo certification in accordance with international standards such as SEMI and CE, ensuring regulatory compliance and market readiness.

(vii) Release to production

After certification, the abatement system is released to production, where our manufacturing and QC teams ensure consistent execution of the approved design.

As at LPD, we have 13 R&D engineers who are involved in our R&D activities spearheaded by Chan Chee Wei. We carry out our R&D activities at Simpang Ampat Factory. The key responsibilities of our R&D team mainly involve customising our existing abatement systems to meet customers' technical and operating requirements, enhancing our existing abatement systems and new product development for abatement systems.

The amount incurred for R&D activities as a percentage of revenue during the Financial Period Under Review are 1.6%, 2.0%, 1.1%, 1.0% and 1.3% respectively. The breakdown of our R&D expenditure is as follows:

R&D expenditure	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026	
	RM'000	(1)%	RM'000	(1)%	RM'000	(1)%	RM'000	(1)%	RM'000	(1)%
R&D staff costs ⁽²⁾	803	0.8	1,111	1.5	678	0.8	780	0.7	190	0.8
Patent costs ⁽³⁾	802	0.8	361	0.5	229	0.3	371	0.3	106	0.5

Notes:

- (1) As a percentage of revenue in the respective financial year/period.
- (2) Being the salary paid to our R&D team during the Financial Period Under Review.
- (3) Being the application, registration and renewal costs of the patents have been incurred during the Financial Period Under Review.

6. INFORMATION ON OUR GROUP (Cont'd)

6.5.15 Regulatory requirements and environmental issues

The relevant laws, regulations, rules or requirements governing the conduct of our Group's business which may materially affect our Group's business or operations are summarised below. The following does not purport to be an exhaustive description of all relevant laws and regulations of which our business is subject to.

Malaysia

(a) Industrial Co-ordination Act 1975 ("ICA")

The ICA defines "manufacturing activity" as the making, altering, blending, ornamenting, finishing or otherwise treating or adapting any article or substance with a view to its use, sale, transport, delivery or disposal and includes the assembly of parts and ship repairing but shall not include any activity normally associated with retail or wholesale trade.

Manufacturing companies with shareholders' funds of RM2.50 million and above or engaging 75 or more full-time paid employees are required to apply for a manufacturing licence.

No person shall engage in any manufacturing activity unless he is issued a licence in respect of such manufacturing activity. The person who contravenes this shall be guilty of an offence and is liable on conviction to a fine not exceeding RM2,000 or to a term of imprisonment not exceeding 6 months and to a further fine not exceeding RM1,000 for every day during which such default continues.

During the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions under the ICA and our Group holds a valid manufacturing licence issued by MITI.

(b) Customs Act 1967 ("CA")

CA governs all custom-related matters. Pursuant to the CA, the Director General of Customs and Excise, may on payment of such fees as may be prescribed or fixed by him in each case, grant a licence to any person for warehousing goods liable to custom duties in a place or places specified in the licence or to carry on manufacturing process and other operation in respect of the goods liable to custom duties and any other goods. The Director General of Customs and Excise may also allow goods other than goods liable to customs duty to be kept in the licensed warehouse subject to such conditions as he deems fit.

Every omission or neglect to comply with and every act done or attempted to be done contrary to the provisions of the CA or any breach of the conditions and restrictions subject to or upon which any licence or permit is issued or any exemption is granted under the CA shall be an offence against the CA and in respect of any such offence for which no penalty is expressly provided, the offender shall be liable to a fine not exceeding RM50,000 or to imprisonment for a term not exceeding 5 years or to both.

During the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions under the CA and our Group holds a valid Licensed Manufacturing Warehouse licence issued by the Royal Malaysian Customs Department.

(c) Local Government Act 1976 ("LGA")

The LGA empowers every local authority to grant licence or permit for any trade, occupation or premises through by-laws. Every licence or permit granted shall be subject to such conditions and restrictions as the local authority may think fit and shall be revocable by the local authority at any time without assigning any reason therefor.

6. INFORMATION ON OUR GROUP (Cont'd)

Since the incorporation of SIW Manufacturing and up to 2025, our Group operated from Bayan Lepas Factory. In 2025, our Group relocated our operations to Simpang Ampat Factory. As such, we are subject to the following by-laws under the purview of MBPP and MBSP respectively:

- (i) Municipal Council of Penang Island (Trade, Businesses and Industries) By-Laws 1991 (Amendment) ("**By-Laws 1991**") and Municipal Council of Penang Island (Advertisement) By-Laws 2000 ("**By-Laws 2000**")

By-Laws 1991 provides that no person shall operate any activity of trade, business or industry within any premise under the jurisdiction of MBPP without a licence issued by the licensing authority. Any person who fails to comply with By-Laws 1991 shall be guilty of an offence and upon conviction, be liable to a fine not exceeding RM2,000 or imprisonment for a term not exceeding 1 year, or both, and in the case of a continuing offence, to a fine not exceeding RM200 for each day after conviction.

By-Laws 2000 provides that no person shall exhibit or cause to be exhibited any advertisement without a licence issued by MBPP. Any person who fails to comply with By-Laws 2000 shall be guilty of an offence and upon conviction be liable to a fine not exceeding RM2,000 or imprisonment for a term not exceeding 1 year, or both.

In 2019, SIW Manufacturing obtained the business licence to operate from the ground floor of Bayan Lepas Factory. Between 2021 and 2025, SIW Manufacturing expanded its operation by renting the rear portion of the ground floor and the entire first floor of the Bayan Lepas Factory without obtaining business licences for the additional rented areas. In October 2025, our Group had ceased operations at the Bayan Lepas Factory upon our relocation to Simpang Ampat Factory.

- (ii) Licensing Payment (Seberang Perai City Council) By-Laws 1980 ("**By-Laws 1980**") and Municipal Council of Province Wellesley (Advertisement) By-Laws 2001 ("**By-Laws 2001**")

By-Laws 1980 provides that it is an offence for a person to operate any business activity without a valid licence issued by MBSP. Any person who contravenes By-Laws 1980 commits an offence and shall, on conviction be liable to a fine not exceeding RM2,000 or to a term of imprisonment not exceeding 1 year or to both and in the case of a continuing offence, to a fine not exceeding RM200 for every day during which such default continues.

By-Laws 2001 establishes that no person shall exhibit or cause to be exhibited any advertisement without a licence issued by MBSP. Any person who contravenes By-Laws 2001 shall be guilty of an offence and shall upon conviction, be liable to a fine not exceeding RM2,000 or to a term of imprisonment not exceeding 1 year or to both.

Save as disclosed above, during the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions under the LGA and our Group has not received any notices, penalties or compounds arising from the abovementioned non-compliance. Our Board is of the view that there will be no material adverse impact on our Group's business operations or financial performance as the risk of being charged, compounded and/or penalised retrospectively is low given that we had ceased operations at Bayan Lepas Factory.

As at LPD, our Group holds a valid business licence issued by MBSP for our Simpang Ampat Factory.

6. INFORMATION ON OUR GROUP (Cont'd)**(d) Street, Drainage and Building Act 1974 ("SDBA")**

The SDBA is enforced by the local authorities of Peninsular Malaysia, and it provides for the requirement of having a CCC for the occupation of any building or any part thereof.

Any person who occupies or permits to be occupied any building or any part thereof without a CCC or equivalent shall be liable on conviction to a fine not exceeding RM250,000 or to an imprisonment for a term not exceeding 10 years or to both under the SDBA.

Furthermore, SDBA also provides that no person shall erect or cause or permit to be erected in any building any partition, compartment, gallery, loft, roof, ceiling or other structure without having the prior written permission of the local authority. Any person who contravenes the provision shall be liable on conviction to a fine not exceeding RM500 and shall also be liable to a further fine not exceeding RM100 for every day during which the offence is continued after conviction.

Between 2019 and 2024, SIW Manufacturing installed awnings, additional platforms, roofing and gutters at Bayan Lepas Factory to create additional production and storage spaces without obtaining approval from the local authority. In October 2025, our Group had ceased operations at the Bayan Lepas Factory upon our relocation to Simpang Ampat Factory.

Under the SDBA, the local authorities have the right to impose a fine of up to RM500 and a further fine of up to RM100 every day during which the offence is continue, on any person who erects or causes or permits to be erected in any building any partition, compartment, gallery, loft, roof, ceiling or other structure without having the prior written permission of the local authorities. Notwithstanding, save as disclosed above, during the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions under the SDBA and our Group has not received any notices, penalties or compounds arising from the abovementioned non-compliance. Our Board is of the view that there will be no material adverse impact on our Group's business operations or financial performance arising from the abovementioned non-compliance as the risk of being charged, compounded and/or penalised retrospectively is low given that we had ceased operations at Bayan Lepas Factory.

As at LPD, all our owned and rented properties have CCC.

(e) Occupational Safety and Health Act 1994 ("OSHA")

The OSHA and its amendments regulate and secures the safety, health and welfare of persons at work, protecting others against the risks to safety or health in connection with the activities of persons at work.

Pursuant to the OSHA, it shall be the duty of every employer to prepare and as often as may be appropriate, revise a written statement of his general policy with respect to the safety and health at work of his employees and the organisation and arrangements for the time being in force for carrying out that policy and to bring the statement and any revision of it to the notice of all of his employees. Failure to carry out the abovementioned duties shall constitute an offence and the employer shall upon conviction, be liable to a fine not exceeding RM500,000 or to imprisonment for a term not exceeding 2 years, or to both.

Every employer shall establish a safety and health committee at the place of work if there are 40 or more persons employed at the place of work or if the Director General of the Department of Occupational Safety and Health directs for the establishment of such a committee at the place of work. Failure to do so shall constitute an offence and the employer shall, on conviction, be liable to a fine not exceeding RM100,000 or to imprisonment for a term not exceeding 1 year, or to both.

6. INFORMATION ON OUR GROUP (Cont'd)

During the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions under the OSHA.

(f) Environmental Quality Act 1974 ("EQA")

The EQA and its amendments regulate and control the levels of pollution of the atmosphere, noise pollution, pollution of the soil and pollution of inland waters without licence, prohibits the discharge of oil and wastes into Malaysian waters without a licence and prohibits open burning.

Pursuant to the EQA, no person shall place, deposit or dispose of, or cause or permit to place, deposit or dispose of, except at prescribed premises only, any scheduled wastes on land or into Malaysian waters without any prior written approval of the Director General of Environmental Quality. Any person who contravenes the provision commits an offence and shall, on conviction, be punished with imprisonment for a term not exceeding 5 years and shall also be liable to a fine of not less than RM100,000 and not exceeding RM10,000,000.

The Environmental Quality (Scheduled Wastes) Regulations 2005 (a subsidiary legislation pursuant to EQA) ("**2005 Regulations**") imposes on waste generator of premises, an obligation to record, store, label, treat and dispose scheduled waste in accordance with the regulation, where any scheduled waste shall be disposed of at a prescribed premises under the Environmental Quality (Prescribed Premises) (Scheduled Wastes Treatment and Disposal Facilities) Order 1989. Any person who commits an offence which consists of any omission or neglect to comply with, or any act done or attempted to be done contrary to the 2005 Regulations is liable to a fine not exceeding RM2,000.

SIW Manufacturing received a compound notice dated 21 March 2022 from the Department of Environment Penang comprising a fine of RM4,000 for failure to comply with Regulations 9(2) and 11 of the 2005 Regulations. Under Regulation 9(2) of the 2005 Regulations, a waste generator shall store incompatible scheduled wastes in separate containers, which shall be placed in separate secondary containment areas whereas under Regulation 11 of 2005 Regulations, a waste generator shall keep an accurate and up-to-date inventory in accordance with the Fifth Schedule of the categories and quantities of scheduled wastes being generated, treated and disposed of and of materials or product recovered from such scheduled wastes for a period up to 3 years from the date of the scheduled wastes was generated.

SIW Manufacturing successfully appealed and the fine was reduced to RM2,000. The fine was fully settled on 21 June 2022 and no further action has been taken against SIW Manufacturing since then. As part of the efforts to mitigate compliance risks, our Group's COO has been assigned to set up and monitor a formal waste management procedure which includes designating specific storage areas to ensure proper segregation of scheduled waste, implementing a scheduled waste inventory control system and conducting regular inspections to ensure regulatory compliance and timely rectification of any non-compliances identified.

Save as disclosed above, during the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions under the EQA and its subsidiary legislations. Our Board is of the opinion that there will be no material adverse impact on our Group's business operations or financial performance as the fine imposed on our Group has been fully settled and a formal waste management procedure has been set up.

(g) Employees' Minimum Standards of Housing, Accommodations and Amenities Act 1990 ("EMSHAAA")

EMSHAAA, as amended by the Workers' Minimum Standards of Housing and Amenities (Amendment) Act 2019, establishes the minimum standards of housing and nurseries for employees, as well as health, hospital, medical and social amenities to be provided by the

6. INFORMATION ON OUR GROUP (Cont'd)

employers to their employees. The EMSHAAA provides that employers must comply with enhanced minimum standards on accommodation for employees which includes obtaining a CFA from the Director General of Labour.

Failure by an employer to obtain a CFA or to ensure the employees' accommodation is fit for human habitation in accordance with the EMSHAAA shall constitute an offence and the employer shall, upon conviction, be liable to a fine not exceeding RM50,000.

During the Financial Period Under Review, our Group rented 7 premises for workers' accommodations without obtaining CFAs. As at LPD, we have rectified this non-compliance by ceasing to rent 5 of these properties without CFAs for workers' accommodation and maintaining only 2 workers' accommodations, both of which are certified with CFAs.

Under the EMSHAAA, the Director General of Labour has the right to impose a fine of up to RM50,000 on employers who fail to obtain a CFA. Notwithstanding, save as disclosed above, during the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions under EMSHAAA and our Group has not received any notices, penalties or compounds arising from the abovementioned non-compliance. Our Board is of the opinion that there will be no material adverse impact on our Group's business operations or financial performance arising from the abovementioned non-compliance as the risk of being charged, compounded and/or penalised retrospectively is low given that our Group has ceased to rent the 5 properties without CFAs for workers' accommodation.

As at LPD, all our rented employees' accommodations have CFA.

Singapore**(a) Companies Act 1967 of Singapore ("CA 1967")**

The CA 1967 and its subsidiary legislation regulate, inter alia, the business formation, company structure, shareholders' rights, duties of directors and officers and specify other compliance requirements, such as capital maintenance, declaration of dividends, and restrictions against acquisition of shares in the company. Under the CA 1967, a Singapore company has full rights, powers, privileges and capacity to carry on or undertake any business or activity not restricted under its constitution or applicable laws.

The CA 1967 provides that a company that is not a listed company must lodge a return with the registrar within 7 months after the end of its financial year, after its annual general meeting. A company, and every officer of the company who is in default shall be guilty of an offence and shall each be liable on conviction to a fine not exceeding SGD10,000 and also to a default penalty. SIW Engineering had in FYE 2022 and FYE 2023 failed to comply with the abovementioned provision and was fined SGD600 and SGD900 respectively. Subsequently, SIW Engineering lodged returns with the registrar and paid the fines on 28 August 2024 and 31 January 2025 respectively, and no further actions were taken by ACRA since then.

As part of the efforts to mitigate compliance risks, our Group's CFO has been assigned to set up monitoring systems to track and review our Group's compliance with the applicable laws and regulations such as the timely lodgment of annual return and the status of compliance with the conditions imposed by the relevant authorities.

Save as disclosed above, during the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions of the CA 1967. Our Board is of the opinion that there will be no material adverse impact on our Group's business operations or financial performance as the past non-compliance has been rectified and monitoring systems to track and review our Group's compliance with the CA 1967 has been set up.

6. INFORMATION ON OUR GROUP (Cont'd)**(b) Employment Act 1968 of Singapore ("EA 1968")**

The EA 1968 covers every employee who is under a contract of service with an employer and includes a workman (whom is not a freelancer), subject to exceptions. With effect from 1 April 2019, the EA 1968 extends to all employees, including persons employed in managerial or executive positions, with certain exceptions. Under the EA 1968, an employer is required to provide minimum conditions of services to their employees including minimum days of statutory annual and sick leave, paid public holidays, statutory protection against wrongful dismissal, provision of key employment terms in writing and statutory maternity leave and childcare leave benefits.

The provisions with respect to, amongst others, working hours, overtime, rest days, holidays, annual leave, payment of retrenchment benefits and priority of retirement shall only apply to workmen earning basic monthly salaries of not more than SGD4,500 and employees who are not employed in a managerial or executive position who are earning basic monthly salaries of not more than SGD2,600. An employer who breaches these provisions is guilty of an offence and is liable on conviction to a fine not exceeding SGD5,000 and for a second or subsequent offence, a fine not exceeding SGD10,000 or imprisonment for a term not exceeding 12 months or both.

During the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions of the EA 1968.

(c) Employment of Foreign Manpower Act 1990 of Singapore ("EFMA")

The EFMA states that a person must not employ a foreign employee who does not have a valid work pass from the Ministry of Manpower of Singapore in accordance with the Employment of Foreign Manpower (Work Passes) Regulations 2012. Any person who contravenes this provision shall be guilty of an offence and shall be liable on conviction to a fine of at least SGD5,000 and not more than SGD30,000 or to imprisonment for a term not exceeding 12 months or to both and for a second or subsequent conviction, in the case of an individual be punished with a fine of at least SGD10,000 and not more than SGD30,000 and with imprisonment for a term of not less than 1 month and not more than 12 months, or in any other case be punished with a fine of at least SGD20,000 and not more than SGD60,000.

During the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions of the EFMA. As at LPD, all foreign workers for our Singapore operations hold valid work permits.

(d) Workplace Safety and Health Act 2006 ("WSHA")

The WSHA relates to the safety, health and welfare of persons at work in workplaces. Following the enactment of the WSHA, the Factories Act 1973 was repealed.

The WSHA provides that every employer has a duty to take, so far as is reasonably practicable, such measures as necessary to ensure the safety and health of the employer's employees at work. This duty also extends to persons not being the employer's employees who may be affected as well by any undertaking carried on by the employer in the workplace. Such measures include amongst others, providing and maintaining a safe working environment without risk to health, and adequate facilities and arrangement for employees' welfare at work, ensuring adequate safety measures are taken in respect of machinery, equipment, plant, article or process used by the employees.

6. INFORMATION ON OUR GROUP (Cont'd)

Any employer who breaches his duty under WSHA is guilty of an offence and will be liable on conviction, for situations where no penalty was expressly provided, a fine not exceeding SGD200,000 or to an imprisonment for a term not exceeding 2 years or to both, and in the case of a body corporate to a fine not exceeding SGD500,000. Should the contravention continue after conviction, the employer shall be guilty of a further offence and shall be liable to a fine of SGD2,000 for every day or part thereof and in the case of a body corporate, a fine not exceeding SGD5,000 for every day or part thereof.

For repeating offenders, where the employer has on at least one previous occasion been convicted of an offence under the WSHA that caused the death of a person and is subsequently convicted of the same offence which caused the death of another person, the employer will be punished with a fine not exceeding SGD400,000 and should the contravention continue after conviction, the employer shall be further fined a sum not exceeding SGD2,000 for every day or part thereof. The employer may also be subject to imprisonment. In the case of a body corporate, the body corporate shall, upon conviction be fined a sum not exceeding SGD1 million and subsequently should the contravention continue after conviction, SGD5,000 for every day or part thereof.

During the Financial Period Under Review and up to LPD, our Group complied with the relevant provisions of the WSHA.

To prevent the recurrence of similar non-compliances, our Group has undertaken the following measures to enhance our internal control system which is overseen by our CFO and COO:

- (i) obtaining professional advice and assistance, where necessary, from regulatory agents, external legal advisers and other professional advisers in relation to regulatory and compliance matters and to keep abreast of the latest development in laws and regulations applicable to the business operations of our Group;
- (ii) developing and implementing policies, procedures and reporting structures to ensure continuous compliance with the applicable laws and regulations;
- (iii) providing compliance training to relevant personnel to educate them on their roles and responsibilities in complying with the relevant laws and regulations; and
- (iv) utilising enterprise resource planning system to monitor the compliance status of each licence, permit and approval as well as the licensing conditions imposed by the relevant authorities.

6.6 INTERRUPTIONS TO BUSINESS AND OPERATIONS

Our Group did not experience any other interruptions to our operations which had a significant effect on our business and operation during the past 12 months preceding the LPD.

6. INFORMATION ON OUR GROUP (Cont'd)

6.7 OUR BUSINESS STRATEGIES AND FUTURE PLANS

6.7.1 We intend to expand our abatement segment

Based on the IMR Report, the demand for abatement systems will be supported by the growing demand for semiconductors and semiconductor manufacturing equipment, capacity expansion plans of semiconductor companies, the emergence of new semiconductor production hubs and rising need for environmental compliance.

While we do not enter into long-term supply contracts with our customers, we have received positive indications from our customers on the future demand for abatement systems, driven by their planned facility expansions and the corresponding need for abatement systems. However, the actual timing and volume of such purchases are subject to their capital expenditure budgets and expansion timelines.

Prior to October 2025, our production capacity was limited by space constraints at our Bayan Lepas Factory which had reached a utilisation rate of more than 80.0%. As at LPD, our Group is operating in Simpang Ampat Factory, which now serves as our main operational base comprising an office, production facility and warehouse, with a total built-up area of approximately 24,613 sq. ft. The relocation has resolved our spatial constraints and allows us to undertake larger manufacturing capacity for our abatement systems.

In view of that, we intend to allocate additional working capital for the procurement of key components and modules used in the assembly of abatement systems. This is expected to reduce the production lead time and to bridge the timing difference between payments to suppliers and the credit period extended to our customers, thereby ensuring a smoother production and timely fulfilment of our customer orders.

Through these initiatives, our Group aims to strengthen the market position of *EcoSys* as a reliable and advanced abatement system within the pan-semiconductor industry, in line with the global trend towards sustainable semiconductor production.

Please refer to Section 4.9.1 (i) of this Prospectus for the utilisation of proceeds for the expansion of our abatement segment.

6.7.2 We intend to strengthen our operational capabilities

Prior to our relocation to Simpang Ampat Factory, we are unable to fulfil certain purchase orders from new customers as our operational capabilities are limited by space and workforce. In line with our relocation to new factory, we intend to enhance and upgrade our utilities to install fabrication, welding and testing equipment required in UHP segment to undertake more orders in the future.

In addition to our existing ultrasonic deionised water cleaning line, we intend to install an automated chemical cleaning and surface treatment line at our Simpang Ampat Factory. This new automated chemical cleaning and surface treatment line will incorporate acid and alkaline cleaning as well as passivation processes, designed to provide a more comprehensive and efficient surface treatment for precision engineering components.

We presently outsource chemical cleaning and passivation to external service providers. As such, the installation of this new automated chemical cleaning and surface treatment line will enable us to carry out these processes internally, thereby increasing our value proposition to customers and contribute to increasing our overall revenue, while offering customers faster, integrated and improved quality solution from a single vendor and within a single facility.

6. INFORMATION ON OUR GROUP (Cont'd)

The automated chemical cleaning and surface treatment line will enable consistent quality of cleaning and reduce human handling, thereby ensuring that all components meet the stringent surface cleanliness and corrosion resistance requirements required by customers in the pan-semiconductor and high-technology industries. By integrating these capabilities in-house, we can reduce process cycle time, enhance production throughput and improve overall quality consistency.

Further, we intend to strengthen our production capabilities through the purchase of new machines to support the anticipated increase in production activities in Simpang Ampat Factory. The breakdown of automated chemical cleaning and surface treatment line and other machines that we intend to purchase are set out below:

Machine	Purpose	No. of unit	Estimated cost RM'000
Chemical cleaning and surface treatment line	To provide a more comprehensive and efficient surface treatment for precision engineering components	1	160
Machines			
CNC milling machine	To automate the materials to be removed from a workpiece to achieve desired dimensions and surface finish	2	400
Orbital welding machine	To perform high precision, consistent welds, especially on tubing or piping by rotating (or orbiting) the welding arc around a stationary workpiece	1	880
Big diameter orbital welding machine	To weld pipes and tubes with larger outer diameters, typically above 170 mm (6 inches) and up to several hundred millimetres	2	320
Manual welding machine (automatic welder)	To increase throughput from manual to automatic welding system that combines manual operator control with automated welding functions	2	180
Helium leak detector	To detect and measure extremely small leaks in sealed systems or welded joints, typically where airtightness or vacuum integrity is critical	1	160
Total			2,100

With the installation of new fabrication, welding and testing equipment, we will be equipped to handle a higher volume of UHP fabrication works with improved precision, consistency and process control. These machines enhance our capability to perform complex welding, machining, cleaning and leak testing process that meet the stringent quality and cleanliness requirements of the UHP segment, thereby enabling us to undertake more projects efficiently and reliably.

Please refer to Section 4.9.1 (iii) for the utilisation of proceeds for the purchase of machines and installation of automated chemical cleaning and surface treatment line for UHP segment.

6. INFORMATION ON OUR GROUP (Cont'd)**6.7.3 We intend to strengthen our workforce**

We intend to strengthen our technical employees which include R&D engineers to further enhance our capability in innovating and developing new models of abatement systems to capitalise the rising opportunities in pan-semiconductor industry.

The R&D engineers are expected to strengthen our in-house capability on mechanical and electrical design, PLC programming, development and optimisation of abatement systems.

Further, in view of our expansion plans following the relocation to Simpang Ampat Factory, we intend to intensify our business development activities to secure more orders. To support this, we plan to recruit regional sales and product management personnel with technical expertise in UHP fabrication and abatement technologies to strengthen our market outreach and accelerate the penetration of our products and services in overseas markets.

Positions	Business segment	No. of personnel	(1)Estimated salaries RM'000
R&D engineers	Abatement segment	8	1,536
Regional sales and product management personnel	UHP segment and abatement segment	5	1,296
	Total	13	2,832

Note:

(1) The estimated staff cost is calculated based on 24 months salaries.

Please refer to Section 4.9.1 (iii) for the utilisation of proceeds on the strengthening of R&D, and regional sales and product management teams.

6.7.4 We intend to expand our geographical coverage in India

Based on the IMR Report, the semiconductor industry is witnessing a shift in global landscape as India is emerging as a potential production hub for semiconductor manufacturing. Driven by geopolitical tensions, rising demand for advanced technologies and India's manufacturing potential, the country is attracting significant attention from both domestic and international players.

Under the "Make in India" initiative, the India government aims to position the country as a semiconductor hub by 2035. India, while still a major importer, emerged as the 14th largest exporter of semiconductor devices in 2023, with exports reaching approximately USD6.7 billion. During FYE 2025, our contribution from India represented RM38.22 million or 35.1% to our Group's revenue. During the Financial Period Under Review and up to the LPD, we have secured 7 new customers in India for our abatement segment, reflecting the growing demand for our abatement systems in the region. Among these, Customer F, Customer G, Customer H, Customer I and Customer J are our major customers, all of whom are investing in abatement systems for solar-related manufacturing processes, underscoring our increasing involvement in India's expanding clean energy supply chain.

To capitalise on these opportunities, we plan to establish a dedicated sales and service centre in India via SIW Manufacturing. This centre will include a customer engagement area and administrative office, which will serve as a regional hub to strengthen our marketing presence and customer support capabilities in the Indian market, staffed by local engineers that are familiar with abatement technologies.

6. INFORMATION ON OUR GROUP (Cont'd)

By anchoring our presence in India through this centre, we intend to recruit new staff for the sales and product management, and administration teams to be stationed in India sales and service centre as set out below:

Positions	No. of personnel	(1) Estimated breakdown
		RM'000
Sales and product management	8	768
Administration	3	216
Total	11	984

Note:

(1) The estimated staff cost is calculated based on 24 months salaries.

Please refer to Section 4.9.1 (iv) of this Prospectus for the utilisation of proceeds on the setting up of India sales and service centre as well as hiring of new staff for sales and product management, and administration teams.

6.8 MATERIAL CONTRACTS

Save as disclosed below, there were no other contracts which are or may be material (not being contracts entered into in the ordinary course of business) which have been entered into by our Group for the Financial Period Under Review and up to LPD:

- (i) Patent licence agreement dated 1 January 2022 between BHT and Anhui Automation where BHT granted a non-exclusive licence to Anhui Automation for the rights to manufacture, market and sell abatement systems covered by the licensed patents, in China in consideration of a one-off licensing fee of RMB3,000,000 (equivalent to RM1,865,800) and annual royalties. The agreement was terminated in October 2023.
- (ii) 2 share transfer forms dated 10 August 2022 between SIW Engineering, Chan Chee Wei and Voon Sin Choo for the shareholders' reorganisation in SIW Manufacturing. Please refer to Section 6.1.3 (a) of this Prospectus for further details of this transaction.
- (iii) 2 share transfer forms dated 16 August 2022 between SIW Manufacturing, Chan Chee Wei and Voon Sin Choo for the Acquisition of SIW Engineering. Please refer to Section 6.1.3 (b) of this Prospectus for further details of this transaction.
- (iv) 2 share transfer forms dated 8 September 2022 between SIW Manufacturing, Chan Chee Wei and Voon Sin Choo for the Acquisition of EcoSys PLT. Please refer to Section 6.1.3 (c) of this Prospectus for further details of this transaction.
- (v) Share transfer agreement dated 30 October 2022 between SIW Engineering and Mame Electronics Ltd, and share transfer agreement dated 30 October 2022 between SIW Engineering and Elite Glory Investment Ltd for the Acquisition of Kaisu. Please refer to Section 6.1.3 (f) of this Prospectus for further details of this transaction.
- (vi) 2 share transfer certificates dated 9 December 2022 between SIW Engineering, Chan Chee Wei and Voon Sin Choo for the shareholders' reorganisation in SIW Taiwan. Please refer to Section 6.1.3 (d) of this Prospectus for further details of this transaction.
- (vii) Patent purchase and assignment agreement and trademark assignment agreement both dated 1 January 2023 between BHT and Anhui Automation where BHT assigned all its rights, titles and interests in the intellectual properties registered in China to

6. INFORMATION ON OUR GROUP (Cont'd)

Anhui Automation for a cash consideration of RMB4,000,000 (equivalent to RM2,622,414). The agreements were completed on 19 October 2023 and 13 November 2024 respectively.

- (viii) Patent purchase and assignment agreement dated 1 January 2023 between SIW Engineering and Anhui Automation where SIW Engineering assigned all its rights, titles and interests in the intellectual properties registered in China to Anhui Automation for a cash consideration of RMB3,000,000 (equivalent to RM1,966,812). The agreement was completed on 9 June 2023.
- (ix) Sale and purchase agreement dated 10 October 2023 between SIW Manufacturing and Wah Seng Industry Sdn Bhd for the acquisition of the Simpang Ampat Factory for a cash consideration of RM9,250,000. The agreement was completed on 8 March 2024.
- (x) SSA dated 22 May 2024 between SIW Engineering and Anhui Automation for the Disposal of Kaisu. Please refer to Section 6.1.3 (g) of this Prospectus for further details of this transaction.
- (xi) Share transfer certificate dated 6 September 2024 between SIW Manufacturing and Voon Sin Choo for the Investment in SIW Taiwan. Please refer to Section 6.1.3 (e) of this Prospectus for further details of this transaction.
- (xii) Share transfer agreement dated 30 October 2024 between SIW Manufacturing and Eco Research for the Investment in Anhui Automation. Please refer to Section 6.1.3 (h) of this Prospectus for further details of this transaction.
- (xiii) The following agreements dated 27 November 2024 between SIW Manufacturing and Anhui Automation:
 - (a) Technical assistance and service agreement for the provision of technical assistance to Anhui Automation for a period of 2 years for a cash consideration of RMB500,000 (equivalent to RM306,550) per annum.
 - (b) Intellectual property strategic collaboration agreement for the distribution of territorial rights for co-developed intellectual properties.
 - (c) Non-compete and collaboration agreement for the distribution of territorial rights and restrictions in respect of the supply or selling of abatement systems.
 - (d) R&D collaboration agreement for joint R&D activities in respect of technologies relating to abatement systems and related equipment for a term ending on 10 November 2027 or upon the successful completion of the R&D.
- (xiv) Shareholders' agreement dated 27 November 2024 between SIW Manufacturing, Eco Research, Shanghai Huasun and Anhui Xuansheng to govern the shareholders' rights, duties and obligations in Anhui Automation and to set out the rules for Anhui Automation's operations.
- (xv) Conditional SSA dated 27 November 2025 between our Company and the shareholders of SIW Manufacturing, namely Chan Chee Wei and Solarvest for the Acquisition of SIW Manufacturing. Please refer to Section 6.1.4 of this Prospectus for further details of this transaction.
- (xvi) Underwriting Agreement for the underwriting of 39,996,000 Issue Shares made available for application by the Malaysian Public and Pink Form Allocations based on the underwriting commission at the rate set out in Section 4.10.1 of this Prospectus.

6. INFORMATION ON OUR GROUP (Cont'd)

6.9 PROPERTY, PLANT AND EQUIPMENT

6.9.1 Material Properties

(a) Property owned by our Group

The summary of all the property owned by our Group as at the LPD are set out below:

No.	Registered owner / Postal address / Title details	Description of property / Existing use / Expiry of lease (if any) / Category of land use (if any)	Express condition / Restriction-in-interest / Encumbrances	Land area/ Built-up area sq. ft.	Date of issuance of CF/CCC	Audited NBV as at 31 March 2026 RM'000
(a)	Registered owner: SIW Manufacturing Postal address: No. 25, Lorong Beringin 2, Taman Industri Beringin, 14100 Simpang Ampat, Pulau Pinang Title details: Geran 177198, Lot 20997, Mukim 13, Daerah Seberang Perai Tengah, Negeri Pulau Pinang	Description of property: A unit of double storey factory with 3-storey office Existing use: Office, factory and warehouse Tenure: Freehold Category of land use: Nil	Express condition: The land comprised in this title: (a) shall not be affected by any provision of the National Land Code (" Code ") limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Collector's right of way; (b) subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years, shall revert to the State only if the proprietor for the time being dies without heirs; and	Land area: 28,040 Built-up area: 24,613	6 August 2025	9,557

6. INFORMATION ON OUR GROUP (Cont'd)

No.	Registered owner / Postal address / Title details	Description of property / Existing use / Expiry of lease (if any) / Category of land use (if any)	Express condition / Restriction-in-interest / Encumbrances	Land area/ Built-up area sq. ft.	Date of issuance of CF/CCC	Audited NBV as at 31 March 2026 RM'000
			(c) the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land). Restriction-in-interest: Nil Encumbrances: Charged to Maybank Islamic Berhad on 27 February 2024 and 1 October 2024			

The property owned by our Group is not in breach of any land use conditions, statutory requirements, land rules or building regulations/by-laws, which will have material adverse impact on our operations as at LPD.

6. INFORMATION ON OUR GROUP (Cont'd)

(b) Properties rented by our Group

The summary of the properties rented by our Group as at LPD are set out below:

No.	Address	Landlord/Tenant	Description/ Existing use	Land area/ Built-up area sq. ft.	Date of issuance of CF / CCC	Period of tenancy / Rental per annum
Malaysia						
(a)	No. G-22, Jalan Delima 2, Taman Seri Delima, 14000 Bukit Mertajam, Pulau Pinang	Landlord: Tan Neang Yee Tenant: SIW Manufacturing	Description: Ground floor of a double storey shop office Existing use: Workers' accommodation (Certified with CFA dated 11 June 2025)	Land area: 1,399 Built-up area: 1,399	29 January 2014	Period of tenancy: 1 January 2025 to 31 December 2026 Rental per annum: RM27,600
(b)	No. 10, Lorong Delima 2, Taman Seri Delima, 14100 Simpang Ampat, Pulau Pinang	Landlord: Lim Lee Teong and Lim Lee Hai Tenant: SIW Manufacturing	Description: Double storey shop office Existing use: Workers' accommodation (Certified with CFA dated 11 June 2025)	Land area: 1,496 Built-up area: 2,799	2 January 2008	Period of tenancy: 1 February 2025 to 31 January 2027 Rental per annum: RM45,600
Singapore						
(a)	30 Kallang Place #01- 23/24, Singapore 339159	Landlord: DBS Trustee Limited Tenant: SIW Engineering	Description: 2 office units at the first floor of a multi-storey building Existing use: Office	Land area: 1,984 Built-up area: 1,984	23 March 1978	Period of tenancy: 1 July 2026 to 30 June 2029 Rental per annum: SGD63,097 (equivalent to RM181,755)

The properties rented by our Group are not in breach of any other land use conditions and/or are in non-compliance with current statutory requirements, land rules or building regulations/by-laws, which will have material adverse impact on our operations as at LPD.

6. INFORMATION ON OUR GROUP (Cont'd)

6.9.2 Production Capacity and Output

The production capacity and output of our Group during the Financial Period Under Review is as follows:

(i) UHP segment

Process	Unit of measurement	Estimated maximum annual capacity	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026	
			Actual output	Utilisation rate ⁽¹⁾	Actual output	Utilisation rate ⁽¹⁾	Actual output	Utilisation rate ⁽¹⁾	Actual output	Utilisation rate ⁽¹⁾	Actual output	Utilisation rate ⁽²⁾
				(%)		(%)		(%)		(%)		(%)
Cleanroom orbital welding	points	⁽³⁾ 358,400	345,665	96.4	230,031	64.2	325,687	90.9	350,803	97.9	82,842	92.5
Cleanroom tack welding	points	⁽⁴⁾ 403,200	377,723	93.7	232,882	57.8	327,197	81.2	352,288	87.4	83,430	82.8
Manual welding (non-cleanroom welding)	points	⁽⁵⁾ 156,800	110,257	70.3	138,408	88.3	131,002	83.5	136,771	87.2	28,072	71.6
CNC bending	points	⁽⁶⁾ 84,000	61,419	73.1	53,635	63.9	42,130	50.2	⁽¹⁰⁾ 18,428	21.9	⁽¹⁰⁾ 4,155	19.8
CNC cutting	pieces	⁽⁷⁾ 319,200/ ⁽⁸⁾ 425,600	189,828	59.5	131,897	41.3	187,713	58.8	173,760	40.8	48,161	45.3
CNC milling and lathe	pieces	⁽⁹⁾ 50,400	21,710	43.1	35,763	71.0	28,495	56.5	23,324	46.3	5,669	45.0

6. INFORMATION ON OUR GROUP (Cont'd)

Notes:

- (1) The utilisation rate is computed based on the actual output divided by the estimated maximum annual capacity.
- (2) The utilisation rate is computed based on the actual output for the 3-month period divided by the estimated capacity for the 3-month period, with the maximum annual capacity pro-rated accordingly.
- (3) Estimated maximum annual capacity = maximum production of 16 joints per hour x 8 welding machines (orbital welding heads) x 10 working hours per day x 280 working days per year.
- (4) Estimated maximum annual capacity = maximum production of 24 joints per hour x 6 tack welding machines x 10 working hours per day x 280 working days per year.
- (5) Estimated maximum annual capacity = maximum production of 7 joints per hour x 8 welding machines x 10 working hours per day x 280 working days per year.
- (6) Estimated maximum annual capacity = maximum production of 15 bends per hour x 2 CNC bending machines x 10 working hours per day x 280 working days per year.
- (7) Estimated maximum annual capacity = maximum production of 38 pieces per hour x 3 CNC cutting machines x 10 working hours per day x 280 working days per year for the FYE 2022, FYE 2023 and FYE 2024.
- (8) Estimated maximum annual capacity = maximum production of 38 pieces per hour x 4 CNC cutting machines x 10 working hours per day x 280 working days per year for the FYE 2025 and FPE 2026.
- (9) Estimated maximum annual capacity = maximum production of 3 pieces per hour x 6 CNC milling and lathe machines x 10 working hours per day x 280 working days per year.
- (10) In FYE 2025 and FPE 2026, our Group's utilisation rates for CNC bending substantially decreased due to customer-specific designs, where most orders received from customers were for designs that do not require CNC bending activities.

6. INFORMATION ON OUR GROUP (Cont'd)

Our production capacity for our UHP segment at our Bayan Lepas Factory is affected by the availability of space, machinery and workforce. In line with our relocation to Simpang Ampat Factory, we have allocated funds to procure fabrication, welding and testing equipment that will enable us to increase our production capacity and fulfil more orders from customers in the future. Subsequent to our relocation to the Simpang Ampat Factory, despite the decrease in the number of employees, the production capacity for the cleanroom orbital welding process of our UHP segment did not experience significant increase as our Group is still utilising the substantially same number of machinery for our operations within our annual capacity.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

(ii) Abatement segment

Our production capacity for abatement systems is determined by several factors, including the models of abatement systems, floor space required for assembly and the availability of manpower. As the availability of manpower may fluctuate depending on project mix and in view of the use of temporary workers, the floor area would serve as the accurate indicator of production capacity as the assembly of abatement systems is physically constrained by the space available to accommodate simultaneous manufacturing activities. Based on the available assembly space, our production capacity and utilisation rate during the Financial Period Under Review are as follows:

Bayan Lepas Factory

Process	Available assembly area	FYE 2022		FYE 2023		FYE 2024		FYE 2025 (9 months)	
		Actual assembly area ⁽³⁾	Utilisation rate ⁽⁴⁾	Actual assembly area ⁽³⁾	Utilisation rate ⁽⁴⁾	Actual assembly area ⁽³⁾	Utilisation rate ⁽⁴⁾	Actual assembly area ⁽⁵⁾	Utilisation rate ⁽⁴⁾
		(sq. ft.)	(%)	(sq. ft.)	(%)	(sq. ft.)	(%)	(sq. ft.)	(%)
Abatement systems	⁽¹⁾ 86,400 (for 12 months) / ⁽²⁾ 64,800 (for 9 months)	77,220	89.4	38,220	44.2	77,220	89.4	73,125	⁽⁶⁾ 112.8

Notes:

- (1) Available assembly area is computed based on the total floor space of 7,200 sq. ft. in rented Bayan Lepas Factory allocated for the assembly of abatement systems, multiplied by 12 months during the FYE 2022, FYE 2023 and FYE 2024.
- (2) Available assembly area is computed based on the total floor space of 7,200 sq. ft. in rented Bayan Lepas Factory allocated for the assembly of abatement systems, multiplied by 9 months during the FYE 2025, being the duration of assembly operations at Bayan Lepas Factory prior to the relocation.
- (3) Actual assembly area is calculated based on the number of full assembled abatement units in the rented Bayan Lepas Factory, multiplied by approximately 65.00 sq. ft. required for each unit, and further multiplied by 12 months during the FYE 2022, FYE 2023 and FYE 2024.

6. INFORMATION ON OUR GROUP (Cont'd)

- (4) The utilisation rate is computed by dividing the actual assembly area occupied by the technical and production team with the available assembly area.
- (5) Actual assembly area is calculated based on the number of full assembled abatement units in the rented Bayan Lepas Factory, multiplied by approximately 65.00 sq. ft. required for each unit, and further multiplied by 9 months during the FYE 2025.
- (6) The utilisation rate exceeded 100.0% due to the utilisation of production areas from the UHP segment to cater for higher orders secured from our customers.

Simpang Ampat Factory

Process	Available assembly area (sq. ft.) ⁽¹⁾	FYE 2025 (October 2025 – December 2025)		FPE 2026 (January 2026 – March 2026)	
		Actual assembly area (sq. ft.) ⁽²⁾	Utilisation rate (%) ⁽³⁾	Actual assembly area (sq. ft.) ⁽²⁾	Utilisation rate (%) ⁽³⁾
Abatement systems	32,175 (for 3 months)	5,265	⁽⁴⁾ 16.4	6,435	20.0

Notes:

- (1) Available assembly area is computed based on the total floor space of 10,725 sq. ft. in Simpang Ampat Factory allocated for the assembly of abatement systems, multiplied by 3 months during the financial year/period. For FYE 2025, the computation is based on 3 months' work following the relocation to the Simpang Ampat Factory in October 2025.
- (2) Actual assembly area is calculated based on the number of full assembled abatement units in Simpang Ampat factory, multiplied by approximately 65.00 sq. ft. required for each unit, and further multiplied by 3 months in the relevant financial year/period.
- (3) The utilisation rate is computed by dividing the actual assembly area occupied by the technical and production team with the available assembly area.
- (4) The utilisation rate for the 3 months of FYE 2025 is lower as most of the abatement systems have been manufactured prior to the relocation to Simpang Ampat Factory to ensure seamless production process at that material point in time.

6. INFORMATION ON OUR GROUP (Cont'd)

In line with our relocation to Simpang Ampat Factory, we have allocated a larger space for the assembly of our abatement systems. For illustration purpose, on a 12-month basis, the capacity-weighted utilisation rate for FYE 2025 was 80.8%, calculated based on the total actual assembly area of 78,390 sq. ft. divided by the total available assembly area of 96,975 sq. ft., taking into consideration the respective assembly capacities available at the Bayan Lepas Factory and Simpang Ampat Factory during the year. As such, we anticipate that this will increase our production capacity and enable us to take on more orders for abatement systems from customers in the future. Subsequent to our relocation to the Simpang Ampat Factory, our production capacity based on available assembly area for abatement segment increased to 128,700 sq. ft. (calculated over 12 months), thereby resulting in approximately 49.0% additional annual production capacity as compared to our Bayan Lepas Factory.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

6.10 EMPLOYEES

As at 31 December 2025, our Group has a total workforce of 88 employees of which 77 are permanent and 11 are contractual (foreign workers for Malaysia operation). As at LPD, our Group has a total workforce of 81 employees, of which 70 are permanent and 11 are contractual (foreign workers for Malaysia operation). All of our foreign workers for Malaysia and Singapore operations have valid working permits. The breakdown of our employees as at 31 December 2024, 31 December 2025 and the LPD are as follows:

Malaysia

Department	As at 31 December 2024			As at 31 December 2025 ⁽⁴⁾			As at LPD ⁽⁵⁾		
	Local ⁽¹⁾	Foreign	Total	Local ⁽¹⁾	Foreign	Total	Local ⁽¹⁾	Foreign	Total
Director and key senior management	3	-	3	4	1	5	4	1	5
Finance	5	-	5	4	-	4	4	-	4
Human resource and administration	3	-	3	3	-	3	2	-	2
Sales and product management	7	-	7	3	-	3	4	-	4
Operations ⁽²⁾	14	-	14	13	-	13	4	2	6
R&D	9	-	9	9	-	9	13	-	13
Technical and production	31	20	51	26	14	40	27	15	42
Others ⁽³⁾	8	-	8	4	-	4	-	-	-
Total	80	20	100	66	15	81	58	18	76

Singapore

Department	As at 31 December 2024			As at 31 December 2025			As at LPD		
	Local ⁽⁶⁾	Foreign	Total	Local ⁽⁶⁾	Foreign	Total	Local ⁽⁶⁾	Foreign	Total
Director and key senior management	1	1	2	1	1	2	1	1	2
Human resource and administration	1	1	2	-	-	-	-	-	(7)-
Sales and product management	5	2	7	3	1	4	1	1	2
Operations ⁽²⁾	1	-	1	1	-	1	1	-	1
Total	8	4	12	5	2	7	3	2	5

6. INFORMATION ON OUR GROUP (Cont'd)

Notes:

- (1) Refer to Malaysians.
- (2) Comprise employee functions related to quality assurance, logistics and storage, procurement, customer service and driver.
- (3) Comprise clerks, security guards and cleaner.
- (4) The substantial decrease in number of employees as at 31 December 2025 was mainly due to the resignation of employees, arising from the relocation of our factory from Bayan Lepas to Simpang Ampat in 2025 which resulted in commute challenges and inconvenience for certain employees. Despite the lower number of employees, our Group's operations were not materially impacted as the remaining workforce was sufficient to support the ongoing production at the material times as certain functions were streamlined through process optimisation and cross-deployment of personnel across UHP and abatement functions as well as outsourcing. As such, there was no material disruption in our order fulfilment or service delivery.
- (5) The decrease in the number of employees in our operations as at LPD has not materially affected our business operations, as the quality assurance function has been integrated into and is managed by our technical and production teams, which are directly involved in our production process, thereby enabling effective monitoring of product quality and standards. Meanwhile, our logistics and storage, clerical, security guard and cleaning activities have been outsourced to third-party service providers.
- (6) Refer to Singaporeans.
- (7) As at the LPD, human resource and administration matter of the Singapore operation is handled by the human resource and administration staff based in Malaysia.

None of our employees belong to any labour union. As at LPD, there have not been any major industrial dispute pertaining to our employees. During the Financial Period Under Review and up to the LPD, there has not been any incidence of work stoppage or labour disputes that has materially affected our operations.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)**6.11 MAJOR CUSTOMERS**

Our top 5 major customers for the Financial Period Under Review are as follows:

FYE 2022

No.	Customer	Country	Products/ services⁽¹⁾	Revenue contribution		Length of relationship Years ⁽²⁾
				RM'000	(1) %	
1	Customer A	Singapore, Netherlands, and US	Precision Engineering Solutions	39,628	37.7	10
2	Customer B	Malaysia	Precision Engineering Solutions	23,954	22.8	5
3	Customer C	Singapore	Abatement Systems	7,694	7.3	6
4	Customer D	Malaysia	Precision Engineering Solutions	7,435	7.1	6
5	Customer E	China	Abatement Systems	4,222	4.0	10
Subtotal				82,933	78.9	
Total Revenue				104,980	100.0	

FYE 2023

No.	Customers	Country	Products/ services	Revenue contribution		Length of relationship Years ⁽²⁾
				RM'000	(1) %	
1	Customer A	Singapore, Netherlands, and US	Precision Engineering Solutions	25,659	34.8	11
2	Customer B	Malaysia	Precision Engineering Solutions	14,688	19.9	6
3	Customer D	Malaysia	Precision Engineering Solutions	4,257	5.8	7
4	Customer E	China	Abatement Systems	4,230	5.7	11

6. INFORMATION ON OUR GROUP (Cont'd)

No.	Customers	Country	Products/ services	Revenue contribution		Length of relationship Years ⁽²⁾
				RM'000	⁽¹⁾ %	
5	EcoSys Abatement LLC ⁽³⁾	US	Abatement Systems	4,086	5.5	7
Subtotal				52,920	71.7	
Total Revenue				73,784	100.0	

FYE 2024

No.	Customers	Country	Products/ services	Revenue contribution		Length of relationship Years ⁽²⁾
				RM'000	⁽¹⁾ %	
1	Customer A	Singapore, Netherlands, and US	Precision Engineering Solutions	32,272	36.3	12
2	Customer B	Malaysia	Precision Engineering Solutions	22,424	25.2	7
3	Customer C	Singapore	Abatement Systems	6,559	7.4	8
4	Customer F	India and Singapore	Abatement Systems	6,316	7.1	4
5	EcoSys Abatement LLC ⁽³⁾	US	Abatement Systems	4,775	5.4	8
Subtotal				72,346	81.4	
Total Revenue				88,814	100.0	

FYE 2025

No.	Customers	Country	Products/ services	Revenue contribution		Length of relationship Years ⁽²⁾
				RM'000	⁽¹⁾ %	
1	Customer A	Singapore, South Korea, Netherlands, and US	Precision Engineering Solutions	29,875	27.4	13
2	Customer B	Malaysia	Precision Engineering Solutions	27,669	25.4	8

6. INFORMATION ON OUR GROUP (Cont'd)

No.	Customers	Country	Products/ services	Revenue contribution		Length of relationship Years ⁽²⁾
				RM'000	⁽¹⁾ %	
3	Customer F	India and Singapore	Abatement systems	22,172	20.4	5
4	Customer I	India	Abatement systems	10,549	9.7	<1
5	Customer G	India	Abatement systems	3,534	3.2	1
Subtotal				93,799	86.1	
Total Revenue				108,944	100.0	

FPE 2026

No.	Customers	Country	Products/ services	Revenue contribution		Length of relationship Years ⁽²⁾
				RM'000	⁽¹⁾ %	
1	Customer B	Malaysia	Precision Engineering Solutions	6,095	27.0	9
2	Customer A	Singapore, South Korea, Netherlands and US	Precision Engineering Solutions	6,048	26.8	14
3	Customer J	India	Abatement Systems	4,522	20.0	<1
4	Customer F	India and Singapore	Abatement Systems	1,307	5.8	6
5	Customer K	Japan and South Korea	Abatement Systems	935	4.1	10
Subtotal				18,907	83.7	
Total Revenue				22,554	100.0	

6. INFORMATION ON OUR GROUP (Cont'd)

Notes:

Precision engineering solutions - ultra-high purity fabrication of precision engineering components and sub-assembly modules

Abatement systems - R&D, customisation, assembly, installation, testing, commissioning and maintenance of abatement systems

- (1) Calculated as a percentage of total revenue in the respective financial year/period.
- (2) The length of relationship is determined as at the respective financial year/period.
- (3) EcoSys Abatement LLC is not part of our Group and it was previously wholly-owned by our Group's Managing Director, Chan Chee Wei. Please refer to Sections 9.1 and 10.1 for further information on the disposal of EcoSys Abatement LLC.

Dependency on Customer A and Customer B

We are dependent on:

- Customer A which contributed 37.7%, 34.8%, 36.3%, 27.4% and 26.8%; and
- Customer B which contributed 22.8%, 19.9%, 25.2%, 25.4% and 27.0%

to our Group's revenue during the Financial Period Under Review respectively.

Customer A and Customer B are our major customers operating in the semiconductor industry, to whom our Group supplies fabricated services for its ultra-high purity engineering components and sub-assembly modules. As at LPD, we do not enter into any long-term agreements with Customer A and Customer B as our sales are based on purchase orders. We have established long term relationships with our major customers and maintained good business relationships with them. In the past, we have not encountered any major problems in our past dealings with them. The continuity of our business with them depends on various factors including, among others, our ability to consistently meet their specifications and requirements, competitive pricing, timely delivery and customer service.

Non-dependency on Customer F and Customer J

Notwithstanding the contribution of Customer F and Customer J of more than 10.0% to our Group's revenue for the FYE 2025 and FPE 2026, our Group is not dependent on them as the transactions with Customer F and Customer J are made based on a purchase order basis without any long-term contractual obligation. The volume and timing of orders are principally determined by their specific requirements for abatement systems, which are influenced by their project requirement or upgrading plans, and may consequently fluctuate from year to year.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)**6.12 MAJOR SUPPLIERS**

Our top 5 major suppliers for the Financial Period Under Review are as follows:

FYE 2022

No.	Suppliers	Country	Products/ services sourced	Purchases value		Length of relationship Years ⁽²⁾
				RM'000	⁽¹⁾ %	
1	Singafluid Systems Pte Ltd ("Singafluid")	Singapore	Fitting connectors	23,207	30.3	8
2	Anhui Group	China	Components and modules ⁽³⁾	11,127	14.5	4
3	Semisysteme Asia Pte Ltd	Singapore	Tubing and fitting connectors	6,515	8.5	8
4	Fujikin Singapore Pte Ltd	Singapore	Fitting connectors	4,173	5.5	8
5	Song Tat Precision Pte Ltd	Singapore	Precision parts	3,950	5.2	4
Subtotal				48,972	64.0	
Total Purchase				76,535	100.0	

FYE 2023

No.	Suppliers	Country	Products/ services sourced	Purchases value		Length of relationship Years ⁽²⁾
				RM'000	⁽¹⁾ %	
1	Singafluid	Singapore	Fitting connectors	18,961	46.3	9
2	Anhui Group	China	Components and modules ⁽³⁾	13,881	33.9	5
3	AVF Solutions (M) Sdn Bhd	Malaysia	Fitting connectors	1,924	4.7	4
4	Ham-Let Singapore Valves & Fittings Pte Ltd ⁽⁴⁾	Singapore	Fitting connectors	765	1.9	9
5	YFMD Technology Development Co Ltd	Hong Kong	Precision parts	688	1.7	1
Subtotal				36,219	88.5	
Total Purchase				40,975	100.0	

6. INFORMATION ON OUR GROUP (Cont'd)**FYE 2024**

No.	Suppliers	Country	Products/ services sourced	Purchases value		Length of relationship
				RM'000	(1) %	Years (2)
1	Singafluid	Singapore	Fitting connectors	26,956	38.1	10
2	Anhui Group	China	Components and modules ⁽³⁾	24,035	33.9	6
3	Sermax Cryogenics Sdn Bhd	Malaysia	Tubing	2,595	3.7	4
4	AVF Solutions (M) Sdn Bhd	Malaysia	Fitting connectors	2,377	3.4	5
5	Fujikin Singapore Pte Ltd	Singapore	Fitting connectors	1,938	2.7	10
Subtotal				57,901	81.8	
Total Purchase				70,817	100.0	

FYE 2025

No.	Suppliers	Country	Products/ services sourced	Purchases value		Length of relationship
				RM'000	(1) %	Years (2)
1	Singafluid	Singapore	Fitting connectors	18,363	30.8	11
2	Anhui Group	China	Components and modules ⁽³⁾	9,282	15.6	7
3	Pfeiffer Vacuum Malaysia Sdn Bhd	Malaysia	Fitting connectors	3,053	5.1	11
4	Ham-Let Singapore Valves & Fittings Pte Ltd	Singapore	Fitting connectors	2,733	4.6	11
5	Anhui Guangzhi Electric Co. Ltd	China	Components and modules ⁽³⁾	2,439	4.1	<1
Subtotal				35,870	60.2	
Total Purchase				59,571	100.0	

6. INFORMATION ON OUR GROUP (Cont'd)**FPE 2026**

No.	Suppliers	Country	Products/ services sourced	Purchases value		Length of relationship Years ⁽²⁾
				RM'000	⁽¹⁾ %	
1	Singafluid	Singapore	Fitting connectors	4,888	21.7	12
2	Ham-Let Singapore Valves & Fittings Pte Ltd	Singapore	Fitting connectors	3,549	15.8	12
3	Anhui Group	China	Components and modules ⁽³⁾	2,369	10.5	8
4	Fujikin Pte Ltd	Singapore	Fitting connectors	2,274	10.1	12
5	Pfeiffer Vacuum Malaysia Sdn Bhd	Malaysia	Fitting connectors	1,708	7.6	12
Subtotal				14,788	65.7	
Total Purchase				22,476	100.0	

Notes:

- (1) Calculated as a percentage of total purchases incurred for the respective financial year/period.
- (2) The length of relationship is determined at each of the respective financial year/period.
- (3) The modules and components are the sub-assembled modules within an abatement systems which consist of mainly electronic parts, mechanical parts and metal parts.
- (4) A subsidiary of Ultra Clean Holdings Inc, a company listed on the NASDAQ Stock Market.

During the Financial Period Under Review, our top 5 major suppliers contributed 64.0%, 88.5%, 81.8%, 60.2% and 65.7% to our Group's purchases incurred. Notwithstanding the contribution of Singafluid and Anhui Group of more than 10.0% during the Financial Period Under Review, our Group is not dependent on them.

Non-dependency on Singafluid

During the Financial Period Under Review, Singafluid contributed 30.3%, 46.3%, 38.1%, 30.8% and 21.7% of our Group's purchases incurred respectively.

We are required by our major customers to purchase Swagelok® brand fluid system components for our UHP segment from suppliers which include Singafluid. Nonetheless, we are not dependent on Singafluid as:

6. INFORMATION ON OUR GROUP (Cont'd)

- (i) we are able to source for Swagelok® brand components from alternative supplier such as AVF Solutions (M) Sdn Bhd in FYE 2023 and FYE 2024, demonstrating the availability of substitute supply channels; and
- (ii) the approved supplier list of our customers may change from time to time and may include other substitute products that are not Swagelok® brand.

Non-dependency on Anhui Group

	Purchases value									
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Anhui Group	11,127	14.5	13,881	33.9	24,035	33.9	9,282	15.6	2,369	10.5

During the Financial Period Under Review, Anhui Group contributed 14.5%, 33.9%, 33.9%, 15.6% and 10.5% of our Group's purchases incurred respectively.

Prior to the Investment in Anhui Automation, Anhui Automation was a company owned by Chan Chee Wei through Wuhu Yihe Financial Consulting Co Ltd (100.0%) in 2018 and Eco Research (85.0%) in 2020. As such, our Group had procured modules and components of our abatement systems directly from Anhui Automation during the Financial Period Under Review. As at LPD, Anhui Group is our associated companies where we hold 30.0% equity interests in Anhui Automation.

Notwithstanding the contribution of Anhui Group of more than 10.0% to our Group's purchases incurred during the Financial Period Under Review, we are not dependent on it due to the following:

- (i) our Group has started to procure the components and modules of abatement systems directly from other 14 suppliers in China subsequent to the Internal Restructuring, resulting in a wider distribution of our Group's purchases;
- (ii) for FYE 2025, the purchases from Anhui Group of RM9.28 million (or 15.6%) of the total purchases of FYE 2025 had reduced significantly as compared to the purchases of RM24.04 million (or 33.9%) of the total purchases during FYE 2024, following our Group's decision to gradually procuring from other suppliers since second quarter of 2025; and
- (iii) the components and modules supplied by Anhui Group are not unique and exclusive to our Group, as equivalent components and modules are readily available from alternative suppliers in China. This enables our Group to switch suppliers without disruption.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)**6.13 EXCHANGE CONTROL****Singapore****(a) Repatriation of funds**

There are generally no restrictions imposed on the repatriation of funds or remittance of profits, whether in the form of dividends or interests, or capital into or out of Singapore, or significant restrictions on remittances, capital movement and foreign currency exchange transactions by a company incorporated in Singapore to its shareholder(s) or holding company incorporated outside of Singapore. This is however, subject to anti-money laundering and counter-financing of terrorism laws, including the Corruption, Drug Trafficking and Other Serious Crimes (Confiscation of Benefits) Act 1992 and the Terrorism (Suppression of Financing) Act 2002, and taxation related considerations under the relevant and applicable Singapore laws.

Generally, repatriation of profits and remittances of funds out of a company's share capital is entirely dependent on the ability of such company to pay funds to its shareholder(s) in accordance with its constitution and the provisions of CA 1967.

(b) Remittance of profits

CA 1967 permits remittance of profits to a company's shareholders if it is effected through payment of dividends. Under the CA 1967, a company may only pay dividends to its shareholders out of profits of the company. The company may declare dividends in accordance with its constitution and the directors may make a recommended rate to be paid as dividends, which will be voted on and approved by shareholders at the company's annual general meeting or extraordinary general meeting.

(c) Withholding tax

Singapore adopts a one-tier corporate taxation system whereby any dividends paid on or after 1 January 2008 by any company resident in Singapore are exempt from income tax so long as the said dividend is not paid wholly or in part out of income exempted from tax. Such dividends are tax-exempt in the hands of the shareholders, regardless of whether the shareholder is a company or an individual and regardless of the shareholders' nationalities. Withholding tax is applicable to payments made to non-resident companies and individuals for Singapore-sourced income unless it is an exempted income under the Income Tax Act 1947 of Singapore ("**Income Tax Act**") for services rendered in Singapore. As dividend payments are exempted incomes under the Income Tax Act, the dividend payments to both resident shareholders and non-resident shareholders will not be subject to withholding tax.

China**(a) Repatriation of funds**

There is no strict system of foreign exchange controls which regulates the inflow and outflow of funds from a Chinese company to its foreign investors. Article 21 of the Foreign Investment Law of the People's Republic of China allows the capital contributions, profits, capital gains, asset disposal income, intellectual property licensing fees, legally obtained damages or compensation, liquidation proceeds and so forth which are made or obtained in China by the foreign investors to be freely remitted to overseas in RMB or any other foreign currencies in accordance with the applicable laws of China.

6. INFORMATION ON OUR GROUP (Cont'd)

(b) Remittance of profits

The declaration and distribution of dividends to the shareholders of Chinese companies shall be carried out in accordance with the Company Law of the People's Republic of China ("**Company Law**") and the company's articles of association. The Company Law provides that a Chinese company can only distribute dividends to its shareholders provided it has fulfilled certain requirements: (a) allocated 10% of the after-tax profit to the statutory reserve fund and in the event the accumulated amount of the statutory reserve fund exceeds 50% of the company's registered capital, no more contribution is required; (b) made up losses from the previous years with current year's profits before making the contribution under item (a); and (c) complied with any shareholders' resolution requiring a portion of the after-tax profit to be allocated to the discretionary reserve fund.

(c) Withholding tax

The Corporate Income Tax Law of the People's Republic of China provides for a standard withholding tax rate of 20% on dividends and other China-sourced passive income of a non-resident enterprises. However, Article 91 of the Implementation Regulations for the Corporate Income Tax Law of the People's Republic of China reduces the withholding tax rate to 10% effective from 1 January 2008.

In addition, the Government of the PRC and the Government of Malaysia entered into the Agreement for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with respect to Taxes on Income ("**AADT**"). Pursuant to Article 11 (II) of the AADT, dividends paid by a Chinese company to a resident of Malaysia shall be taxed in China according to the Chinese laws, but where the beneficial owner of the dividends is a Malaysian, the withholding tax shall not exceed 10% of the gross amount of such dividends. As such, the withholding tax imposed in China on the dividend remitted from Anhui Automation to SIW Manufacturing or any other Malaysian shareholder will not exceed 10%.

Taiwan**(a) Repatriation of funds**

Taiwan does not impose strict foreign exchange controls on the repatriation of funds from Taiwanese companies to their foreign investors. Article 12 of the Act For Investment by Foreign Nationals provides that Taiwanese companies may freely remit funds including contributions, profits, capital gains and asset disposal income which are made or obtained in Taiwan to their foreign investors. Such remittances may be made in TWD or any other foreign currency subject to compliance with the applicable laws.

Taiwan also does not impose procedural restrictions on the inflow and outflow of funds that do not involve the foreign exchange of TWD. However, where a fund transfer involves the foreign exchange of TWD, any single remittance of TWD 500,000 or more, whether relating to foreign exchange incomes, expenditure or transactions, should be reported to the Central Bank of the Republic of China (Taiwan) ("**CBC**") in accordance with the Regulations Governing the Declaration of Foreign Exchange Receipts and Disbursements or Transactions and other relevant requirements, and no special approval is required from the CBC for such remittances.

6. INFORMATION ON OUR GROUP (Cont'd)

(b) Remittance of profits

The Company Act of Taiwan provides that a Taiwanese company may distribute dividends or bonuses only if it has surplus earnings. Before making any distribution of dividends, a Taiwanese company must ensure that (1) all applicable taxes have been paid; (2) all accumulated losses have been fully covered; (3) 10% of its after-tax profit has been set aside for legal reserve until the accumulated amount reaches the company's total paid-in capital; and (4) any special reserve as required under the company's article of association or shareholders' resolution has been set aside.

(c) Withholding tax

All dividends distributed by Taiwanese companies are subject to withholding tax. The applicable tax rate depends on the residency status of the dividend recipient. When a Taiwanese company distributes dividends to its foreign corporate or individual shareholders, it is required to withhold 21% income tax on the dividend payment. When processing outward remittances of such dividends or profits, banks may require companies to provide evidence that the relevant taxes have been duly paid before allowing the transfer.

Notwithstanding, the above policies on the repatriation of funds, remittance of profits and taxation in Singapore, China and Taiwan are not expected to have a material adverse impact on the availability of cash and cash equivalents for use by SIW Manufacturing and the remittance of dividends, interest or other payments to SIW Manufacturing as the relevant jurisdictions generally permit repatriation of funds and remittance of dividends, interest or other payments to foreign investors subject to compliance with the applicable procedural and administrative requirements as set out above.

(The rest of this page has been intentionally left blank)

6. INFORMATION ON OUR GROUP (Cont'd)

6.14 ENVIRONMENTAL, SOCIAL AND GOVERNANCE

Our commitment to ESG principles is fundamental to our business strategy. We aim to drive sustainable growth while ensuring our activities contribute positively to the communities in which we operate and uphold the highest standards of corporate governance. To this end, our Group has implemented, and is in the midst of implementing, the following practices and measures:

Environmental

Our Group's operation is not classified as high-emission operation as we operate as an industrial solutions provider to the semiconductor industry, with activities that are primarily mechanical and assembly-based, rather than energy-intensive or combustion-driven. We do not undertake on-site fuel combustion for power generation, incineration activities or industrial processes that generate material direct emissions. Energy consumption is mainly limited to electricity for operational and support functions and remains moderate, consistent with light-to-medium industrial activities.

As we are involved in the design and assembly of abatement systems which are deployed at customers' facilities to mitigate emissions and pollutants generated within the semiconductor manufacturing ecosystem, these activities do not involve the generation of emissions and are aligned with environmental risk-mitigation objectives. While we operate within an industrial setting, our direct environmental footprint is assessed to be low to moderate and effectively managed.

Our Group is committed to reducing our impact of business operations on the environment. The following practices are among the measures that have been implemented and are in the midst of implementing.

(i) Waste Management

Our Group is committed to responsible waste management as part of our ESG initiatives. We actively reuse stainless steel and iron scraps generated from product cuts. Instead of discarding these materials, we repurpose them in our production cycle, minimising waste and maximising resource efficiency. In addition, we adhere to a bi-annual for a proper scheduled waste disposal of waste oil, empty containers, and waste rags, ensuring compliance with environmental regulations. All stainless steel and iron waste, including debris and by-products from our production processes, are redirected to scrap buyers as part of our commitment to 3R practices – namely reduce, reuse and recycle.

(ii) Use of Raw Materials

In our fabrication activities, we prioritise the use of stainless steel with higher durability and longevity. These raw materials are not only robust but also contribute to the creation of long-lasting machinery that reduces the need for frequent replacements. We ensure that our products are built to withstand the rigors of industrial use, which aligns with our commitment to sustainability.

(iii) Energy Efficiency

We prioritise smart and energy-efficient practices despite our overall energy consumption and use of natural resources remain relatively low. We are developing and implementing effective strategies for efficient energy use is essential, such as:

6. INFORMATION ON OUR GROUP (Cont'd)

- Installation of light-emitting diode (LED) lightings in most of our production and office areas. In addition, we also maximise the use of natural sunlight in certain production area. As part of our long term plan, we intend to install solar panels in strategic locations to replace or complement the existing LED lighting.
- Transition to the use of electric forklifts in our daily operations. As we continue to prioritise better energy utilisation and conservation, expanding the adoption of electric vehicles across our operations.

Social

Our Group is dedicated to implementing social initiatives to address social issues and promote the well-being of our stakeholders. These efforts aim to foster social equity, enhance quality of life, and promote sustainable developments.

(i) Safe and Healthy Workplace

In order to safeguard our employees, we have conducted comprehensive Noise Risk Assessments (NRA) and Chemical Health Risk Assessments. These evaluations are designed to identify and manage potential hazards from noise and chemicals, ensuring adherence to high safety standards and minimizing health and productivity risks.

We also adhere strictly to the Occupational Safety and Health Act 1994, in which we have established an emergency response team headed by the trained safety and health coordinator and dedicated to overseeing workplace safety and health in full compliance with all relevant laws and regulations. Our personnel are equipped with adequate safety tools, up-to-date information, thorough training and personal protective equipment. These proactive measures have successfully resulted in zero-incident environment at our factories and workplaces.

(ii) Employment Diversity and Equal Opportunity

We are steadfast in our commitment to adhering to Malaysian labour regulations. We strive to ensure that all employment practices align with the stringent requirements of Malaysian laws and regulations which include:

- Equitable wages: Guaranteeing fair compensation that meets or exceeds legal standards, while also aligning with industry benchmarks to ensure competitive pay for all employees;
- Anti-discrimination: Implementing robust policies to prevent discrimination based on race, gender, religion, age, or disability, ensuring a diverse and inclusive workplace where every employee is treated with dignity and respect; and
- Labour rights: Upholding all fundamental labour rights as stipulated by Malaysian regulations, including safe working conditions, reasonable working hours, and the right to collective bargaining.

6. INFORMATION ON OUR GROUP (Cont'd)

(iii) Community Engagement

Our Group also fulfil our corporate social responsibilities by engaging the community. One of our key projects is a blood donation collaboration campaign with a local general hospital. Moving forward, we have several plans in place, including visits to orphanages and other community outreach programs. We intend to expand community programs to include education related collaborations and skill based volunteerism.

As part of our long-term goal, our Group intends to enhance workforce diversity through inclusive recruitment initiatives and structured employee development programs.

Governance

Our Board is dedicated in maintaining a high corporate governance standard through the following governance practices:

(i) Laws and Regulations

Our Group is committed to conducting our business ethically and in compliance with all relevant laws and regulations as disclosed in Section 6.5.15 of this Prospectus.

(ii) MCCG

Our Group has adopted the principles and practices of the latest MCCG which covers the following principles:

- Practices 1.1, 1.2, 1.3, 1.4, 1.5, 1.6, 2.1, 3.1, 3.2, 4.1, 4.2, 4.3, 4.5, 5.1, 5.2, 5.3, 5.5, 5.6, 5.8, 5.9, 7.1 and 7.2 under Principle A: board leadership and effectiveness; and
- Practices 9.1, 9.2, 9.3, 9.4, 9.5, 10.1, 10.3 and 11.1 under Principle B: effective audit and risk management.

Our Group will be adopting the following principles and practices of the latest MCCG that are applicable only to our Group after Listing:

- Practices 4.4, 5.7, 5.10, 6.1, 8.1 and 8.2 under Principle A: board leadership and effectiveness;
- Practices 10.2 and 11.2 under Principle B: effective audit and risk management; and
- Practices 12.1, 13.1, 13.2, 13.3, 13.4, 13.5 and 13.6 under Principle C: integrity in corporate reporting and establishing meaningful relationship.

In seeking to conduct our business ethically, our Group has adopted a zero-tolerance policy towards any form of bribery and corruption in our business dealings and as such we have put in place policies and procedures to manage our corporate liability risks. This includes the formalisation and adoption of the Whistleblowing Policy, Anti-Bribery and Anti-Corruption Policy, and Code of Conduct and Ethics.

6. INFORMATION ON OUR GROUP (Cont'd)

(iii) Enterprise Risk Management

In relation to our Group's risk management framework, our management is constantly updating our Group's risk register to reflect the risk areas faced by our Group, which include strategic risks, operational risks, regulatory risks and financial risks. We also monitor the mitigation plans and actions in place on a periodic basis. This will ensure the risks identified are at an acceptable level towards achieving our Group's objectives. Our Group assures a transparent reporting on risk exposure and mitigation measures especially to the unique risks associated with the industry.

Our Board recognises that our Group's dynamic business environment which necessitates continuous evolution of our ESG practices to stay aligned with these challenges. Consequently, our Board will proactively direct and develop initiatives and action plans as needed to enhance our Group's ESG practices from time to time.

(The rest of this page has been intentionally left blank)

7. IMR REPORT



PROVIDENCE STRATEGIC PARTNERS SDN BHD
(1238910-A)
P-6-5, Pacific Towers, Jalan 13/6,
46200 Petaling Jaya, Selangor, Malaysia.
T: +603 7625 1769

4 September 2026

The Board of Directors
ECOSYS (MALAYSIA) BERHAD
No. 25, Lorong Beringin 2
Taman Industri Beringin
14100 Simpang Ampat
Pulau Pinang
Malaysia.

Dear Sirs,

Outlook of the Precision Engineering Solutions for the Pan-Semiconductor Industry in Malaysia and Global Abatement Solutions Industry in conjunction with the Listing of ECOSYS (MALAYSIA) BERHAD on the ACE Market of Bursa Malaysia Securities Berhad

PROVIDENCE STRATEGIC PARTNERS SDN BHD ("**PROVIDENCE**") has prepared this independent market research report on the Outlook of the Precision Engineering Solutions for the Pan-Semiconductor Industry in Malaysia and Global Abatement Solutions Industry for inclusion in the Prospectus of ECOSYS (MALAYSIA) BERHAD.

PROVIDENCE has taken prudent measures to ensure reporting accuracy and completeness by adopting an independent and objective view of these industries within the confines of secondary statistics, primary research and evolving industry dynamics.

No part of this publication may be copied, reproduced, published, distributed, transmitted or passed, in whole or in part, without the prior express written consent of PROVIDENCE.

For and on behalf of PROVIDENCE:

A handwritten signature in black ink, appearing to read 'Elizabeth Dhoos'.

ELIZABETH DHOOS
EXECUTIVE DIRECTOR

About PROVIDENCE STRATEGIC PARTNERS SDN BHD:

PROVIDENCE is an independent research and consulting firm based in Petaling Jaya, Selangor, Malaysia. Since our inception in 2017, PROVIDENCE has been involved in the preparation of independent market research reports for capital market exercises. Our reports aim to provide an independent assessment of industry dynamics, encompassing aspects such as industry performance, demand and supply conditions, competitive landscape and government regulations.

About ELIZABETH DHOOS:

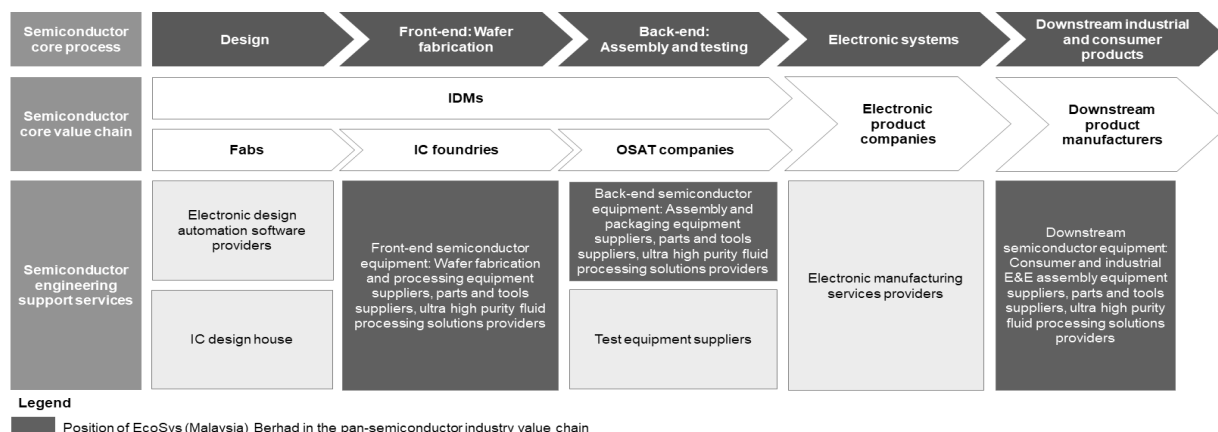
Elizabeth Dhoos is the Executive Director of PROVIDENCE. She has more than 15 years of experience in market research for capital market exercises. Elizabeth Dhoos holds a Bachelor of Business Administration from the University of Malaya, Malaysia.

7. IMR REPORT (Cont'd)



1 INTRODUCTION

EcoSys (Malaysia) Berhad is principally an investment holding company. Through its subsidiaries, EcoSys (Malaysia) Berhad is principally involved in the provision of industrial solutions for the pan-semiconductor industry, comprising the ultra-high purity fabrication of precision engineering components and sub-assembly modules; as well as the research and development ("R&D"), customisation, assembly, installation, testing, commissioning and maintenance of abatement systems. The position of EcoSys (Malaysia) Berhad within the pan-semiconductor industry value chain is as illustrated below:



2 PRECISION ENGINEERING SOLUTIONS FOR THE PAN-SEMICONDUCTOR INDUSTRY IN MALAYSIA

The semiconductor industry refers to companies that are involved in the front-end and back-end manufacturing of semiconductors. The pan-semiconductor industry refers to the broader semiconductor and electronics industry, whereby it encompasses semiconductor companies that design, develop, and sell semiconductor chips, but do not engage in semiconductor manufacturing. In this context, the pan-semiconductor industry is a general term that includes integrated circuits ("ICs"), flat panel displays, light emitting diodes ("LEDs"), solar cells, discrete devices, semiconductor equipment materials industries and semiconductors.

Semiconductor manufacturing is a complex process that can be broadly divided into the front-end and back-end processes. The front-end semiconductor manufacturing process refers to the wafer fabrication process, and is the initial stage in the production of ICs, and other semiconductor devices in specialised semiconductor manufacturing facilities that are known as fabricators ("fabs"). In back-end manufacturing, silicon wafers produced by fabs are converted into finished chips which are then ready to be assembled into electronic devices. These chips are tested before being delivered to downstream electronic device manufacturers.

Ultra high purity fluid processing solutions are complex networks of pipes and machinery that handle liquid and gaseous fluids throughout a semiconductor fab. The process of manufacturing semiconductors requires liquid and gaseous fluids such as pure water, liquid cooling media, acids such as hydrofluoric acid, hydrochloric acid and sulphuric acid as well as soda lye or solvents. These fluids are used to facilitate heating and cooling, storage and transportation of fluids, processing of products, mixing of fluids from several sources, as well as the collection and storage of finished products. These fluids are typically delivered to semiconductor manufacturing processes through ultra high purity fluid processing systems comprising complex networks of pipes that handle large volumes necessary for the continuous operations of semiconductor fabs. Ultra high purity process systems are a key technology in advanced semiconductor manufacturing, ensuring that each wafer undergoes critical surface treatments and depositions with stringent purity requirements, from the stages of planarisation and deposition to diffusion and oxidation, that collectively enable the production of smaller, faster, and more energy-efficient semiconductor devices. As device nodes shrink to sub-7 nanometer geometries, the tolerance for contamination becomes virtually zero and this underscores the indispensable role of ultra high purity chemicals and equipment in driving Moore's Law¹ forward.

In recent years, IC manufacturers across foundries, logic, memory, and sensor applications have intensified their focus on process variability and yield optimisation. This has elevated the importance of ultra high purity process systems that

¹ Moore's Law is the observation that the number of transistors on an IC will double every two years with minimal rise in cost

7. IMR REPORT (Cont'd)



can deliver consistent film thickness, uniform dopant distribution, and defect-free surfaces at high throughput.

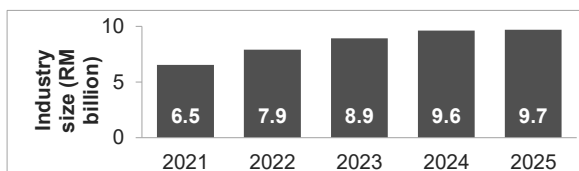
INDUSTRY PERFORMANCE, GROWTH AND PROSPECTS

The precision engineering solutions industry in Malaysia, based on the sales value of fabricated metal products, grew from RM6.5 billion in 2021 to RM9.7 billion in 2025 at a compounded annual growth rate ("CAGR") of 10.5%. The high vaccination rates, economic recovery and lifting of operating restrictions in April 2022 and Malaysia's economic recovery post COVID-19 supported growth in demand for precision engineering solutions in 2022.

PROVIDENCE projects the precision engineering solutions industry to further grow from RM9.7 billion in 2025 to RM11.9 billion in 2027 at a CAGR of 10.8%.

The growth of the precision engineering solutions industry in Malaysia will be driven by factors described under Demand Conditions: Key Growth Drivers.

Precision engineering solutions industry in Malaysia



Source: Department of Statistics Malaysia, PROVIDENCE analysis

DEMAND CONDITIONS: KEY GROWTH DRIVERS

Growth in the pan-semiconductor industry drives demand for precision engineering solutions

▪ Semiconductor and electronics

Between 2015 and 2025, the global sales of semiconductor and electronics increased from USD335.2 billion (RM1.3 trillion) to USD795.6 billion (RM3.2 trillion), at a CAGR of 9.0%^{2,3} as worldwide demand has been largely driven by:

- the technological revolution with 5G adoption and the emergence of internet of things ("IoT"), artificial intelligence and big data analytics, which have resulted in the emergence of new final electronic products including smart factories (where machinery, equipment and tools are fully interconnected), autonomous cars (which are self-driving or driverless cars) and smart home devices (such as smart lighting, door locks and home appliances). This technological revolution of semiconductor and electronic products is expected to continue driving new developments in the semiconductor and electronics industry to produce more advanced semiconductor and electronic products in terms of performance, capacity and technology; and
- rapid technological advancements which have led to continuous introductions of new product innovations and advancements. Final electronic products, especially consumer electronic products, are subject to relatively shorter product lifecycles, given that consumers are highly receptive to new product innovations and advancements.

▪ Solar

The global renewable energy industry, as measured by cumulative installed capacity, grew from 1,852 gigawatt ("GW") in 2015 to 5,149 GW in 2025, at a CAGR of 10.8%.⁴ Malaysia's cumulative installed capacity for solar photovoltaic has been growing from 266 MW in 2015 to 3,074 MW in 2025, at a CAGR of 27.7%. The growth of the global renewable energy industry has been largely supported by the initiatives and measures taken by the governments to drive the adoption of renewable energy in their respective countries.

▪ Electric vehicle ("EV")

The global sales of EV grew from 1.5 million vehicles in 2015 to 20.9 million vehicles in 2025. Global sales of EV are further projected to reach 23.4 million vehicles in 2026 by the International Energy Agency. The global EV market has been, and is expected to continue to be, driven by government incentives to promote EV sales, lower battery costs, increase in EV manufacturing and increase in commercial spending on EVs.

With the growth of technology and increasing demand for consumer and industrial electronics devices, the need for ultra high purity systems is rising, making them indispensable in achieving optimal performance and yielding quality of semiconductors.

Growth prospects of the semiconductor and electronics ecosystem in Penang support demand for precision engineering solutions

The electrical and electronics ("E&E") industry in Penang is vibrant and attracts greenfield and brownfield investments from local and foreign multinational corporations, especially in Bayan Lepas and Batu Kawan. Several business

² Semiconductor Industry Association

³ USD to RM in 2015 at USD1 = RM3.9064 and 2025 at USD1 = RM4.0570. Sourced from the Central Bank of Malaysia

⁴ Source: International Renewable Energy Agency

7. IMR REPORT (Cont'd)



opportunities for engineering solutions providers stem from multinational corporations in the semiconductor industry who are seeking to expand their existing operating capacities and/or build new plants in Penang. Penang attracted RM32.0 billion in total approved manufacturing investments in 2024. On the trade front, Penang's exports were valued at RM611.3 billion in 2025, among which integrated electronic circuits, E&E products and piezoelectric crystals, and components made up 73.6% of total exports. The State Government of Penang has announced that there are development plans for Bandar Cassia Technology Park and Batu Kawan Industrial Park 3 to ensure there are sufficient industrial lands especially for promoted industries such as the E&E, electronics manufacturing services, LED, medical devices, aerospace, semiconductor, automotive and other related industries. Further developments in these areas will support demand for ultra-high purity fabrication of precision engineering components and sub-assembly modules from companies in the pan-semiconductor industry.

Foreign investment and domestic investment growth promote investments in engineering solutions

Malaysia recorded RM426.7 billion in approved investments in 2025, an 11.0% year-on-year growth compared to the RM384.4 billion raised in 2024. The services sector continues to be a key driver of Malaysia's economic expansion, securing RM281.3 billion in approved investments or 65.9% of the total approvals. The information and communication sub-sector led the services sector's growth, attracting RM152.9 billion or 54.4% of total service sector investments. These investments reflect the country's rapid adoption of digital technologies across industries such as agriculture, healthcare, finance, tourism, and Islamic digital economy. Malaysia's manufacturing sector secured RM131.3 billion in approved investments or 30.8% of the total approvals. Foreign investments were the dominant contributor, totalling RM100.6 billion (76.6%), while domestic investments remained substantial at RM30.7 billion. The E&E industry secured the major share of investments in the manufacturing sector with RM28.5 billion or 21.7% affirming Malaysia's role in the global technology supply chain.⁶ Such investments are expected to benefit industry players offering precision engineering solutions and particularly ultra-high purity fabrication of precision engineering components and sub-assembly modules in the pan-semiconductor industry.

INDUSTRY DYNAMICS

Capital funding

A certain degree of capital investment is required on the part of industry players to be able to expand their services at competitive cost levels. This includes, but is not limited to, the acquisition of new or additional machinery, acquisition and development of additional factory floor space, and the development of additional infrastructure. To this end, an industry player may depend on external funding should internal funds be deemed insufficient.

Geopolitical factors

End user industries of precision engineering solutions are subject to changes in government policies and regulations. On 2 April 2025, the government of the United States of America ("USA") announced the imposition of reciprocal tariffs on imports into the USA from nearly every other nation and jurisdiction in the world, ranging from 10.0% to as high as 50.0%. Following negotiations between the Government of Malaysia ("Malaysia Government") and the government of the USA, the tariff for Malaysia was lowered to 19.0% and took effect from 1 August 2025. Semiconductors remain exempted from the 19.0% tariff.

Sanctions on semiconductor and electronics manufacturers in China by the USA have increased, limiting access to crucial technologies such as artificial intelligence and advanced manufacturing. This has prompted China to intensify its attempts to attain semiconductor self-sufficiency, while the USA continues to tighten export prohibitions in order to hinder China's technical gains.

The COVID-19 pandemic highlighted gaps in worldwide semiconductor supply networks, which led to shortages in areas such as automotive electronics and consumer electronics. The COVID-19 pandemic emphasised the need for increased supply chain resilience and diversity to avoid repeat disruptions.

COMPETITIVE LANDSCAPE

The precision engineering solutions industry is competitive with a wide pool of industry players serving the E&E and other manufacturing end user industries in Malaysia. Nonetheless, there are high barriers to entry that can restrict the entry of new firms into the precision engineering solutions industry, specific to the provision of ultra-high purity fabrication of precision engineering components and sub-assembly modules, among which include:

- **Capital intensive industry:** The industry is capital intensive as initial investments are required to secure manufacturing space, machinery and equipment, as well as raw materials for manufacturing activities; and

⁶ Malaysia Performance Investment Report 2025, MIDA

7. IMR REPORT (Cont'd)

- **Strong technical skills:** Industry players require a certain degree of technical competence and know-how in order to deliver customised precision metal parts.

EcoSys (Malaysia) Berhad achieved a revenue of RM108.9 million in the financial year ended (“FYE”) 31 December 2025, from which RM63.0 million is from the provision of ultra-high purity fabrication of precision engineering components and sub-assembly modules. Thus, based on its segmental revenue of RM63.0 million from provision of ultra-high purity fabrication of precision engineering components and sub-assembly modules in FYE 31 December 2025 relative to Malaysia’s market size for the precision engineering solutions industry of RM9.7 billion, EcoSys (Malaysia) Berhad registered a market share of 0.6%.

The following sets out the latest available revenues of private and public listed industry players in Malaysia that are involved in the provision of precision engineering solutions for the pan-semiconductor industry with Group revenues of RM20.0 million and above:

Industry player ^a	Latest available FYE	Segmental revenue (RM)	Group revenue (RM) ^e	Gross profit (RM)	Gross profit margin (%)	Profit before tax (RM)	Profit after tax (RM)	Profit after tax margin (%)
Ultra Clean Technology (Malaysia) Sdn Bhd (“UCT”) ^b	27 December 2024		899,003,000 ^f	82,894,000	9.2	-5,841,000	-5,865,000	-0.7
Eng Teknologi Sdn Bhd	31 December 2024		167,282,023	43,624,435	26.1	21,345,780	17,913,778	10.7
SFP Tech Holdings Berhad ^c	31 December 2025	83,243,000	97,118,000	39,960,000	41.4	9,270,000	3,703,000	3.8
Coraza Integrated Technology Berhad ^c	31 December 2025	21,553,446	160,231,528	47,659,921	29.7	19,106,271	14,159,053	8.8
EcoSys (Malaysia) Berhad	31 December 2025	62,975,544	108,943,593	26,035,002	23.9	12,065,768	11,195,860	10.3
Paradigm Precision Components Sdn Bhd ^d	30 June 2025		39,898,303	11,579,180	29.0	9,460,332	7,388,178	18.5
PP Perfect Precision Sdn Bhd	30 June 2025		25,392,187	2,302,719	9.1	1,123,261	781,159	3.1
GSH Precision Technology Sdn Bhd	31 December 2024		24,397,764	5,615,929	23.0	608,683	368,069	1.5

Notes:

^a The industry players listed above that are involved in the precision engineering solutions industry were identified based on publicly available sources, such as the internet, published documents and industry trade directories. This list of industry players may not be exhaustive as it does not include industry players that do not have a public presence. The abovementioned industry players were identified based on the following criteria:

- are involved in the provision of manual welding for the pan-semiconductor industry; and / or
- are involved in the provision of cleanroom orbital welding for the pan-semiconductor industry; and
- have achieved a revenue of at least RM20.0 million in the latest available FYE

^b Subsidiary of Ultra Clean Holdings, Inc, which is listed on The Nasdaq Stock Market, LLC

^c Listed on the ACE Market of Bursa Malaysia Securities Berhad

^d Subsidiary of Kobay Technology Berhad, which is listed on the Main Market of Bursa Malaysia Securities Berhad

^e May include revenue from other businesses

^f UCT is principally involved in the manufacturing of general-purpose and special-purpose machinery for the semiconductor, energy and other industries. UCT carries out precision machining, chemical and gas delivery system integration with final assembly in cleanroom environment which is comparable to the processes carried out by EcoSys (Malaysia) Berhad at its cleanroom in its operating facility in Penang. Revenue derived from the sales of final goods, and further revenue breakdown is not available in the latest audited financial statement of UCT

Latest available as at 1 September 2026

Source: Various annual reports, company websites, Companies Commission of Malaysia, PROVIDENCE analysis

7. IMR REPORT (Cont'd)



3 GLOBAL ABATEMENT SOLUTIONS INDUSTRY

Abatement systems are specialised industrial equipment that capture, treat and neutralise toxic, flammable and odorous gasses as well as greenhouse gasses emitted from manufacturing processes before they are released into the environment. The abatement systems are used to manage exhaust gases and other process by-products extracted by dry pumps. Abatement is required to prevent adverse chemical reactions within production processes and to comply with strict regulatory emissions controls in the countries where the customers and end-users of abatement systems operate. The pan-semiconductor industry adopts abatement systems to control the emission of hazardous gasses, reduce environmental impact and comply with environmental regulations.

In front-end semiconductor manufacturing, IDMs, fabs and IC companies print nanometer-scale ICs from the chip design into silicon wafers. The fabrication process is intricate and requires highly specialised equipment as well as liquid and gaseous chemicals to achieve the needed precision at miniature scale. In particular, the etching and chemical vapor deposition cleaning steps in the fabrication process utilise harmful gasses for plasma etching intricate patterns required for ICs, cleaning processing chambers and temperature control. The front-end semiconductor manufacturing and downstream product manufacturing processes release harmful gases that can lead to environmental and health risks, among which include:

- acidic gases such as hydrogen fluoride, hydrogen chloride, sulfuric acid and nitric acid;
- toxic gases such as phosphine, arsine, silane and ozone;
- volatile organic compounds, organic compounds that can contribute to air pollution when released to the environment;
- particulate matter such as fine dust and particles; and
- greenhouse gases such as carbon tetrafluoride, sulphur hexafluoride and nitrogen trifluoride.

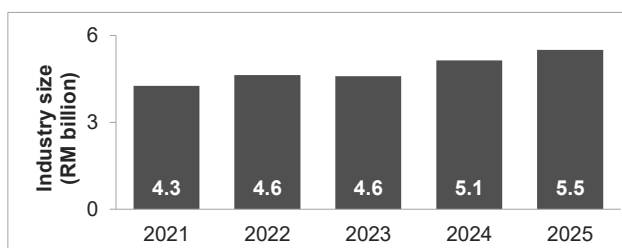
Each gas has to be treated differently to abate it. There are various methods to treat each gas and ensure that its toxicity, flammability levels and other harmful effects are reduced. Abatement systems utilise various technologies to “scrub” gasses in order to achieve detoxification, among which include, dry scrubbing, such as thermal oxidation, combustible, plasma and catalytic oxidation; wet scrubbing; and a combination of more than one the abovementioned technologies.

INDUSTRY PERFORMANCE, GROWTH AND PROSPECTS

The global abatement solutions industry grew from RM4.3 billion in 2021 to RM5.5 billion in 2025 at a CAGR of 6.3%. In 2023, demand for abatement solutions moderated as inflation and weakening demand in end markets, particularly those relying on consumer spending led to lower capital expenditure for semiconductor manufacturing equipment.

PROVIDENCE projects the global abatement solutions industry to further grow from RM5.5 billion in 2025 to RM6.0 billion in 2027 at a CAGR of 4.4%. The growth of the global abatement solutions industry will be driven by factors described under Demand Conditions: Key Growth Drivers.

Global abatement solutions industry



Source: PROVIDENCE analysis

DEMAND CONDITIONS: KEY GROWTH DRIVERS

The growing demand for semiconductors will support demand for abatement systems

The global semiconductor industry, based on global semiconductor sales, increased from USD468.8 billion in 2018 to USD795.6 billion in 2025 at a CAGR of 7.8%. Global semiconductor sales decreased year-on-year by 12.1% in 2019, mainly due to uncertainties resulting from the escalation of the USA – China trade war. In 2020, global semiconductor sales began showing signs of recovery as continuous technological advancements led to increased usage of semiconductors in various end-user applications. As such, global semiconductor sales began rising from USD412.3 billion in 2019 to USD574.1 billion in 2022. Demand for semiconductors softened in 2023 as the industry worked to reduce excess inventory, leading to lower fab utilisation rates and output of semiconductors, as global semiconductor sales declined from USD613.5 billion in 2022 to USD526.9 billion in 2023. In 2024, global semiconductor sales rebounded to USD626.9 billion showing signs of improvement in the growth of IC sales, stabilising capital expenditure, and an increase in installed wafer fab capacity. Further in 2025, global semiconductor sales increased to USD795.6 billion reflecting strong demand across several key application areas, particularly data centre infrastructure and artificial

7. IMR REPORT (Cont'd)

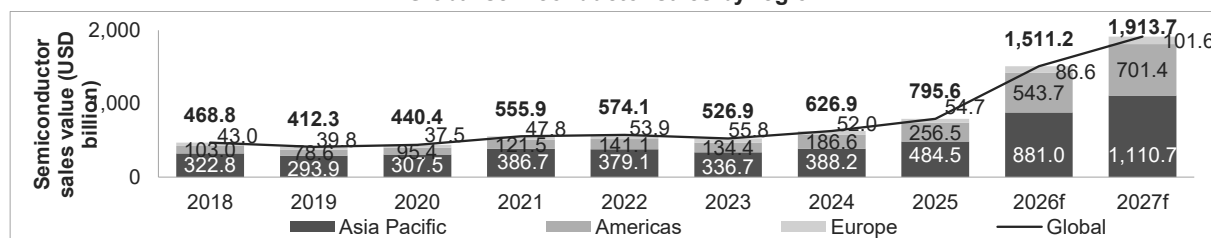


intelligence-related systems.

Asia Pacific is the largest contributor and accounted for 60.9% of global semiconductor sales in 2025. In the Asia Pacific region, major producers of semiconductors include China, Taiwan, Japan and Singapore where there are IDMs, fabless design firms, foundries and outsourced semiconductor assembly and test ("OSAT") companies which drive the development of the semiconductor industry. The growth of the semiconductor industry in these countries is expected to support the growth of the front-end semiconductor equipment and critical parts industry. In terms of product category, ICs comprised 88.1% of global semiconductor sales in 2025 while the remaining 11.9% constituted discrete semiconductors, optoelectronics and sensors. Within the ICs product category, logic and memory comprised 37.6% and 28.9% respectively of global semiconductor sales in 2025. Logic witnessed the highest CAGR of 15.5% between 2018 and 2025. Demand for logic and memory is driven by ongoing demand in areas such as artificial intelligence, cloud infrastructure and advanced consumer electronics.

The World Semiconductor Trade Statistics projects semiconductor sales to increase to USD1.5 trillion by 2026 and subsequently USD1.9 trillion by 2027. Regionally, all markets are projected to show strong growth. Growth in the Americas is expected to be driven by the concentration of artificial intelligence -related semiconductor demand and cloud infrastructure investment.

Global semiconductor sales by region



f Forecast

Source: World Semiconductor Trade Statistics, PROVIDENCE analysis

Growing demand for semiconductor manufacturing equipment to support rising demand for semiconductors

The semiconductor manufacturing equipment sector is a crucial part of the semiconductor industry, as it relates to the design and manufacturing of devices and machinery necessary for producing semiconductor devices. The semiconductor manufacturing equipment market is driven by the growing demand for electronics and smart devices. Based on PROVIDENCE's research, the global semiconductor manufacturing equipment market was valued at approximately USD92.5 billion in 2024 and is expected to reach around USD142.7 billion by 2030, expanding at a CAGR of 7.5% between 2024 and 2030.

One of the key factors driving the growth of global semiconductor manufacturing equipment market is the rising demand for consumer electronics. There is a growing demand for sophisticated and miniaturised semiconductor components and parts in consumer electronics. In addition, the technological advancements and adoption of innovative technologies such as artificial intelligence and blockchain are supporting the growth and development of semiconductor manufacturing equipment. Furthermore, the semiconductor manufacturing equipment market will develop as a result of technological advancements in extreme ultraviolet lithography equipment. The growing penetrations of smartphones and wearable devices are also boosting the semiconductor manufacturing equipment market growth. Another trend that is shaping the global semiconductor manufacturing equipment market is the rising usage of hybrid and EV. Semiconductors are critical components used as parts and components in EV. Thus, the growth of the hybrid vehicles and EV market also supports demand for semiconductor manufacturing equipment.

As abatement systems are key components in semiconductor manufacturing equipment, growth in demand for semiconductor manufacturing equipment will support growth in the abatement solutions industry.

Capacity expansion plans create demand for front-end semiconductor solutions, including abatement solutions

Semiconductor manufacturing involves physically distinct stages of production which allow for geographic dispersion of the production process. Increased demand for electronic products in emerging markets especially in Asia has pushed semiconductor companies to move production facilities closer to these markets. Several semiconductor companies have announced capacity expansion plans in various countries, which bode well in supporting the demand for abatement solutions. Among others, these include:

- In 2023, Entegris, a provider of advanced materials and process solutions for the semiconductor industry, inaugurated a USD500.0 million manufacturing facility in southern Taiwan;

7. IMR REPORT (Cont'd)



- To better serve local customers, Fujifilm Electronic Materials announced in 2023 that it will invest NT\$3.38 billion (USD110.0 million) in Taiwan to increase production of chemical mechanical planarisation (CMP) slurry and lithography-related materials; and
- In 2024, Vanguard International Semiconductor announced that they will build a 12-inch fab in Singapore through VisionPower Semiconductor Manufacturing Company (a joint venture 60% owned by Vanguard and 40% owned by NXP). Construction will begin at the end of 2024 with mass production to begin in 2027. The total investment for this expansion is USD7.8 billion (USD6.8 billion for capital expenditure and USD1.0 billion for working capital). The target process node will be 130-40 nanometre; and
- In 2026, Micron Technology committed approximately USD24.0 billion to expand its wafer manufacturing operations in Singapore to expand production amid global shortages. Production of NAND, a type of memory chip widely used in personal computers, servers and smartphones, is expected to start in the second half of 2028. The company is also building a USD7.0 billion advanced packaging plant in the same Singapore manufacturing complex to produce high-bandwidth memory, a type of dynamic random-access memory (DRAM), used in artificial intelligence applications.

The various capacity expansion plans of semiconductor companies will bode well and spur demand for abatement solutions.

Growth in Taiwan's semiconductor industry drives demand for abatement solutions

Taiwan plays a major role in the global semiconductor industry, particularly in the supply of higher specification chips used to power next-generation technologies such as 5G, generative artificial intelligence and high-performance computing. Taiwan holds the largest global market share in both chip manufacturing and packaging and testing, and is the second largest in design. Taiwan produces over 60.0% of the world's semiconductors and more than 90.0% of the most advanced semiconductors (below 7 nanometre) used to power cutting-edge technology applications.

Taiwan's semiconductor industry operates on a global scale across the three main stages of production. In 2024, IC design accounted for 23.9% of the industry's overall output value, while manufacturing took 64.3% (of which the foundry segment represented 61.0% and memory 3.3%), and packaging and testing collectively comprised 11.78%. The semiconductor industry is also a key pillar of Taiwan's economy in terms of its output value and share of exports. In 2024, total industry revenue was NT\$5.3 trillion, equivalent to 20.7% of the island's GDP, while semiconductor exports amounted to USD177.2 billion, accounting for 37.3% of Taiwan's total exports.

Demand for abatement solutions in Taiwan will continue to be supported by its established semiconductor industry.

Emergence of India as a semiconductor production hub will support demand for abatement solutions

The semiconductor industry is witnessing a shift in global landscape as India is emerging as a potential production hub for semiconductor manufacturing. Driven by geopolitical tensions, rising demand for advanced technologies and India's manufacturing potential, the country is attracting significant attention from both domestic and international players. In 2025, India imported approximately USD28.6 billion of semiconductors from countries such as China, Vietnam and Malaysia, making it the eight-largest semiconductor importer globally. Despite its reliance on imports, India has been making progress in developing a domestic semiconductor industry. Under the "Make in India" initiative, the Government of India ("India Government") aims to position the country as a semiconductor hub by 2035. India, while still a major importer, emerged as the 11th largest exporter of semiconductor devices in 2025, with exports reaching approximately USD1.4 billion.

The India Government launched strategic initiatives to establish a domestic semiconductor ecosystem. In December 2021, the India Government introduced the Semicon India Program with a total allocation of USD8.8 billion which is designed to develop semiconductor and display manufacturing capabilities. The Semicon India Program aims to attract global semiconductor firms, encourage local manufacturing, and enhance supply chain flexibility. India's semiconductor industry is attracting substantial foreign direct investment, reinforcing its position in the global market. This includes:

- In 2023, the U.S.-based Micron Technology announced an investment of USD825.0 million to establish India's first chip production and testing plant in Gujarat. The project, valued at USD2.8 billion, is being developed in partnership with the central and state governments.
- Dutch semiconductor firm, NXP Semiconductors plans to invest USD1.0 billion in R&D along with Micron Technology for an assembly and testing plant in Gujarat. This investment will further develop India's capabilities in high-value semiconductor production.
- Tata Electronics, in collaboration with Taiwan's Powerchip Semiconductor (PSMC) has announced an USD11.0 billion semiconductor fabrication plant in Dholera, Gujarat. This project is expected to create approximately 20,000 skilled jobs and reduce India's reliance on imported chips.
- India's Union Cabinet approved four additional semiconductor manufacturing projects under the India Semiconductor

7. IMR REPORT (Cont'd)



Mission on 12 August 2025. The companies that received approval for their semiconductor manufacturing projects are SiCSem Private Limited, Continental Device India Private Limited, 3D Glass Solutions Inc and Advanced System in Package (ASIP) Technologies with newly approved plants to be located in three states, namely, Odisha, Punjab, and Andhra Pradesh. The projects aim to meet the surging demand for semiconductors across diverse sectors, including telecommunications, automotive, data centres, consumer electronics and industrial electronics

In order to develop a domestic semiconductor ecosystem that goes beyond manufacturing, India requires innovation in chip design and R&D capabilities. The India Government has launched the National Chip Design Infrastructure (NCDI) initiative, providing semiconductor designers with essential resources and infrastructure to foster local chip innovation. This initiative aims to bridge the gap between global semiconductor leaders and India's domestic industry. Private sector players are also driving innovation in the sector. Tata Consultancy Services, in partnership with Tata Electronics, aims to manufacture India's first homegrown semiconductor chips by 2026. The company is actively investing in semiconductor design and engineering to ensure India's competitiveness in the global supply chain.

These projects are expected to reduce import dependency and position India as a competitive player in the semiconductor manufacturing landscape. By expanding both manufacturing and design capacities across multiple states, India is positioning itself as a competitive player in the global semiconductor value chain. The rise of India as a production hub will contribute to supporting demand for abatement solutions.

Rising need for environmental compliance supports demand for abatement solutions

Abatement solutions are critical for managing the hazardous gases produced during the semiconductor manufacturing processes. As governments around the world enforce stricter emission standards, manufacturers are increasingly investing in advanced abatement technologies to remain compliant and safeguard worker health.

Key regulations, such as the USA Environmental Protection Agency's emission control measures and the European Union's Registration, Evaluation, Authorisation, and Restriction of Chemicals (REACH) regulations, are driving adoption. These systems also contribute to corporate sustainability goals and operational efficiency in fabs by ensuring safe exhaust treatment and minimizing environmental impact.

With the evolution of semiconductor manufacturing processes, gases such as ammonia, hydrogen chloride, and sulphur hexafluoride have become increasingly common. This trend is driving the demand for more advanced abatement solutions. The ability of abatement solutions to safely neutralize toxic emissions makes them vital to next-generation fabrication facilities.

Government initiatives to boost the semiconductor industry in Malaysia creates demand potential for abatement solutions

In May 2024, the Malaysia Government announced the National Semiconductor Strategy, a three-phase plan backed by RM25.0 billion in fiscal support and targeted incentives, designed to transform the country into a global powerhouse in the semiconductor industry over the next decade, reinforcing Malaysia's intention to cement its position as a leading international hub for semiconductor manufacturing, and innovation while aiming to build a strong base in chip design.

While Malaysia's has established capabilities in OSAT, Malaysia also intends to move up the value chain into higher-end manufacturing, design, packaging, and equipment. The National Semiconductor Strategy will be implemented in three phases, namely:

- Phase 1 focuses on building on our foundations by leveraging Malaysia's existing industry capacity and capabilities. This includes modernising OSAT services with advanced packaging, expanding trailing-edge chip fabrication and power chip production, and developing local chip design champions;
- Phase 2 focuses on moving to the frontier to pursue cutting-edge logic and memory chip design, fabrication, testing, and integration with major chip buyers; and
- Phase 3 focuses on innovating at the frontier to develop world-class Malaysian semiconductor design, advanced packaging, and manufacturing equipment firms while attracting cutting-edge technology giants to pursue advanced manufacturing in the country.

The targets set by the Malaysia Government that underpin the National Semiconductor Strategy are to:

- secure at least RM500.0 billion in investments for Phase 1, driven by domestic direct investments in IC design, advanced packaging and manufacturing equipment, coupled with foreign direct investments in wafer fabs and semiconductor equipment;
- establish at least 10 Malaysian companies in the design and advanced packaging segments, each with revenues ranging from RM1.0 billion to RM4.7 billion by Phase 2. A further 100 semiconductor-related local companies with revenues approaching RM1.0 billion are envisioned;
- position Malaysia as a globally-recognised R&D hub for semiconductors, bolstered by world-class universities, corporate research centers, and centers of excellence that blend top Malaysian and international talent;

7. IMR REPORT (Cont'd)



- train and upskill a highly-skilled semiconductor workforce comprising 60,000 Malaysian engineers in the next five to ten years; and
- allocate no less than RM25.0 billion in fiscal support and targeted incentives to ensure successful operationalisation of the National Semiconductor Strategy.

Malaysia's aspiration to strengthen its semiconductor industry will support demand for abatement solutions.

INDUSTRY RISKS AND CHALLENGES

Technical capabilities and industry track record

The R&D and customisation of abatement solutions require specific levels of technical skill and experience. Semiconductor manufacturing equipment companies seek to hire companies with proven track record to supply abatement solutions for their wafer fabrication equipment. Skilled engineers and technicians are able to carry out customisations in order to enhance delivery and efficiency, while optimising system performance. Such skill can only be gained through hands-on experience. Industry players who have the required technical capabilities are able to build industry track record, which cannot be easily replicated by a new entrant.

COMPETITIVE LANDSCAPE

The abatement solutions industry is global in nature as semiconductor equipment manufacturing companies are largely global in nature and have assembly plants in multiple countries. Abatement solution providers typically have presence in countries with large semiconductor industries such as the USA, Taiwan, China, South Korea, Japan and Malaysia.

Abatement solutions industry players in Malaysia comprise local and foreign companies. The foreign industry players mainly consist of regional and/or multinational companies that set up locally established entities in Malaysia to support their sales and marketing activities and they may provide some level of technical support to customers in Malaysia. There are also foreign industry players who deliver abatement solutions to customers in Malaysia even though they may not have locally established entities or local presence by deploying engineers and technicians from their base country. EcoSys (Malaysia) Berhad is a homegrown industry player that designs and provides proprietary abatement solutions the pan-semiconductor industry where its customers are based in Malaysia and in foreign countries. There are high barriers to entry, as ownership of patents and trademarks, technology adoption, technical capabilities and industry track record that restrict the entry of new firms.

EcoSys (Malaysia) Berhad achieved a revenue of RM108.9 million in the FYE 31 December 2025, from which RM46.0 million is from the provision of abatement solutions. Thus, based on its segmental revenue of RM46.0 million from provision of abatement solutions in FYE 31 December 2025 relative to the global abatement solutions market size of RM5.5 billion, EcoSys (Malaysia) Berhad registered a market share of 0.8%.

Industry players that are involved in the provision of abatement solutions globally include:

- | | |
|--|----------------------------------|
| ▪ Air Products and Chemicals, Incorporated | ▪ EcoSys (Malaysia) Berhad |
| ▪ Anguil Environmental Systems, Incorporated | ▪ Edwards Vacuum |
| ▪ Aqua Innovation Limited | ▪ Entegris, Inc. |
| ▪ CECO Environmental Corporation | ▪ Fujikin Incorporated |
| ▪ CS Clean Solutions AG | ▪ Integrated Plasma Incorporated |
| ▪ Ceres Technologies, Incorporated | ▪ Kanken Techno Co., Limited |
| ▪ Comet Group | ▪ Kanto Corporation |
| ▪ Critical Systems, Incorporated | ▪ MAT Plus GmbH |
| ▪ DAS Environmental Expert GmbH | ▪ MKS Instruments, Incorporated |
| ▪ Durr AG | ▪ Parker Hannifin Corporation |
| ▪ Ebara Corporation | |

7. IMR REPORT (Cont'd)

The following sets out the latest available revenues of private and public listed industry players in Malaysia that are involved in the provision of abatement solutions for the pan-semiconductor industry with Group revenues of RM10.0 million and above:

Industry player ^a	Business activities	Brands	Latest available FYE	Segmental revenue (RM)	Group revenue (RM) ^f	Gross profit (RM)	Gross profit margin (%)	Profit before tax (RM)	Profit after tax (RM)	Profit after tax margin (%)
Air Products Malaysia Sdn Bhd ^b	Customisation, assembly, installation, testing and commissioning abatement systems	Air Products ^e	30 September 2025		401,735,273	152,716,761	38.0	50,739,928	34,908,456	8.7
Atlas Copco (Malaysia) Sdn Bhd ^c	Customisation, assembly, installation, testing and commissioning of abatement systems	CSK	31 December 2025		171,462,639	Not available	Not available	6,091,109	3,037,992	1.8
EcoSys (Malaysia) Berhad	R&D, customisation, assembly, installation, testing, commissioning and maintenance of abatement systems	EcoSys	31 December 2025	45,968,049	108,943,593	26,035,002	23.9	12,065,768	11,195,860	10.3
Busch Malaysia Sdn Bhd ^d	Customisation, assembly, installation, testing, commissioning and maintenance of abatement systems	Pfeiffer Vacuum+ Fab Solutions	31 December 2024		14,394,959	5,258,451	36.5	2,309,507	1,762,283	12.2

Notes:

^a The industry players listed above that are involved in the provision of abatement solutions were identified based on publicly available sources, such as the internet, published documents and industry trade directories. This list of industry players may not be exhaustive as it does not include industry players that do not have a public presence. The abovementioned industry players were identified based on the following criteria:

- are involved in the provision of abatement solutions for the pan-semiconductor industry; and
- have achieved a revenue of at least RM10.0 million in the latest available FYE

^b Subsidiary of Air Products & Chemicals, Inc, which is listed on the New York Stock Exchange

^c Subsidiary of Atlas Copco AB, which is listed on Nasdaq Stockholm

^d Subsidiary of Busch-Holding GmbH

^e Air Products range of abatement system includes its proprietary trademarked Cryo-Condap® system

^f May include revenue from other businesses

Latest available as at 1 September 2026

Source: Various annual reports, company websites, Companies Commission of Malaysia, PROVIDENCE analysis

8. RISK FACTORS

NOTWITHSTANDING THE PROSPECTS OF OUR GROUP AS OUTLINED IN THIS PROSPECTUS, YOU SHOULD CAREFULLY CONSIDER THE FOLLOWING RISK FACTORS THAT MAY HAVE A SIGNIFICANT IMPACT ON OUR FUTURE PERFORMANCE, IN ADDITION TO ALL OTHER RELEVANT INFORMATION CONTAINED ELSEWHERE IN THIS PROSPECTUS, BEFORE MAKING AN APPLICATION FOR OUR IPO SHARES.

8.1 RISKS RELATING TO OUR BUSINESS OPERATIONS**8.1.1 We are dependent on 2 major customers**

We are dependent on 2 major customers, namely Customer A and Customer B that collectively contributed 60.5%, 54.7%, 61.5%, 52.8% and 53.8% of our Group's revenue during the Financial Period Under Review. The revenue contributions of these major customers are as follows:

	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Customer A	39,628	37.7	25,659	34.8	32,272	36.3	29,875	27.4	6,048	26.8
Customer B	23,954	22.8	14,688	19.9	22,424	25.2	27,669	25.4	6,095	27.0
	63,582	60.5	40,347	54.7	54,696	61.5	57,544	52.8	12,143	53.8

Customer A and Customer B are key participants in the pan-semiconductor industry, involved in front-end wafer processing equipment and high precision electronic assemblies respectively. Customer B is also a contract manufacturer for Customer A. However, we are not able to ascertain the portion of our sales to Customer B which is attributable to Customer A. We provide ultra-high purity fabrication of precision engineering components and sub-assembly modules to these 2 major customers.

As at LPD, we do not enter into any long-term agreements with these 2 major customers. Our sales from these major customers are transacted on a purchase orders basis. Our ability to continue securing purchase orders from these major customers are dependent on several factors including, among others, our ability to consistently meet their specification and requirements, competitive pricing, timely delivery of products, as well as continued customer service. During the Financial Period Under Review, we did not experience material adverse event in meeting the specification and requirements of Customer A and Customer B in the UHP segment.

Given the highly specialised and cyclical nature of the semiconductor industry, any reduction in orders, change in procurement strategy or adverse market developments affecting these customers could materially impact our financial performance. If we experience lower purchase orders and/or a loss of any of these major customers, and we are not able to replace them with new customers or with additional orders from other existing customers in a timely manner, we may experience a loss in revenue. This will adversely affect our business and financial performance.

8.1.2 We are subject to the risk of infringement of intellectual properties and misrepresentation of our brand

Our abatement systems incorporate proprietary technologies, designs and trademarks developed and owned by EcoSys, which are protected through intellectual property registrations. Despite these protections, there remains a risk that third parties may infringe and replicate the validity of our intellectual property rights.

8. RISK FACTORS (Cont'd)

Our Group has implemented certain standard operating procedures to prevent unauthorised or unlawful replication of trade secrets including imposing confidentiality and non-disclosure obligations on our employees and suppliers, tracking access to sensitive files, and prohibiting the reproduction and transmission of data by employees to external drives. However, we cannot be certain that measures implemented are sufficient to protect our portfolio of intellectual property rights or that third parties will not infringe upon or misappropriate our proprietary rights. Any unauthorised use of our intellectual property rights, especially trademarks, may decrease the value of our brands, as well as cause a decline in our sales.

Any such infringement or dispute may result in legal proceedings and disruption to our operations. An adverse outcome in litigation or any similar proceedings could adversely affect our business and financial performance.

As part of our Internal Restructuring and to facilitate our distributorship channels, we have entered into various agreements to assign or grant rights of use over certain intellectual properties, including patents and trademarks, to our associated companies and non-exclusive distributors such as Anhui Automation, SIW Taiwan and EcoSys Abatement LLC. These arrangements may pose a risk that our associated companies or distributors may misuse, misrepresent or act beyond the scope of the rights granted. Such actions could result in misrepresentation of our brand and confusion among customers regarding the authenticity of our products.

In particular, the non-compete and collaboration agreement dated 27 November 2024 between SIW Manufacturing and Anhui Automation, where Anhui Automation is restricted from directly or indirectly supplying or selling abatement systems to customers outside of China, comes to an expiry in November 2026. In the event of non-renewal of the non-compete and collaboration agreement subsequent to its expiry, there would be no restriction on us and Anhui Automation for selling abatement systems to customers outside of our respective authorised territories.

We may potentially compete with Anhui Automation to market our solutions and secure customers in the event we venture into China directly. In the event we enter into a new collaboration with a new partner in China, our new partner may also compete with Anhui Automation to market our solutions and secure customers in China. In the event we or our potential new partner may not be able to effectively compete with Anhui Automation, our Group's financial performance may be adversely affected.

Although we maintain contractual safeguards and monitor our distributors' use of our intellectual properties, there can be no assurance that such measures will fully prevent misuse or protect our brand integrity. Any such incidents could adversely affect our business reputation and financial performance. During the Financial Period Under Review and up to LPD, our Group has not experienced any instances of infringement of our intellectual properties and misrepresentation of our Group's brand.

In addition, while most of our abatement systems are SEMI standard certified, certain abatement systems which are developed and customised based on our customers' requirements are not SEMI standard certified. Although such abatement systems are customised based on specifications as agreed by our customers, the non-SEMI certified systems cannot be benchmarked against those SEMI-certified equipment. This could potentially affect our market positioning and in turn pose reputation risks to our brand. During the Financial Period Under Review up to the LPD, our Group has not experienced any material adverse implications arising from the sales of customised abatement systems that are not SEMI standard certified.

8. RISK FACTORS (Cont'd)**8.1.3 We are exposed to risk of fluctuation of foreign exchange rate**

Our revenue denominated in different currencies during the Financial Period Under Review is as follows:

Currency	Audited									
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
RM	-	-	-	-	823	0.9	311	0.3	135	0.6
USD	100,808	96.0	68,306	92.6	86,240	97.1	107,804	99.0	22,248	98.6
SGD	2,146	2.0	1,954	2.6	1,551	1.8	829	0.7	171	0.8
RMB	-	-	3,524	4.8	200	0.2	-	-	-	-
TWD	2,026	2.0	-	-	-	-	-	-	-	-
Total	104,980	100.0	73,784	100.0	88,814	100.0	108,944	100.0	22,554	100.0

Our purchases denominated in different currencies during the Financial Period Under Review is as follows:

Currency	Audited									
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
RM	406	0.5	323	0.8	2,379	3.4	1,777	3.0	577	2.6
USD	67,256	87.9	38,710	94.4	62,914	88.8	42,312	71.0	17,177	76.4
SGD	8,261	10.8	1,786	4.4	2,077	2.9	3,150	5.3	1,309	5.8
RMB	156	0.2	150	0.4	3,403	4.8	12,254	20.6	3,406	15.2
Others ⁽¹⁾	456	0.6	6	~	44	0.1	78	0.1	7	~
Total	76,535	100.0	40,975	100.0	70,817	100.0	59,571	100.0	22,476	100.0

Notes:

~ Represents less than 0.1%.

(1) Consists of Euro (EUR), Japanese Yen (JPY) and Great British Pound (GBP).

During the Financial Period Under Review, our sales transactions with customers denominated in foreign currencies accounted for 100.0%, 100.0%, 99.1%, 99.7% and 99.4% of our total revenue, respectively. Meanwhile, our purchases denominated in foreign currencies accounted for 99.5%, 99.2%, 96.6%, 97.0% and 97.4% of our total purchases, respectively. Accordingly, we are exposed to fluctuations in foreign exchange rates arising from both our sales and purchases which are affected by various factors that are beyond our control, including but not limited to political and economic climates of Malaysia and the world.

A depreciation of the RM against the currencies in which we transact will lead to higher purchases cost as well as higher revenue in RM after conversion. Conversely, an appreciation of the RM against the currencies in which we transact will lead to a lower purchase cost and lower revenue in RM after conversion. Our gain/(loss) on foreign exchanges for the Financial Period Under Review are as follows:

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Gain on foreign exchange	547	847	1,872	272	280
Loss on foreign exchange	(1,654)	(2,245)	(221)	(939)	(496)

8. RISK FACTORS (Cont'd)

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Net (loss)/gain on foreign exchange	(1,107)	(1,398)	1,651	(667)	(216)

Our Group recorded net loss on foreign exchange in both FYE 2022 and FYE 2023, amounted to RM1.11 million and RM1.40 million respectively, mainly due to higher trade payables balances as well as payments made to suppliers denominated primarily in USD, in line with the strengthening of USD during the financial years.

In FYE 2024, we recorded a net gain on foreign exchange of RM1.65 million arising from higher payments made to suppliers denominated primarily in USD and RMB, in line with the weakening of USD and RMB during the financial year.

In FYE 2025, our Group recorded a net loss on foreign exchange of RM0.67 million, mainly arising from foreign exchange losses on translation of our bank balances denominated in USD as well as sales denominated in USD, both in line with the weakening of USD during the financial year.

In FPE 2026, our Group recorded a net loss on foreign exchange of RM0.22 million, mainly arising from foreign exchange losses on sales denominated in USD, in line with the weakening of USD during the financial period.

Although we maintain foreign currency accounts to settle payments of the same currency where possible, we remain exposed to foreign currency exchange gains or losses arising from timing differences between the issuance of invoices and the actual receipt of payments from customers or settlement of payments to suppliers.

We currently do not use any financial instrument to hedge our exposure against transactions in foreign currency. Therefore, any unfavourable fluctuations in these foreign exchange rates may have an adverse impact on our financial performance and profitability.

8.1.4 We do not have long term contracts with our customers

Our Group's sales are secured based on confirmed purchase orders placed by our customers on an as-needed basis as we do not have any long term contracts with our customers. The absence of long term contracts with our customers is due to the nature of industry that our customers operate in, which is subject to technological changes, market trends and rapid improvements in industry standards that would result in frequent changes in product design and specifications. Instead, our major customers would provide us with a forecast of their intended purchase volume on a rolling 12 months period. Nonetheless, our actual sales would still be based on purchase orders from our customers from time to time which may vary from the forecasted volume.

The absence of long term contracts may pose a risk as our customers are not obliged to purchase products from us. As such, they may reduce the order quantity and/or could totally cease to purchase from us at any point of time. The loss of any customer or reduction in any sales order or quantity from any customers, particularly our major customers, if not replaced with new customers or with additional orders from other existing customers in a timely manner, may result in a loss of revenue and adversely affect our financial performance.

8. RISK FACTORS (Cont'd)**8.1.5 Our business is dependent on our Managing Director and key senior management**

The continuing success of our Group's business is dependent on the experience, knowledge and skills, efforts and capabilities of our Managing Director and key senior management who play significant roles in our day-to-day operations as well as the development and implementation of our business strategies. Our Managing Director and key senior management are vital in driving the future growth of our Group as they contribute in aspects of strategic direction, leadership, business planning and development as well as the management of our Group.

The loss of our Managing Director and/or any of our key senior management without any suitable and prompt replacement may adversely impact our business operations and financial performance. There is no assurance that we will be successful in retaining our existing key management team or there will be a smooth transition should changes occur, which may result in an adverse impact on our Group.

8.1.6 We face customer concentration risk

We face customer concentration risks where a large portion of our total revenue during the respective Financial Period Under Review is derived from a small group of customers.

For the Financial Period Under Review, customers with revenue contribution of more than 10% of our revenue in any of the Financial Period Under Review, collectively accounted for 60.5% (2 customers), 54.7% (2 customers), 61.5% (2 customers), 73.2% (3 customers) and 73.8% (3 customers) of our revenue, as follows:

	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
UHP segment										
Customer A	39,628	37.7	25,659	34.8	32,272	36.3	29,875	27.4	6,048	26.8
Customer B	23,954	22.8	14,688	19.9	22,424	25.2	27,669	25.4	6,095	27.0
Abatement segment										
Customer F	-	-	-	-	-	-	22,172	20.4	-	-
Customer J	-	-	-	-	-	-	-	-	4,522	20.0
	63,582	60.5	40,347	54.7	54,696	61.5	79,716	73.2	16,665	73.8

There can be no assurance that we will retain our customers or secure new customers to sustain or increase our sales. In the event we fail to maintain or grow our customer base, our business operations and financial performance could be adversely affected. We may face challenges in promptly replacing lost customers, and even in the event we are able to acquire new customers in a timely manner, there can be no assurance that we will achieve comparable or higher sales and profit margins.

8.1.7 We are exposed to credit risk and default payment by customers

We grant our customers a credit period of 30 days to 90 days upon the delivery of goods. During the Financial Period Under Review, we did not provide for any impairments on trade receivables or write-off any bad debts.

Notwithstanding this, in the event of not receiving payment within the credit period or a default in payment by our customers, our operating cash flows or financial results may be adversely affected. Further, it may also lead to impairment losses on trade receivables or the writing-off of trade receivables as bad debts, which may adversely affect our financial performance.

8. RISK FACTORS (Cont'd)

8.1.8 We are subject to the risk of product liability

Our Group is exposed to the risk of product liability claims of up to 1 year for defects on our certain parts of abatement systems and workmanship. The liability period begins upon our delivery of our products.

In the event of the occurrence of any defect as mentioned above, we will be required to repair or replace parts and modules of the abatement systems which may adversely impact our relationship with our customers, future business opportunities, as well as industry reputation which in turn may adversely affect our business operations and financial performance.

While our Group sets in place measures at every stage of manufacturing and assembly to prevent any defects in products and performance, there can be no assurance that our abatement systems will not have any defects or malfunction that may lead to the disruptions of our customer's business activities.

For the Financial Period Under Review and up to the LPD, our Group did not experience any warranty claims for our abatement systems. Nevertheless, there is no assurance that we would not experience any product liability claims in the future.

8.1.9 We are exposed to fluctuations in the prices of raw materials

Our operations, particularly in the fabrication of precision engineering components and the manufacturing of abatement systems, rely on a steady supply of materials and supplies. Among the materials and supplies used in our operations are fitting connectors, tubing, precision parts, as well as modules and components mainly comprising electronic parts, mechanical parts and metal parts.

The prices of these raw materials are subject to fluctuations driven by global supply and demand dynamics, foreign exchange movements and geopolitical uncertainties such as tariffs imposed by governments in the countries where these materials are produced. In addition, most of our raw materials are sourced from overseas suppliers, which exposes us to risks of extended lead times, logistics delays and supply chain disruptions. During the Financial Period Under Review, we did not experience substantial fluctuation in prices of raw materials, which we were unable to transfer to customers.

The recent war in the Middle East has disrupted shipping across the Strait of Hormuz and resulted in a surge in crude oil prices and transportation costs as well as affected supply chains. Any of these could lead to higher cost of raw materials that we source from our suppliers. In the event that we are unable to pass on such increases in cost to our customers or source raw materials from alternative suppliers at more competitive prices, our business and financial performance could be adversely affected.

Any unfavourable changes in conditions of the above factors may result in an increase in the prices of raw materials thus resulting in an increase in purchasing cost. As such, in the event that we may not be able to pass on such cost increase to our customers, our Group would be required to bear the increase in cost which will adversely affect our financial performance.

8. RISK FACTORS (Cont'd)

8.1.10 We are dependent on skilled technical employees

Our Group is dependent on our technical employees such as engineers and technicians to carry out our business operations. Our engineers are involved in the R&D of our abatement systems, while our technicians are mainly involved in the production of UHP and abatement systems. Our employees' expertise in process engineering, in-depth industry knowledge, technical know-how, allow us to adapt to changing requirements quickly by developing or adjusting our processes accordingly while maintaining the quality of our products. This remains as one of the key factors in driving our business growth over the years.

We compete with other industry players to recruit and retain engineers and technicians. The loss of our Group's engineers and technicians simultaneously competent or within a short period of time without any suitable or timely replacements, or our inability to attract or retain competent engineering managers and technicians, may adversely affect our ability to compete and grow.

Although we have not previously faced any shortage of engineers or technicians that may have led to major disruptions to our operations, there can be no assurance that we will be able to recruit, develop and retain an adequate number of engineers and technicians to support the future growth and expansion of our Group.

8.1.11 Our business operations are exposed to unexpected interruptions or delays caused by equipment failures, fire, natural disasters and force majeure events

We rely on a diverse range of machinery and testing equipment which may, on occasion, be out of service due to unanticipated failure or damage sustained during operations. Our business is also subject to loss due to events that are beyond our control such as fire, which may cause damage or destruction of all or part of our facilities at Simpang Ampat Factory and machinery and equipment, resulting in interruptions to, or prolonged suspension of our operations.

Further, our business operations may also be affected by the occurrence of unexpected power failure and adverse weather conditions or natural disasters such as floods or storms, which may lead to interruptions to the damage to our machinery and equipment. In addition, any occurrence of force majeure events such as war, strikes and/or riots may prohibit us from carrying out our operations. The occurrence of these unexpected events may affect our ability to meet the agreed upon delivery schedule with our customers.

Moreover, the outbreak of infectious diseases may cause disruptions to our business activities due to possible imposition of movement restrictions by the Government as a containment measure to curb the spread of the virus. This may result in an adverse impact on our financial performance, as our business operations may be temporarily suspended. Any large-scale outbreak or pandemics may result in interruptions to global business and economic activities, which may consequently lead to closure of businesses and eventually causing disruptions in the global supply chain. This may affect our business activities adversely, as we may experience delays from our suppliers and delays in fulfilling our customers' orders.

During the Financial Period Under Review and up to the LPD, we have not experienced any major interruptions to our business operations caused by unexpected equipment failures, fire, natural disasters and force majeure events.

8. RISK FACTORS (Cont'd)

8.1.12 We may not be able to successfully implement our future plans

We intend to grow our Group's business through our future plans and business strategies as follows:

- (i) expanding our abatement segment through the procurement of key components and modules;
- (ii) strengthening our operational capabilities through installation of automated chemical cleaning and surface treatment line and purchase of machines;
- (iii) strengthening our workforce; and
- (iv) expanding our geographical coverage in India.

Please refer to Section 6.7 of this Prospectus for further details of our future plans and strategies.

The execution of our business strategies is also subject to additional expenditures including operational expenditures and other working capital requirements. Such additional expenditure will increase our Group's operational cost including overhead costs, which may adversely affect our profit margin if we are unable to sustain sufficient revenue by securing more sales following the implementation of our business strategies. Further, the implementation of our business strategies may be influenced by factors beyond our control, such as changes in general market conditions, economic climate as well as political environment in Malaysia and India, which may affect the commercial viability of our business strategies.

Hence, there can be no assurance that the effort and expenditures spent on the implementation of our business strategies will yield the expected results in growing our business in terms of financial performance and market presence. We are also not able to guarantee that we will be successful in executing our business strategies, nor can we assure that we will be able to anticipate all the business, operational and industry risks arising from our business strategies. Such failure may lead to adverse effect on our business operations and financial performance.

(The rest of this page is intentionally left blank)

8. RISK FACTORS (Cont'd)**8.2 RISKS RELATING TO OUR INDUSTRY****8.2.1 We are subject to growth of the pan-semiconductor industry**

As an industrial solutions provider, our abatement systems as well as precision engineering components and mechanical assembly solutions are primarily used in pan-semiconductor industries such as semiconductor and solar. As such, any decreases in the demand from these user-industries could adversely affect our financial performance.

Any decline in the performance of relevant end-user industries due to, among others, economic downturn, low demand from end-users, adverse changes in the industrial and commercial sectors including governmental policies, regulations, and reduction in capital expenditure, will directly influence the demand for our abatement systems as well as precision engineering components and mechanical assembly solutions. Failure to secure new orders in these segments may adversely affect our business operations and financial performance.

Further, as the semiconductor industry typically requires suppliers to undergo stringent pre-qualification processes before being approved as vendors, any delay or failure in meeting such qualification requirements may also limit our ability to secure new orders, thereby adversely affecting our business operations and financial performance.

8.2.2 We may not be able to adapt to technological changes

Our Group is principally engaged in the production of abatement systems as well as precision engineering components and sub-assembly modules which are used in the pan-semiconductor industries. As such, our business is subject to technological changes such as, amongst others, the new abatement technology, engineering expertise and machining technology required in the production of abatement systems, precision engineering components and sub-assembly modules for our customers' industries. In the event we fail to keep pace with these technological changes and do not remain technologically competitive, we may not be able to retain our existing customers or attract new customers. This may adversely affect our business and financial performance.

8.2.3 We face competition from other industry players

We face competition from industry players that offer similar products and services. We may also encounter competition from new entrants in the market as they establish themselves in the industry over time.

There can be no assurance that competition from existing operators and from new entrants in Malaysia as well as other countries will not have a material adverse effect on our business and financial performance.

8.2.4 We are exposed to risks relating to the local and overseas economic, political, legal and regulatory environments

Our sales from the domestic market accounted for 31.4%, 27.2%, 27.5%, 27.2% and 28.9% of our revenue, whilst the remaining 68.6%, 72.8%, 72.5%, 72.8% and 71.1% of our revenue are derived from the foreign markets such as Singapore, China, US and India during the Financial Period Under Review respectively, details of which are set out in Section 11.2.3 (i) of this Prospectus.

8. RISK FACTORS (Cont'd)

Our business, prospects, financial condition and results of operations may be affected by any adverse developments, changes and/or uncertainties in the economic, political, legal and regulatory environments that are beyond our control in the countries where we operate. These risks include unfavourable changes in political conditions, economic conditions, interest rates, government policies and regulations, import and export restrictions, duties and tariffs, civil unrests, methods of taxation, inflation and foreign exchange controls.

Any changes in government policies that may cause disruptions in business operations and financial performance of businesses, may consequently cause a decline in demand for our Group's products and services. On 2 April 2025, the government of the US announced the imposition of reciprocal tariff on exports from nearly every other nation and jurisdiction in the world, ranging from 10.0% to as high as 50.0%. Malaysia was initially imposed a tariff of 24.0% on its exports to the US in April 2025 before the US government announced intentions to increase the tariff rate to 25.0% commencing 1 August 2025. Following negotiations between the Government and the US government, the US government announced lowering the tariff for Malaysia to 19.0% to take effect from 1 August 2025. On 20 February 2026, the US Supreme Court nullified the broad tariffs imposed by its President in 2025 by claiming authority under the International Emergency Economic Powers Act (IEEPA). To keep tariffs in place temporarily, the US President responded by invoking the balance of payments authority contained in Section 122 of the Trade Act of 1974 to an interim additional blanket tariff of 10.0% effective 24 February 2026, which will expire after 150 days unless extended by Congress. On 24 July 2026, the US government imposed new tariffs of 10.0% and 12.5% on goods from 60 trading partners, including Malaysia, alleging those countries failed to curb imports made by forced labour, just as the temporary 10.0% global tariff expired. The imposition of this tariff may affect Malaysia's economy or result in a potential reduction in the US's consumption or demand for Malaysia's exports. Such events may have a material adverse effect on our business and financial performance. The imposition of reciprocal tariffs did not have a material adverse effect on our Group's operations and financial performance during the Financial Period Under Review. Notwithstanding this, there can be no assurance that any adverse economic, political, legal and/or regulatory developments will not lead to a material adverse effect on the business performance of our Group.

8.3 RISKS RELATING TO THE INVESTMENT IN OUR SHARES**8.3.1 There is no prior market for our Shares**

Prior to our Listing, there was no public trading for our Shares. The listing of our Shares on the ACE Market does not guarantee that an active market for our Shares will develop.

There is also no assurance that our IPO Price will correspond to the price at which our Shares will be traded on the ACE Market.

8.3.2 Our Listing is exposed to the risk that it may be aborted or delayed

Our Listing may be aborted or delayed should any of the following occur:

- (a) the selected investors fail to subscribe for their portion of our IPO Shares;
- (b) our Underwriter exercising its rights under the Underwriting Agreement to discharge itself from its obligations therein; and

8. RISK FACTORS (Cont'd)

- (c) we are unable to meet the public shareholding spread requirement set by Bursa Securities, whereby at least 25.0% of our total number of Shares for which listing is sought must be held by a minimum number of 200 public shareholders each holding not less than 100 Shares upon the completion of our IPO and at the point of our Listing.

If any of these events occur, investors will not receive any Shares and we will return in full without interest, all monies paid in respect of the Application within 14 days, failing which the provisions of Section 243(2) of the CMSA will apply.

If our Listing is aborted and/or terminated, and our Shares have been allotted to the investors, a return of monies to the investors could only be achieved by way of cancellation of share capital as provided under Sections 116 or 117 of the Act and its related rules.

Such cancellation requires the approval of shareholders by special resolution in a general meeting, with sanction of High Court of Malaya or with notice to be sent to the Director General of the Inland Revenue Board and ROC within 7 days of the date of the special resolution and us meeting the solvency requirements under Section 117(3) of the Act.

There can be no assurance that such monies can be recovered within a short period of time or at all in such circumstances.

8.3.3 The trading price and trading volume of our Shares following our Listing may be volatile

The trading price and volume of our Shares may fluctuate due to various factors, some of which are not within our control and may be unrelated or disproportionate to our financial results. These factors may include variations in the results of our operations, changes in analysts' recommendations or projections, changes in general market conditions and broad market fluctuations.

The performance of Bursa Securities is also affected by external factors such as the performance of the regional and world bourses, inflow or outflow of foreign funds, economic and political conditions of the country as well as the growth potential of the various sectors of the economy. These factors invariably contribute to the volatility of trading volumes witnessed on Bursa Securities, thus adding risks to the market price of our Shares.

8.4 OTHER RISKS

8.4.1 Our Promoter will be able to exert significant influence over our Company

Our Promoter will hold approximately 52.2% of our enlarged share capital upon Listing. Due to the size of his shareholdings, our Promoter will have significant influence on the outcome of certain matters requiring the vote of shareholders unless he is required to abstain from voting by law and/or as required by the relevant authorities.

9. RELATED PARTY TRANSACTIONS

9.1 MATERIAL RELATED PARTY TRANSACTIONS

Save for the Acquisition of SIW Manufacturing and disclosed below, there were no transactions, existing and/or potential, entered or to be entered into by our Group which involve the interests, direct or indirect, of our Directors, major shareholders and/or persons connected with them which are material to our Group during the Financial Period Under Review and up to the LPD:

No.	Related party	Transacting company in our Group	Interested person and nature of relationship	Nature of transaction	Transaction value										1 April 2026 up to the LPD	
					FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026		RM'000	%
					RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%		
<u>Business related</u>																
1.	EcoSys Abatement LLC	(a) SIW Manufacturing	Chan Chee Wei ⁽⁷⁾ Voon Sin Choo ⁽⁸⁾	(i) Sales of abatement systems, spare parts and consumables	259	⁽¹⁾ 0.2	1,130	⁽¹⁾ 1.5	3,767	⁽¹⁾ 4.2	* -	-	* -	-	* -	-
				(ii) Purchase of modules and components for abatement systems	152	⁽²⁾ 0.2	43	⁽²⁾ 0.1	48	⁽²⁾ 0.1	* -	-	* -	-	* -	-

9. RELATED PARTY TRANSACTIONS (Cont'd)

No.	Related party	Transacting company in our Group	Interested persons and nature of relationship	Nature of transaction	Transaction value											
					FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026		1 April 2026 up to the LPD	
					RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	(17)%
		(b) EcoSys PLT		(i) Sales of abatement systems, spare parts and consumables	1,555	(1)1.5	2,957	(1)4.0	1,008	(1)1.1	-	-	-	-	-	-
				(ii) Payment for administrative services ⁽¹¹⁾	-	-	220	(3)2.0	254	(3)2.8	-	-	-	-	-	-
		(c) SIW Engineering		Purchase of modules and components for abatement systems	192	(2)0.2	-	-	-	-	-	-	-	-	-	-
2.	Anhui Automation	(a) SIW Manufacturing	Chan Chee Wei ⁽⁷⁾	(i) Purchase of modules and components for abatement systems	2,924	(2)3.6	2,303	(2)4.0	20,569	(2)28.6	* -	-	* -	-	* -	-
			Voon Sin Choo ⁽⁸⁾													
			Eco Research ⁽⁹⁾	(ii) Sales of abatement systems, spare parts and consumables	783	(1)0.7	346	(1)0.5	222	(1)0.2	* -	-	* -	-	* -	-
			Ooi Eng Ghee ⁽¹⁰⁾													
				(iii) Purchase of machineries	135	(4)0.2	158	(4)0.2	-	-	-	-	-	-	-	-
				(iv) Provision of technical assistance ⁽¹²⁾	-	-	-	-	26	(5)0.8	* -	-	* -	-	* -	-

9. RELATED PARTY TRANSACTIONS (Cont'd)

No.	Related party	Transacting company in our Group	Interested persons and nature of relationship	Nature of transaction	Transaction value											
					FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026		1 April 2026 up to the LPD	
					RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	(17)%
		(b) SIW Engineering		(i) Sales of spare parts and consumables of abatement systems	49	(1)~	-	-	-	-	-	-	-	-	-	-
				(ii) Purchase of raw materials for UHP segment	1,050	(2)1.3	164	(2)0.3	73	(2)0.1	-	-	-	-	-	-
				(iii) Assignment of intellectual property rights ⁽¹³⁾	-	-	1,967	(5)22.4	-	-	-	-	-	-	-	-
		(c) EcoSys PLT		(i) Purchase of modules and components for abatement systems	7,153	(2)8.7	11,309	(2)19.7	378	(2)0.5	* -	-	-	-	-	-
		(d) BHT		(i) Intellectual property licensing and royalty fees ⁽¹⁴⁾	4,155	(5)48.8	2,097	(5)23.9	-	-	-	-	-	-	-	-
				(ii) Assignment of intellectual property rights ⁽¹⁵⁾	-	-	2,622	(5)29.9	-	-	-	-	-	-	-	-
				(iii) One-off referral fees for the sales of abatement systems ⁽¹⁶⁾	-	-	-	-	717	(5)22.6	-	-	-	-	-	-

9. RELATED PARTY TRANSACTIONS (Cont'd)

No.	Related party	Transacting company in our Group	Interested persons and nature of relationship	Nature of transaction	Transaction value										1 April 2026 up to the LPD	
					FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026		1 April 2026 up to the LPD	
					RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	(17)%
3.	Anhui Trading	(a) SIW Manufacturing	Chan Chee Wei ⁽⁷⁾	Purchase of modules and components for abatement systems	-	-	98	(2)0.2	3,015	(2)4.2	* -	-	* -	-	* -	-
		(b) SIW Engineering	Voon Sin Choo ⁽⁸⁾	Purchase of raw materials for UHP segment	-	-	7	(2)~	-	-	-	-	-	-	-	-
			Eco Research ⁽⁹⁾													
4.	SIW Taiwan	(a) SIW Manufacturing	Chan Chee Wei ⁽⁷⁾	Sales of abatement systems, spare parts and consumables	76	(1)0.1	179	(1)0.2	29	(1)~	* -	-	* -	-	* -	-
		(b) EcoSys PLT	Voon Sin Choo ⁽⁸⁾	Sales of abatement systems, spare parts and consumables	34	(1)~	22	(1)~	-	-	-	-	-	-	-	-

Internal Restructuring

5.	- Chan Chee Wei - Voon Sin Choo	SIW Engineering	Chan Chee Wei ⁽⁷⁾	(i) Shareholders' reorganisation in SIW Manufacturing	2,925	(6)9.1	-	-	-	-	-	-	-	-	-	-
			Voon Sin Choo ⁽⁸⁾	(Please refer to Section 6.1.3 (a) of this Prospectus)												
				(ii) Shareholders' reorganisation in SIW Taiwan	Less than RM1,000	(6)~	-	-	-	-	-	-	-	-	-	-
				(Please refer to Section 6.1.3 (d) of this Prospectus)												

9. RELATED PARTY TRANSACTIONS (Cont'd)

No.	Related party	Transacting company in our Group	Interested persons and nature of relationship	Nature of transaction	Transaction value											
					FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2026		1 April 2026 up to the LPD	
					RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	(17)%
6.	- Chan Chee Wei - Voon Sin Choo	SIW Manufacturing	Chan Chee Wei ⁽⁷⁾	(i) Acquisition of SIW Engineering	2,984	⁽⁶⁾ 9.3	-	-	-	-	-	-	-	-	-	-
			Voon Sin Choo ⁽⁸⁾	<i>(Please refer to Section 6.1.3 (b) of this Prospectus)</i>												
				(ii) Acquisition of EcoSys PLT	456	⁽⁶⁾ 1.4	-	-	-	-	-	-	-	-	-	-
				<i>(Please refer to Section 6.1.3 (c) of this Prospectus)</i>												
7.	Voon Sin Choo	SIW Manufacturing	Voon Sin Choo ⁽⁸⁾	Investment in SIW Taiwan	-	-	-	-	26	⁽⁶⁾ 0.1	-	-	-	-	-	-
				<i>(Please refer to Section 6.1.3 (e) of this Prospectus)</i>												
8.	Anhui Automation	SIW Engineering	Chan Chee Wei ⁽⁷⁾	Disposal of Kaisu	-	-	-	-	973	⁽⁶⁾ 2.1	-	-	-	-	-	-
			Voon Sin Choo ⁽⁸⁾	<i>(Please refer to Section 6.1.3 (g) of this Prospectus)</i>												
9.	Eco Research ⁽⁹⁾	SIW Manufacturing	Chan Chee Wei ⁽⁷⁾	Investment in Anhui Automation	-	-	-	-	5,910	⁽⁶⁾ 12.6	-	-	-	-	-	-
			Voon Sin Choo ⁽⁸⁾	<i>(Please refer to Section 6.1.3 (h) of this Prospectus)</i>												

9. RELATED PARTY TRANSACTIONS (Cont'd)

Notes:

- ~ Less than 0.1%
- * The transactions with Anhui Group, SIW Taiwan and EcoSys Abatement LLC subsequent to the disposal of equity interest by Eco Research in Anhui Group in September 2025, disposal of the equity interests held by Chan Chee Wei and Voon Sin Choo in SIW Taiwan in September 2024, and disposal of the entire equity interest held by Chan Chee Wei in EcoSys Abatement LLC in January 2025, are no longer deemed as related party transactions.
- (1) Calculated based on our Group's revenue for each of the respective financial year/period.
 - (2) Calculated based on our Group's cost of sales for each of the respective financial year/period.
 - (3) Calculated based on our Group's administrative expenses for each of the respective financial year/period.
 - (4) Calculated based on our Group's total assets for each of the respective financial year/period.
 - (5) Calculated based on our Group's other income for each of the respective financial year/period.
 - (6) Calculated based on our Group's total equity for each of the respective financial year/period.
 - (7) Chan Chee Wei is our Managing Director, Promoter and substantial shareholder. He is also the director of SIW Manufacturing, SIW Engineering, EcoSys PLT and BHT. He is the spouse of Voon Sin Choo. His present and past involvements outside our Group are as follows:
 - (a) He was the sole owner of EcoSys Abatement LLC. He had on 24 January 2025 disposed his entire equity interest in EcoSys Abatement LLC to TKC for a consideration of USD400,000 (equivalent to RM1,741,760);
 - (b) He is the sole shareholder of Eco Research. He was also the director of Eco Research and he resigned on 18 June 2025;
 - (c) He is a director of Anhui Automation;
 - (d) He was a director of Anhui Trading. He resigned on 12 March 2025;
 - (e) He was a director of Kaisu. He resigned on 3 April 2025;
 - (f) He was a director of SIW Taiwan. He resigned on 22 October 2024; and
 - (g) He was a shareholder of SIW Taiwan. He disposed his 80.0% equity interests in SIW Taiwan to GAT Asset, Chen-Tai and Wu Min Xu on 6 September 2024.
 - (8) Voon Sin Choo is a director of EcoSys PLT and SIW Engineering. She was also the director of SIW Manufacturing, in which she resigned on 27 January 2025. She is the spouse of Chan Chee Wei. Her present and past involvements outside our Group are as follows:
 - (a) She is a director of Eco Research. She was also a substantial shareholder of Eco Research during FYE 2022;
 - (b) She was a director of SIW Taiwan. She resigned on 26 December 2022; and
 - (c) She was a shareholder of SIW Taiwan. She disposed her 20.0% equity interest to SIW Manufacturing on 6 September 2024.

9. RELATED PARTY TRANSACTIONS (Cont'd)

- (9) Eco Research is a wholly-owned company of Chan Chee Wei and the director of Eco Research is Voon Sin Choo.
- (a) Eco Research was a substantial shareholder of Anhui Automation which held 85.0% equity interest in Anhui Automation since 4 September 2020. On 30 October 2024, Eco Research disposed 30.0% equity interest in Anhui Automation to SIW Manufacturing as part of the Internal Restructuring, resulting in Anhui Group becoming our Group's associated companies. Subsequently, between 30 October 2024 and 29 September 2025, Eco Research disposed its remaining 55.0% equity interest in Anhui Automation to Shanghai Huasun, Anhui Xuansheng and Wuhu Zhi Ce.
- (b) Anhui Trading is a wholly-owned subsidiary of Anhui Automation since its incorporation on 15 March 2023.
- (c) Anhui Automation acquired Kaisu on 22 May 2024.
- (10) Ooi Eng Ghee is our CFO. He is also the director of our Group's subsidiary, namely SIW Manufacturing. He is a director of Anhui Automation since 31 December 2024 as part of the Internal Restructuring.
- (11) Relates to the shared marketing fees paid to EcoSys Abatement LLC while it was a company wholly-owned by Chan Chee Wei.
- (12) Pursuant to the technical assistance and service agreement dated 27 November 2024 between SIW Manufacturing and Anhui Automation, Anhui Automation shall pay RMB500,000 (equivalent to RM306,550) per annum for a period of 2 years to SIW Manufacturing for technical assistance rendered by SIW Manufacturing.
- (13) Pursuant to the patent purchase and assignment agreement dated 1 January 2023 between SIW Engineering and Anhui Automation, SIW Engineering had assigned all its rights, titles and interests in the intellectual properties registered in China to Anhui Automation for a consideration of RMB3,000,000 (equivalent to RM1,966,812).
- (14) Pursuant to the patent licence agreement dated 1 January 2022 between BHT and Anhui Automation, Anhui Automation had paid a one-off licensing fee of RMB3,000,000 (equivalent to RM1,865,800) in FYE 2022 and annual royalties of RMB3,680,312 (equivalent to RM2,288,907) and RMB3,089,244 (equivalent to RM2,097,309) in FYE 2022 and FYE 2023 respectively which were calculated based on the applicable royalty rate multiplied by the net sales of all products covered by the licensed patents. The patent licence agreement was terminated in October 2023. The royalty rates for 2022 and 2023 were 7.25% and 6.75% respectively.
- (15) Pursuant to the patent purchase and assignment agreement dated 1 January 2023 between BHT and Anhui Automation supplemented by the trademark assignment agreement dated 1 January 2023, BHT had assigned all its rights, titles and interests in the intellectual properties registered in China to Anhui Automation for a total consideration of RMB4,000,000 (equivalent to RM2,622,414).
- (16) Being a one-off referral fee for the introduction of customers to Anhui Automation for the supply of abatement systems in China.
- (17) Not applicable as our Group did not prepare any financial statements from 1 April 2026 up to LPD.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Our Group's Directors (save for Chan Chee Wei) having considered all aspects of the related party transactions are of the view that:

- (a) the following related party transactions were **conducted on an arm's length basis** based on terms and conditions which were not more favourable to the related parties than those generally available to the public and not detrimental to the interest of our Group and on normal commercial terms:
- (i) The sales of abatement systems, spare parts and consumables as set out in items 1(a)(i), 1(b)(i), 2(a)(ii), 2(b)(i), 4(a) and 4(b) to related parties were performed within the market rates, whereby the price paid by related parties are in line and/or on terms equivalent to those that prevail in an arm's length transaction with third parties;
 - (ii) The purchase of modules and components for abatement systems as set out in items 1(a)(ii), 1(c), 2(a)(i), 2(c) and 3(a) from related parties were performed within the market rates, whereby the price paid to related parties are in line and/or on terms equivalent to those that prevail in an arm's length transaction with third parties; and
 - (iii) The purchase of raw materials for UHP segment from related parties as set out in items 2(b)(ii) and 3(b) were performed within the market rates, whereby the price paid by related parties are in line and/or on terms equivalent to those that prevail in an arm's length transaction with third parties.

- (b) the following related party transactions were **not conducted on an arm's length basis**:

- (i) The payment for administrative services to EcoSys Abatement LLC as set out in item 1(b)(ii), in view that the basis and quantum of administrative or shared marketing cost allocations have not been determined with reference to market rates or third-party quotations.

The transactions with EcoSys Abatement LLC will no longer be deemed as related party transactions in the future following the disposal of Chan Chee Wei's entire equity interest in EcoSys Abatement LLC to TKC on 24 January 2025;

- (ii) The purchase of machineries as set out in item 2(a)(iii), in view that the purchase price was not established based on market quotations or third-party offers. Such transactions are not expected to recur in the future following the Internal Restructuring;
- (iii) The provision of technical assistance rendered by SIW Manufacturing to Anhui Automation as set out in item 2(a)(iv), in view of the absence of benchmarks as our Group did not provide technical assistance to third parties.

The technical assistance services fee of RM298,300 (equivalent to RMB500,000), RM72,650 (equivalent to RMB125,000), and RM98,075 (equivalent to RMB166,666) for FYE 2025, FPE 2026 and 1 April 2026 up to LPD, respectively, that were received from Anhui Automation are no longer deemed as related party transaction following the disposal of equity interest by Eco Research in Anhui Group in September 2025. Notwithstanding that, the Board is of the view that the continuation of such technical assistance provided to Anhui Automation, being our Group's associated company is expected to create synergistic benefits, thereby enhancing operational efficiency as a group;

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

- (iv) The assignment of intellectual property rights as set out in items 2(b)(iii) and 2(d)(ii) to Anhui Automation, in view that the consideration for the assignment of intellectual property rights was not supported by an independent valuation or market benchmark. The consideration was arrived at on a willing-buyer willing-seller basis by capitalising the average historical sales performance of Anhui Automation in China and a royalty rate of 5.00%, representing the royalty income that would otherwise have been earned had the intellectual properties not been disposed of. Such transaction was one-off transaction which is not expected to recur in the future;
- (v) The intellectual property licensing and royalty fees as set out in item 2(d)(i) to Anhui Automation as the fees were not supported by independent valuation or third-party benchmarking. Such transaction is not expected to recur in the future as the agreement has been terminated in October 2023;
- (vi) The one-off referral fee for the introduction of Chinese customer to Anhui Automation as set out in item 2(d)(iii), as the transaction was intended to facilitate the business development in China, and the fee was not in line and/or on terms equivalent to the commission structure that prevail in an arm's length transaction with other third parties. Such transaction was one-off transaction which is not expected to recur in the future; and
- (vii) The Internal Restructuring as set out in items 5, 6, 7, 8 and 9, as the restructuring exercises were entered into between related entities under common ownership for the purpose of internal reorganisation. The terms were determined without taking into consideration the company's future earnings potential, and no independent valuation was undertaken in connection with the acquisitions/disposals at that point in time. Such transactions were one-off transaction which are not expected to recur in the future.

For clarification purposes, the transactions with Anhui Group, SIW Taiwan and EcoSys Abatement LLC in the future will no longer be deemed as related party transactions subsequent to:

- (i) disposal of Chan Chee Wei's entire equity interest held through Eco Research in Anhui Automation on 29 September 2025;
- (ii) disposal of Chan Chee Wei's 80.0% equity interest in SIW Taiwan on 6 September 2024;
- (iii) disposal of Voon Sin Choo's 20.0% equity interest in SIW Taiwan on 6 September 2024; and
- (iv) disposal of Chan Chee Wei's entire equity interest in EcoSys Abatement LLC on 24 January 2025.

As at LPD, Chan Chee Wei's directorship in Anhui Automation is in a representative capacity of SIW Manufacturing, by virtue of its 30.0% equity interest in Anhui Automation. Since 1 January 2025, Chan Chee Wei has not received any form of compensation under his personal capacity.

Save as disclosed above, there are no related party transactions that individually may not be material to our Group, but when aggregated with other transactions of a similar nature and/or involving the same related party, or both, the aggregate of such transactions would be material to our Group.

Save as disclosed above, there were no other material related party transactions entered into by our Group after the Financial Period Under Review and up to LPD, including any material related party transactions entered into but not yet effected up to the date of this Prospectus.

Moving forward, if there are potential related party transactions, the related parties must first inform our Audit and Risk Management Committee on their interests in the transaction and the nature of the transaction before the transaction is entered into.

9. RELATED PARTY TRANSACTIONS (Cont'd)

Our Audit and Risk Management Committee is responsible for the review of all related party transactions to ensure that there is no conflict of interest. Our Audit and Risk Management Committee shall deliberate and determine if the related party transactions (if any) are undertaken on arm's length basis and on normal commercial terms, we have established the following procedures:

(a) Recurrent related party transactions

- (i) At least 2 other contemporaneous transactions with third parties for similar products and/or quantities will be used as comparison, wherever possible, to determine if the price and terms offered by related parties are fair and reasonable and comparable to those offered by other third parties for the same or substantially similar type of products/ services and/ or quantities; or
- (ii) If quotation or comparative pricing from third parties cannot be obtained, the transaction price will be determined by our Group based on those offered by other third parties for substantially similar type of transaction to ensure that the recurrent related party transactions are not detrimental to us.

Our Board shall seek mandate from shareholders to enter into any recurrent related party transactions at a general meeting. Due to its time-sensitive nature, the shareholders' mandate will enable us to enter into such recurrent transactions which are transacted in our ordinary course of business without having to convene numerous general meetings to approve such recurrent transactions as and when they are entered into.

(b) Other related party transactions

- (i) Whether the terms of the related party transaction are fair and on arm's length basis to our Group and would apply on the same basis if the transaction did not involve a related party;
- (ii) The rationale for our Group to enter into the related party transaction and the nature of alternative transactions, if any; and
- (iii) Whether the related party transaction would present a conflict of interest between our Group and the related parties, taking into account the size of the transaction and the nature of the related parties' interest in the transaction.

Where required under the Listing Requirements, a related party transaction may require prior approval of shareholders at a general meeting to be convened. An independent adviser may be appointed to comment as to whether the related party transaction is fair and reasonable so far as the shareholders are concerned; and whether the transaction is to the detriment of minority shareholders. In such instances, the independent adviser shall also advise minority shareholders on whether they should vote in favour of the transaction.

For related party transactions that require shareholders' approval, the Directors, major shareholders and/or persons connected with such Director or major shareholder, which have any interest, direct or indirect, in the proposed related party transaction will abstain from voting in respect of their direct and/or indirect shareholdings. Where a person connected with a Director or major shareholder has interest, direct or indirect, in any proposed related party transactions, the Director or major shareholder concerned will also abstain from voting in respect of his direct and/or indirect shareholdings. Such interested Directors and/or major shareholders will also undertake that he shall ensure that the persons connected with him will abstain from voting on the resolution approving the proposed related party transaction at the general meeting. The relevant Directors who are deemed interested or conflicted in such transactions shall also abstain from our Board deliberations and voting on the Board resolutions relating to these transactions.

9. RELATED PARTY TRANSACTIONS (Cont'd)

In addition, to safeguard the interest of our Group and our minority shareholders, and to mitigate any potential conflict of interest situation, our Audit and Risk Management Committee will, amongst others, supervise and monitor any related party transaction and the terms thereof and report to our Board for further action. If a member of our Audit and Risk Management Committee has an interest in any related party transaction, he is to abstain from participating in the review and approval process in relation to that transaction. Where necessary, our Board would make appropriate disclosures in our annual report with regard to any related party transaction entered into by us.

9.2 TRANSACTIONS ENTERED INTO THAT ARE UNUSUAL IN THEIR NATURE OR CONDITIONS

There were no transactions that were unusual in their nature or conditions, involving goods, services, tangible or intangible assets, to which our Group was a party for the Financial Period Under Review and up to LPD.

9.3 LOANS MADE TO OR FOR THE BENEFIT OF THE RELATED PARTY

There were no loans made to or for the benefit of any related party for the Financial Period Under Review and up to LPD.

9.4 FINANCIAL ASSISTANCE PROVIDED FOR THE BENEFIT OF THE RELATED PARTY

There was no financial assistance provided for the benefit of the related parties for the Financial Period Under Review and the subsequent period up to the LPD.

(The rest of this page is intentionally left blank)

9. RELATED PARTY TRANSACTIONS (Cont'd)**9.5 OTHER TRANSACTIONS****9.5.1 Guarantee**

Chan Chee Wei, our Group's Managing Director and Voon Sin Choo, a former director of SIW Manufacturing, and current director of SIW Engineering and EcoSys PLT, had provided personal guarantees for the banking facilities extended by the following financial institutions ("**Financiers**"):

Financiers/ Borrower	Type of facilities	Guarantor(s)	Facility limit RM'000	Amount guaranteed RM'000	Outstanding amount as at LPD RM'000
Malaysia					
Alliance Bank Malaysia Berhad/ SIW Manufacturing	1 trade facility	Chan Chee Wei and Voon Sin Choo	5,000	5,000	1,299
Maybank Islamic Berhad/ SIW Manufacturing	1 overdraft facility 2 tradeline facilities 3 term loans	Chan Chee Wei and Voon Sin Choo	25,854	25,854	16,604
PAC Lease Berhad/ SIW Manufacturing	9 hire purchase facilities	Chan Chee Wei and Voon Sin Choo	2,778	2,778	441
Affin Bank Berhad/ SIW Manufacturing	1 hire purchase facility	Chan Chee Wei	245	245	110
Singapore			SGD'000	SGD'000	SGD'000
DBS Bank Ltd/ SIW Engineering	2 tradeline facilities	Chan Chee Wei and Voon Sin Choo	1,400 (equivalent to RM4.63 million)	1,400 (equivalent to RM4.63 million)	541 (equivalent to RM1.72 million)
DBS Bank Ltd/ EcoSys PLT	1 hire purchase facility	Chan Chee Wei	70 (equivalent to RM0.23 million)	70 (equivalent to RM0.23 million)	56 (equivalent to RM0.18 million)

In conjunction with our Listing, we have applied to the Financiers to obtain a release and/or discharge of the guarantees by substituting the same with a corporate guarantee from our Company and/or other securities from our Group acceptable to the Financiers. Until such release and/or discharge are obtained from the respective Financiers, our Directors and subsidiaries set out above will continue to guarantee the banking facilities and/ or hire purchase facilities extended to our Group.

As at LPD, we have received all conditional approvals from the Financiers to discharge the personal guarantees by substituting the same with a corporate guarantee from our Company, subject to the successful listing of EcoSys on the ACE Market.

9. RELATED PARTY TRANSACTIONS (Cont'd)
9.5.2 Amount due to/from related parties/Director

Save as disclosed below, there are no amount due to/from related party/Directors from/to our Group during the Financial Period Under Review and up to the LPD.

	As at 31 December 2022	As at 31 December 2023	As at 31 December 2024	As at 31 December 2025	As at 31 March 2026	As at LPD
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
<u>Amount due from Director</u>						
Chan Chee Wei ⁽¹⁾	6,384	1,237	-	-	-	-
<u>Amount due to Director</u>						
Chan Chee Wei ⁽²⁾	-	70	9	15	15	-
<u>Amount due from related parties</u>						
Anhui Automation ⁽³⁾	4,648	2,571	1,983	(10) 246	(10) 477	(10) 675
SIW Taiwan ⁽⁴⁾	1,784	1,362	(10) 84	(10) 243	(10) 286	(10) 464
EcoSys Abatement LLC ⁽⁵⁾	564	2,468	1,947	(10) 636	(10) 401	(10) 435
<u>Amount due to related parties</u>						
Eco Research ⁽⁶⁾	-	-	4,100	-	-	-
Anhui Automation ⁽⁷⁾	10,510	6,627	7,578	(10) 20	(10) 218	(10) 3,129
Anhui Trading ⁽⁸⁾	-	94	80	-	-	-
EcoSys Abatement LLC ⁽⁹⁾	37	49	22	(10) 49	(10) 49	(10) 1

Notes:

- (1) Being advances to Chan Chee Wei for working capital in Eco Research. As at LPD, the amount due from Chan Chee Wei has been fully repaid.
- (2) Being claims due to Chan Chee Wei. As at LPD, the amount due to Chan Chee Wei has been fully repaid.
- (3) Relates to the trade sales, one-off licensing fee, annual royalties and assignment of intellectual property rights. As at LPD, the outstanding balance due from Anhui Automation of RM0.68 million relates to the trade sales.
- (4) Being the advances from SIW Engineering to SIW Taiwan while SIW Taiwan was its subsidiary and trade sales. As at LPD, the outstanding balance due from SIW Taiwan of RM0.46 million relates to the trade sales.
- (5) Relates to the trade sales with EcoSys Abatement LLC. As at LPD, the outstanding balance due from EcoSys Abatement LLC of RM0.44 million relates to the trade sales.
- (6) Being the amount due to Eco Research for the Investment in Anhui Automation. As at LPD, the amount due to Eco Research has been fully settled in FYE 2025.

9. RELATED PARTY TRANSACTIONS (Cont'd)

- (7) Relates to trade purchases with Anhui Automation for modules and components of abatement components. As at LPD, the outstanding balance due to Anhui Automation of RM3.13 million relates to the trade purchases.
- (8) Relates to trade purchase with Anhui Trading for modules and components of abatement systems. As at LPD, the amount due to Anhui Trading has been fully settled.
- (9) Relates to trade purchase with EcoSys Abatement LLC for replacement parts for old models of abatement systems. As at LPD, the outstanding balance due to EcoSys Abatement LLC of RM1,023 relates to the trade purchases.
- (10) The transactions with Anhui Group, SIW Taiwan and EcoSys Abatement LLC subsequent to the disposal of equity interest by Eco Research in Anhui Group in September 2025, disposal of the equity interests held by Chan Chee Wei and Voon Sin Choo in SIW Taiwan in September 2024, and disposal of the entire equity interest held by Chan Chee Wei in EcoSys Abatement LLC in January 2025, are no longer deemed as related party transactions.

9.5.3 Transactions entered into with M&A Securities

Save as disclosed below, we have not entered into any transactions with M&A Securities who is the Principal Adviser, Sponsor, Underwriter and Placement Agent for our Listing:

- (a) Letter of appointment dated 5 March 2025 between SIW Manufacturing and M&A Securities for the appointment of M&A Securities as Principal Adviser, Sponsor, Underwriter and Placement Agent; and
- (b) Underwriting Agreement dated 6 August 2026 entered into between our Company and M&A Securities for the underwriting of 39,996,000 Issue Shares.

(The rest of this page is intentionally left blank)

10. CONFLICT OF INTEREST

10.1 INTEREST IN SIMILAR TRADE AND IN BUSINESSES OF OUR CUSTOMERS AND SUPPLIERS

Save as disclosed below, during the Financial Period Under Review and up to the LPD, none of our Group's Directors and substantial shareholders has any interest, direct or indirect, in any businesses and corporations that is carrying on a similar trade as our Group or is a customer or supplier of our Group.

No.	Name of company	Principal activities	Nature of Transaction	Interested Director and/or substantial shareholder	Nature of interest
1.	EcoSys Abatement LLC	Trading of abatement systems	EcoSys Abatement LLC is a supplier and customer of our Group. EcoSys Abatement LLC also undertakes the sales of <i>EcoSys</i> line of abatement systems in the US. Please refer to item (1) in Section 9.1 of this Prospectus for our transactions with EcoSys Abatement LLC during the Financial Period Under Review and up to the LPD.	Chan Chee Wei (Managing Director, Promoter and substantial shareholder)	Chan Chee Wei is our Managing Director, Promoter and substantial shareholder. Chan Chee Wei was the sole owner of EcoSys Abatement LLC.
2.	Anhui Automation	Manufacturing of abatement systems and related modules and components and maintenance services	Anhui Automation is a supplier and customer of our Group. Anhui Automation also undertakes the manufacturing and the sales of <i>EcoSys</i> line of abatement systems in China.	- Chan Chee Wei (Managing Director, Promoter and substantial shareholder) - Ooi Eng Ghee (director of SIW Manufacturing)	Chan Chee Wei is our Managing Director, Promoter and substantial shareholder. Chan Chee Wei is also a director of Anhui Automation. Eco Research was a substantial shareholder of Anhui Automation, where Chan Chee Wei is the sole shareholder of Eco Research.

10. CONFLICT OF INTEREST (Cont'd)

No.	Name of company	Principal activities	Nature of Transaction	Interested Director and/or substantial shareholder	Nature of interest
			Please refer to item (2) in Section 9.1 of this Prospectus for our transactions with Anhui Automation during the Financial Period Under Review up to the LPD.	Voon Sin Choo (director of SIW Engineering and EcoSys PLT, and spouse of Chan Chee Wei)	Voon Sin Choo is the spouse of Chan Chee Wei. Voon Sin Choo is also a director of Eco Research. Ooi Eng Ghee is our CFO and director of SIW Manufacturing. Ooi Eng Ghee is a director of Anhui Automation.
3.	Anhui Trading	Trading of parts, equipment and materials	Anhui Trading is a supplier of our Group. Anhui Trading also undertakes the trading of modules and components of abatement systems. Please refer to item (3) in Section 9.1 of this Prospectus for our transactions with Anhui Trading during the Financial Period Under Review and up to the LPD.	- Chan Chee Wei (Managing Director, Promoter and substantial shareholder) - Voon Sin Choo (director of SIW Engineering and EcoSys PLT, and spouse of Chan Chee Wei)	Chan Chee Wei is our Managing Director, Promoter and substantial shareholder. Chan Chee Wei was a director of Anhui Trading. He resigned on 12 March 2025. Anhui Trading is a wholly-owned subsidiary of Anhui Automation. Eco Research was a substantial shareholder of Anhui Automation, where Chan Chee Wei is the sole shareholder of Eco Research. Voon Sin Choo is the spouse of Chan Chee Wei. Voon Sin Choo was a director and shareholder of SIW Manufacturing. She resigned on 27 January 2025. Voon Sin Choo is a director of Eco Research.

10. CONFLICT OF INTEREST (Cont'd)

No.	Name of company	Principal activities	Nature of Transaction	Interested Director and/or substantial shareholder	Nature of interest
4.	SIW Taiwan	Trading semiconductor equipment, components and maintenance services of parts, and	SIW Taiwan is a supplier and customer of our Group. SIW Taiwan also undertakes the sales of <i>EcoSys</i> line of abatement systems. Please refer to item (4) in Section 9.1 of this Prospectus for our transactions with SIW Taiwan during the Financial Period Under Review and up to the LPD.	- Chan Chee Wei (Managing Director, Promoter and substantial shareholder) - Voon Sin Choo (director of SIW Engineering and EcoSys PLT, and spouse of Chan Chee Wei)	Chan Chee Wei is our Managing Director, Promoter and substantial shareholder. Chan Chee Wei and Voon Sin Choo were the directors and shareholders in SIW Taiwan. Voon Sin Choo is the spouse of Chan Chee Wei.

(The rest of this page has been intentionally left blank)

10. CONFLICT OF INTEREST (*Cont'd*)

Our Board is of the view that any existing or potential conflict of interest situation arising from the involvements and interests of Chan Chee Wei, Ooi Eng Ghee and Voon Sin Choo in the companies stated above has been mitigated due to the following:

(a) EcoSys Abatement LLC

- (i) Chan Chee Wei has ceased to be the owner of EcoSys Abatement LLC upon the disposal of his entire equity interest in EcoSys Abatement LLC to TKC who is not a related party or person connected to Chan Chee Wei on 24 January 2025 due to the challenges of managing the business across time zones and geographical distance. Subsequent thereto, EcoSys Abatement LLC has been managed by its own independent and standalone management team led by TKC, which is responsible for EcoSys Abatement LLC's day-to-day management and operations. Since then, EcoSys Abatement LCC is no longer our Group's related party.
- (ii) EcoSys PLT had on 25 January 2025 entered into a distribution agreement with EcoSys Abatement LLC where EcoSys Abatement LLC has been appointed by our Group as the non-exclusive distributor of *EcoSys* products within the US. The distribution agreement shall remain valid until termination by the parties.
- (iii) EcoSys Abatement LLC is solely a distributor of *EcoSys* line of abatement systems in the US but not a manufacturer. All the patents and trademarks for the *EcoSys* line of abatement systems outside China are owned by our Group.

(b) Anhui Automation and Anhui Trading

- (i) The 85.0% equity interest held by Eco Research in Anhui Automation had been disposed to SIW Manufacturing, Shanghai Huasun, Anhui Xuansheng and Wuhu Zhi Ce between 30 October 2024 and 29 September 2025. Following which, Eco Research does not have any equity interest in Anhui Automation and it is no longer our Group's related party.

For information purpose, Eco Research is principally involved in the R&D on renewable energy produced by algae biomass whereas our Group, is involved in the R&D of abatement systems. Chan Chee Wei's shareholding in Eco Research does not give rise to any conflict of interest with our Group's business in view that Eco Research and our Group operate in 2 distinct businesses and are not competing with each other.

- (ii) Anhui Automation's geographical presence in China does not overlap with our Group's geographical presence. Anhui Automation had on 27 November 2024 entered into a non-compete and collaboration agreement with SIW Manufacturing which is valid for a period of 2 years subject to renewal where Anhui Automation is restricted from directly or indirectly supplying or selling abatement systems to customers outside of China and similarly, our Group is also restricted from directly or indirectly supplying or selling abatement systems to customers in China (excluding Taiwan). If either party supplies or sells abatement systems outside its authorised territory, such party shall, pursuant to the non-compete and collaboration agreement, pay the other party a sales compensation equivalent to 5.0% of the transaction value within 30 days from the date of receipt of payment. However, such arrangement is not expected to result in material adverse impact to our Group premised on the following:
 - (a) the sales compensation mechanism serves as a contractual safeguard rather than a penalty for the breach of the territorial arrangements. The risk of a breach is mitigated by prevailing regulatory restriction and geopolitical tensions arising from US-China trade policies which have led to a reducing demand for supplies sourced from China-based manufacturers, which in turn reduce the risk of direct competition by Anhui Automation outside its authorised territory;

10. CONFLICT OF INTEREST (Cont'd)

- (b) our Group's 30.0% equity interest and representation on the board of Anhui Group provides us with a degree of oversight and influence over key operational and commercial decisions in reducing the likelihood of actions that may undermine the breach of the territorial arrangements; and
- (c) our Group retains bargaining power as Anhui Group remains dependent on us pursuant to the technical assistance and service agreement and R&D collaboration agreement for joint R&D activities dated 27 November 2024 between SIW Manufacturing and Anhui Automation. Pursuant to the R&D collaboration agreement, we are required to share newly developed technologies relating to abatement systems and related equipment for a term ending on 10 November 2027 or upon the successful completion of the R&D. However, the territorial restriction on patent registration applies only to technology co-developed by both our Group and Anhui Automation, but not to technology developed solely by us. As such, Anhui Group has a commercial incentive to maintain long-term relationship with us, which reduces the likelihood of actions that may give rise to disputes under the territorial arrangements.

If either party sells abatement systems in a territory where it does not have the right to use the relevant intellectual property, such sales may constitute a potential infringement of intellectual property. To safeguard our Group's interests, we have appointed Ooi Eng Ghee as our corporate representative to the board of Anhui Automation to oversee the company's transactions. We will actively monitor the transactions of Anhui Group through reviews of its financial statements and the submission of quarterly reports by Anhui Group which voluntarily disclose any sales made outside the authorised territory, if any, as required under the non-compete and collaboration agreement. The voluntary disclosures made by Anhui Group relate only to the quarterly sales reports submitted by Anhui Group in respect of sales of abatement systems to customers outside China. Notwithstanding this, our Group still actively monitors Anhui Group's transactions through periodic reviews of its financial statements under the purview of our Group's CFO, Ooi Eng Ghee, being the corporate representative on the board of Anhui Automation. If necessary, our Group reserves the right to conduct audits of Anhui Automation's books and records from time to time, where reasonable grounds are identified through our periodic reviews of its financial statements. If any sales of abatement systems by Anhui Group outside of China are identified, we will enforce compensation in accordance with the terms of the agreement. Save for those components and modules of abatement systems supplied to our Group, Anhui Group has not conducted any sales of abatement systems to customers outside China since entering into the non-compete and collaboration agreement with SIW Manufacturing on 27 November 2024.

While our Group is familiar with the global markets conditions and industry players, Anhui Automation's global expansion is limited by China's regulatory and trade restrictions such as counter sanctions and industrial policies which promote domestic activities and constrain export activities in response to the US-China trade war. Taken together with geopolitical tensions arising from US-China trade policies which have led to increased compliance and procurement scrutiny by international semiconductor companies on China manufactured equipment, and our Group's equity interest participation, these factors significantly reduce the risk of direct competition by Anhui Automation. Hence, our Board is of the view that there will be no material adverse impact to our Group's business operations and financial performance in the event the non-compete and collaboration agreement is not renewed upon its expiry given that the prospect of direct competition from Anhui Automation has been mitigated.

10. CONFLICT OF INTEREST (Cont'd)

Following the Investment in Anhui Automation as disclosed in Section 6.1.3 (h) of this Prospectus, Anhui Group became our associated companies. As at LPD, Chan Chee Wei and Ooi Eng Ghee remain as the non-executive directors and corporate representatives of SIW Manufacturing in Anhui Automation.

(c) SIW Taiwan

- (i) The 20.0% equity interest held by Voon Sin Choo in SIW Taiwan had been disposed to SIW Manufacturing on 6 September 2024. She had also resigned as director of SIW Taiwan on 26 December 2022;
- (ii) The 80.0% equity interests held by Chan Chee Wei in SIW Taiwan had been disposed to GAT Asset, Chen-Tai and Wu Min Xu on 6 September 2024. Subsequent thereto, SIW Taiwan has been managed by its own independent and standalone management team led by Chen-Tai with Huang Yi Jia as its representative, which is responsible for SIW Taiwan's day-to-day management and operations. Following which, SIW Taiwan is no longer our Group's related party.
- (iii) EcoSys PLT had on 6 September 2024 entered into a distribution agreement with SIW Taiwan where SIW Taiwan has been appointed by our Group as the non-exclusive distributor of *EcoSys* line of abatement systems within Taiwan. There is no non-compete arrangement between our Group and SIW Taiwan whereby SIW Taiwan is restricted to sell the abatement systems outside of Taiwan.
- (iv) SIW Taiwan is solely a distributor of abatement systems in Taiwan but not a manufacturer. All the patents and trademarks for the *EcoSys* line of abatement systems outside China are owned by our Group.

Following the Investment in SIW Taiwan as disclosed in Section 6.1.3 (e) of this Prospectus, SIW Taiwan became our associated company.

The above distribution agreements and non-compete and collaboration agreement are not expected to result in material adverse impacts to our Group's business and are in the best interests of our Group. On the contrary, the agreements are expected to create synergistic effects to our Group's abatement business in long term.

It is our Directors' fiduciary duty to avoid conflict, and they are required to attend courses which provide them guidelines on their fiduciary duties. In order to mitigate any possible conflict of interest situation in the future, our Directors will declare to our Audit and Risk Management Committee and our Board their interests in other companies at the onset and as and when there are changes in their respective interests in companies outside our Group. Our Audit and Risk Management Committee will then first evaluate if such Director's involvement gives rise to an actual or potential conflict of interest with our Group's business after the disclosure provided by such Director. After a determination has been made on whether there is an actual or potential conflict of interest of a Director, our Audit and Risk Management Committee will then:

- (a) immediately inform our Board of the conflict of interest situation;
- (b) make recommendations to our Board to direct the conflicted Director to:
 - (i) withdraw from all his executive involvement in our Group in relation to the matter that has given rise to the conflict of interest (in the case where the conflicted Director is an Executive Director); and

10. CONFLICT OF INTEREST (Cont'd)

- (ii) abstain from all Board deliberation and voting in the matter that has given rise to the conflict of interest.

In relation to (b)(ii) above, the conflicted Director and persons connected to him (if applicable) shall be absent from any Board discussion relating to the recommendation of our Audit and Risk Management Committee and the conflicted Director and persons connected to him (if applicable) shall not vote or in any way attempt to influence the discussion of, or voting on, the matter at issue. The conflicted Director, may however at the request of the Chairman of our Board, be present at our Board meeting to answer any questions.

In circumstances where a Director is determined to have a significant, ongoing and irreconcilable conflict of interest with our Group, and where such conflict of interest significantly impedes the Director's ability to carry out his fiduciary responsibility to our Group, our Audit and Risk Management Committee may determine that a resignation of the conflicted Director from our Board is appropriate and necessary.

Where there are related party transactions between our Group with our Directors (or person connected to them) or companies in which our Directors (or person connected to them) have an interest, our Audit and Risk Management Committee will, amongst others, supervise and monitor such related party transaction and the terms thereof and report to our Board for further action. Please refer to Section 9.1 of this Prospectus for the procedures to be taken to ensure that related party transactions (if any) are undertaken on arm's length basis.

(The rest of this page has been intentionally left blank)

10. CONFLICT OF INTEREST (Cont'd)

10.2 DECLARATIONS OF CONFLICT OF INTEREST BY OUR ADVISERS**(a) Declaration by M & A Securities Sdn Bhd**

M&A Securities has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Principal Adviser, Sponsor, Underwriter and Placement Agent for our Listing.

(b) Declaration by Eco Asia Capital Advisory Sdn Bhd

Eco Asia Capital Advisory Sdn Bhd has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Financial Adviser for our Listing. Its salient terms of engagement and scope of work as Financial Adviser includes the following:

- (i) to conceptualise and advise on our Group's restructuring, equity and corporate structure in preparation for our Listing;
- (ii) to assist our Group in compiling information and documents for our Listing;
- (iii) to assist our Group in liaising and coordinating work performed by the due diligence working group and any other professional in relation to our Listing;
- (iv) to assist in the preparation of the Management Discussion and Analysis for inclusion in this Prospectus;
- (v) to assist in reviewing the draft documents prepared by the relevant advisers in relation to our Listing; and
- (vi) to assess and advise on any other issues relevant to our Listing.

(c) Declaration by Teh & Lee

Teh & Lee has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Solicitors for our Listing.

(d) Declaration by Grant Thornton Malaysia PLT

Grant Thornton Malaysia PLT has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Auditors and Reporting Accountants for our Listing.

(e) Declaration by Providence Strategic Partners Sdn Bhd

Providence has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as IMR for our Listing.

(The rest of this page has been intentionally left blank)